

One Nation One Ration Card

Short Description — ONORC

One Nation One Ration Card (ONORC) is a national ration-card portability scheme that enables NFSA beneficiaries, especially migrant workers, to access their entitled food grains from any Fair Price Shop (FPS) across India using Aadhaar/biometric authentication. It ensures nationwide portability of PDS benefits and strengthens food security for migrant families.

Details

The "**One Nation One Ration Card**" (ONORC) Scheme was launched by the Department of Food & Supplies and Consumer Affairs, Ministry of Consumer Affairs, Food & Public Distribution in 2018. It is a national Ration Card portability scheme to ensure food security for all including internal migrants within India. It enables migrant workers and their family members to access PDS benefits from any Fair Price Shop anywhere in the country, thus ensuring the food security through the inter-state portability of ration cards under the National Food Security Act, 2013 (NFSA). A Fair Price Shop (FPS) is a public ration store licensed under Section 3 of the Essential Commodities Act of 1955. Ration card details and entitlements are available online on any ePoS device in the country. It includes both inter-State and intra-State (inter-district/intra-district) portability of ration cards.

Assam is the 36th State to implement the One Nation One Ration Card (ONORC) scheme. The ONORC plan has successfully been implemented in all 36 States/UTs making food security portable throughout the country. The government has launched a mobile app, namely '**MERA RATION**' for acquiring the maximum benefit of the ONORC plan. The mobile app shall provide the user with real-time information. It is available in 13 languages. As per the official website of [National Food Security Portal](#), there are more than 20 crores Ration Cards issued through more than 4.5 lakh POS enabled Fair Price Shops.

Benefits

1. It will benefit approximately 81 crores beneficiaries by digitizing Ration Cards.
2. This system allows all NFSA beneficiaries, particularly migrant beneficiaries, to claim either full or part food grains from any Fair Price Shop (FPS) in the country through an existing ration card with biometric/Aadhaar authentication in a seamless manner.
3. With the ONORC, all the beneficiaries in one state can get the same fair rations in other states where the ration card was issued.
4. The scheme will ensure food security of migrant laborers who move to other states to seek better job opportunities.
5. It will improve the mechanism to identify fake/duplicate ration cards. It seeks to provide universal access to PDS food grains for migrant workers.
6. Ration card portability will be achieved by implementing an IT-driven system that installs ePoS devices in each Fair Price Shop (FPS).
7. The **ONORC** will also help achieve the target set under **SDG 2: Ending hunger** by 2030.

Eligibility

1. The scheme is eligible to all ration cardholders or beneficiaries covered under the National Food Security Act (NFSA), 2013 with Aadhaar Card numbers seeded.

Application Process

Offline

Online

1. The interested person must provide their ration card details at the closest Fair Price Shop.
2. Recipients can visit any Fair Price Shop in the nation with their Aadhaar number or their ration card number.
3. Any family member who has seeded their Aadhaar number on their ration card is eligible for authentication and to have their ration lifted.
4. Beneficiary have the option to use their iris or fingerprints for Aadhaar authentication.

Documents Required

1. Ration Card
2. Aadhar Card

Frequently asked Questions :

I live in Mumbai but my family lives in Rajasthan, Can my family receive the ration at Rajasthan?

Yes, scheme allows your family to claim ration on same Ration Card

My allotted Fair Price Shop (FPS), does not give me the ration. Can I claim ration from any other FPS?

Yes, the scheme allows you to claim ration from other FPS if your Aadhaar is seeded to Ration Card

Who are eligible for the scheme?

This scheme can be availed by to all eligible ration cardholders or beneficiaries covered under the National Food Security Act (NFSA), 2013

E-shram

Short Description

e-Shram is a Government of India portal that creates a National Database of Unorganised Workers (NDUW), including migrant, construction, gig and platform workers. It uses Aadhaar-seeded worker information to help improve access to social security and welfare schemes and support workers' employability

Social Security Welfare Schemes

[Pradhan Mantri Shram Yogi Maan-Dhan Yojana \(PM-SYM\) \(Old Age Protection\)](#)

- Voluntary and contributory pension schemes
- Monthly contribution ranges from Rs.55 to Rs.200 depending upon the entry age of the beneficiary.
- Under this schemes, 50% monthly contribution is payable by the beneficiary and equal matching contribution is paid by the Central Government.

Eligibility

- Should be an Indian Citizen
- Unorganised Workers (working as street vendors, agriculture related work, construction site workers, workers in industries of leather, handloom, mid-day meal, rickshaw or auto wheelers, rag picking, carpenters, fisherman's etc.
- Age group of 18-40 years
- Monthly income is below Rs.15000 and not a member of EPFO/ESIC/NPS (Govt. funded).

Benefits

- After attaining the age of 60 yrs, beneficiaries are entitled to receive monthly assured pension of Rs.3000/-.
- On death of the beneficiary, spouse is eligible for 50% monthly pension.
- If husband and wife, both joins the scheme, they are eligible for Rs. 6000/- monthly pension jointly.

[Site visit](#)

[National Pension Scheme for Traders and The Self-employed Persons \(NPS\)](#)

- Voluntary and contributory pension schemes

- Monthly contribution ranges from Rs.55 to Rs.200 depending upon the entry age of the beneficiary.
- Under this schemes, 50% monthly contribution is payable by the beneficiary and equal matching contribution is paid by the Central Government.

Eligibility

- Should be an Indian Citizen
- Shopkeepers or owners who have petty or small shops, restaurants, hotels, real estate brokers etc.
- Age of 18-40 years
- Not covered in EPFO/ESIC/PM-SYM
- Annual turnover not more than 1.5 Crore in rupees

Benefits

- Under the schemes, beneficiaries are entitled to receive monthly assured pension of Rs.3000/- after attaining the age of 60 years.

[Pradhan Mantri Jeevan Jyoti Yojana \(PMJJBY\)](#)

Eligibility

- Should be an Indian Citizen
- In the age group 18 to 50 years
- Having Jandhan or saving bank account with Aadhaar.
- Auto-debit from bank account on consent

Benefits

- Rs.2 lakh on death due to any cause
- Premium @ Rs.436/- year

[Site visit](#)

[Pradhan Mantri Suraksha Bima Yojana \(PMSBY\)](#)

Eligibility

- Should be an Indian Citizen
- In the age group 18 to 70 years
- Having Jandhan or saving bank account with Aadhaar.
- Auto-debit from bank account on consent

Benefits

- The risk coverage under the scheme is Rs. 2 lakh for accidental death and full disability and Rs. 1 lakh for partial disability.
- Premium @ 20/- year

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[Atal Pension Yojana](#)

Eligibility

- Should be an Indian citizen
- Between the age of 18-40 years
- Having bank account linked with Aadhaar

Benefits

- The contributor on his choice, can attain a pension of 1000-5000 rupees, or he can also get an accumulated sum of the pension after his death.
- The accumulated amount will be given to the spouse or if the spouse is dead as well then to the nominee.

[Site visit](#)

[PDS](#)

Eligibility

- Should be an Indian citizen
- All families below the poverty line is eligible.
- Any family which does not have a member between ages 15 and 59 years of age.
- Any family which has a disabled member is also eligible to avail of benefits under Pradhan Mantri Awas Gramin Yojana
- Those who do not have a permanent job and only engage in casual labour.

Benefits

- 35 kg of rice or wheat every month, while a household above the poverty line is entitled to 15 kg of food grain on a monthly basis.
- Being implemented as ONORC to enable migrant workers to receive the food grains wherever they are working.

[Site visit](#)

[Pradhan Mantri Awaas Yojana – Gramin \(PMAY-G\)](#)

Eligibility

- Should be an Indian citizen

- Any family including workers, which does not have a member between ages 15 and 59 years of age.
- Any family which has a disabled member is also eligible to avail of benefits under Pradhan Mantri Awas Gramin Yojana
- Those who do not have a permanent job and only engaged in casual labour.

Benefits

- Assistance provided to the Beneficiary to the tune of 1.2 Lakhs in plain areas and 1.3 Lakhs in Hilly Areas.

[Site visit](#)

National Social Assistance Programme (NSAP) -Old age Protection

Eligibility

- Should be an Indian citizen
- Any person who has little or no regular means of subsistence from his/her own source of income or through financial support from family members or other sources.

Benefits

- Central Contribution @ Rs 300 to Rs 500 for different age group.
- Monthly pension ranges from Rs 1000 to rs 3000/ depending upon state's contribution.

[Ayushman Bharat-Pradhan Mantri Jan Arogya Yojana \(AB-PMJAY\)](#)

Eligibility

- Those living in scheduled caste and scheduled tribe households.
- Families with no male member aged 16 to 59 years.
- Beggars and those surviving on alms

Benefits

- Health coverage of Rs. 5 lakhs per family per year for secondary and tertiary care hospitalization free of cost.

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Health Insurance Scheme for Weavers (HIS)

Eligibility

- Should be an Indian Citizen
- The weaver should be earning at least 50% of his income from handloom weaving
- All weavers, whether male or female, are eligible to be covered under the "Health Insurance Scheme"

Benefits

- The beneficiaries would avail a package of Rs 15,000 that includes both pre-existing diseases and new diseases. The division in terms of disbursement of the amount according to the medical conditions stands as- Maternity benefits (per child for the first two)- Rs 2500, Eye treatment – Rs 75, Spectacles – Rs 250, Domiciliary Hospitalisation- Rs 4000, Ayurvedic/Unnani/Homeopathic/Siddha- Rs 4000, Hospitalization (including pre and post)- Rs 15000, Baby coverage-500, OPD and limit per illness- Rs 7500.

[Pradhan Mantri Kisan Mandhan Yojana](#)

Eligibility

- Should be an Indian Citizen
- For Small and Marginal Farmers
- Entry Age between 18 to 40 years
- Cultivable land up to 2 hectares as per land records of the concerned State/UT

Benefits

- Assured pension of Rs. 3000/- month
- Voluntary and Contributory Pension Scheme
- Matching Contribution by the Government of India.

[Site visit](#)

[National Safai Karamcharis Finance and Development Corporation \(NSKFDC\)](#)

Eligibility

- Should be an Indian Citizen
- People involved as Safai karmacharis and manual scavengers

Benefits

- Scheme provides financial assistance to the Safai Karamcharis, Manual Scavengers and their dependants through SCAs/RRBs/Nationalized Banks for any viable income generating schemes including sanitation related activities and for education in India and Abroad.

[Site visit](#)

[Self Employment Scheme for Rehabilitation of Manual Scavengers](#)

Eligibility

- Should be an Indian Citizen

- Identified manual scavengers, one from each family, (as defined in para 2.3.1) would be eligible for One Time Cash Assistance (OTCA) of Rs. 40,000/- or any such amount as OTCA as revised from time to time.

Benefits

- The manual scavenger and the dependents (as defined in para 2.3.2) shall be provided, free of cost, skill training of their choice from the list of such trainings organized by the National Safai Karmacharis Finance and Development Corporation (NSKFDC) from time to time . A monthly stipend of Rs. 3000/- (Rupees three thousand only) or any such amount as may be decided from time to time to shall be remitted by NSKFDC.

Employment Schemes

MGNREGA

Eligibility

- Should be an Indian Citizen
- Any person who is above the age of 18 and resides in rural areas is entitled to apply for work

Benefits

- Any applicant is entitled to work within 15 days, for as many as he/she has applied, subject to a limit of 100 days per household per year.
- Wage rate (220) has been increased and to be incorporated.

Site visit

Deen Dayal Upadhyay – Gramin Kaushalya Yojana (DDU-GKY)

Eligibility

- Should be an Indian Citizen
- Between the ages of 15 and 35 years, are eligible for the training programs.
- For women and other vulnerable groups like persons with disabilities, the upper age limit is relaxed to 45 years

Benefits

- Deen Dayal Upadhyaya Grameen Kaushalya Yojana (DDU-GKY) aims to skill rural youth who are poor and provide them with jobs having regular monthly wages or above the minimum wages

Garib Kalyan Rozgar Yojana

Eligibility

- Should be an Indian Citizen
- People working in 25 types of working areas were identified such as, PM Kusum Works, cattle sheds, poultry shed, goat sheds, Shyama Prasad Mukherjee RURBAN mission, workers in national highways, in construction of wells etc. are eligible.

Benefits

- The scheme will give employment for one hundred and twenty-five days.

Deen Dayal Updhyaya Antyodaya Yojana (Day)

Eligibility

- Any Indian citizen intending to get trained on skills

Benefits

- The scheme aims to enhance skills and self-business by financing and supporting the poor.

[Site visit](#)

PM SVANidhi

Eligibility

- Should be an Indian Citizen
- Street vendors in possession of Certificate of Vending / Identity Card issued by Urban Local Bodies (ULBs);
- The vendors, who have been identified in the survey but have not been issued Certificate of Vending / Identity Card

Benefits

- To facilitate working capital loan up to 10,000.
- To incentivize regular repayment.
- To reward digital transactions

[Site visit](#)

Pradhan Mantri Kaushal Vikas Yojana (PMKVY)

Eligibility

- Should be an Indian Citizen
- 12th class dropouts or 10th pass students can enroll in PMKVY to develop their skill set.

- Applicable for any candidate of Indian nationality who is of age between 18-45 years

Benefits

- Create an ecosystem for the youth to make informed choices on the available skilling avenues.
- Provide support to youth for skill training and certification.
- Promote sustainable Skill Centres for greater participation of private sector.
- Benefit 8 lakh youth over the scheme period (2020-21).

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Prime Minister Employment Generation Programme (PMEGP)

The Unorganised Workers Social Security Act, 2008

Around 88% of the workforce of the country is engaged in unorganised sector and they are not getting adequate social security benefits. Few welfare schemes are being implemented by the Central Government for specific groups/sub-groups of unorganised workers such as beedi workers, cine workers, building and construction workers etc. Government are implementing welfare programmes for certain categories of unorganised sector workers and non-government organisations also provide social security to certain categories of workers. Central Government to provide certain welfare schemes to all groups of the unorganised sector workers, has enacted the Unorganised Workers Social Security Act 2008. This act has now been sub syned in the code on social security which is a common welfare approach.

The Contract Labour (Regulation & Abolition) Act 1970

Contract labour refers to a person, who has been hired to work in a company through a contractor for a specific work and period. Companies hire contractors who, in turn, recruit these workmen for different jobs. In order to prevent the ill-treatment of workers in any establishment and to ensure a healthier working environment for them, the contract labour regulation and abolition act was introduced in 1970. This act aims in abolition of contract labour and regulation of their service conditions wherever necessary through setting up of advisory boards to advise Central and State Government in administering the legislation and registration of establishments and contractors. This act has been sub syned in the occupational safety health on working conditions.

The Inter-State Migrant Workmen (Regulation Of Employment And Conditions Of Service) Act 1979

This Act is applicable to establishments and contractor employing 5 or more inter state workmen during any day in last 12 months. The Act also provides for registration of the establishments employing Inter-State migrant workmen and license for the contractor. This act has been sub synched in the occupational safety health on working conditions

The Bonded Labour System (Abolition) Act, 1976

In some parts of the country a debtor or his descendants or dependants must work for the creditor without reasonable or no wages to fulfil his debt called Bonded Labour System. This act states that forced labour is an offence punishable in accordance with the law and an ordinance was promulgated by The Honourable President in 1975, where the bonded labour system was abolished and bonded labourers were freed and discharged from any obligation to do bonded work.

Labour Reforms:	To improve ease of compliance and ensure uniformity in labour laws, Government of India has recommended to consolidate the central labour laws into broader groups such as: (i) wages (ii) industrial relations, (iii) social security, (iv) safety, welfare and working conditions.
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The Code on Social Security, 2020

The Code on Social Security act aims to amend and consolidate the laws relating to social security with the goal to extend social security to all employees and workers either in the organised or unorganised or any other sectors. This also extends the benefits of the social security schemes to the code to platform workers which are one of the leading employments generating sector.

The Code on Wages, 2019

This code seeks to regulate wage and bonus payments in all employments where any industry, trade, business, or manufacture is carried out. It will be applicable to all employees. For the workers working in the Central sectors, wages set by Central Government will be applicable and for the workers working in State Government sector, wages set by State Government will be applicable.

The Occupational Safety, Health and Working Conditions code, 2020.

The Occupational Safety, Health And Working Conditions Code, 2020 is a code to consolidate and amend the laws regulating the Occupational safety and health and working conditions of the persons employed in an establishment. The Act replaces 13 old central labour laws.

Industrial Relations Code, 2020

Industrial Relations Code, 2020 consolidates and amends the laws relating to Trade Unions, conditions of employment in industrial establishment or undertaking,

investigation and settlement of industrial disputes. The bill was formulated according to the Report and Recommendations of the Second National Commission on Labour. The Industrial Relations Code Bill, 2020 proposed for amalgamating, simplifying and rationalising the relevant provisions of three Acts (i) Trade Unions Act, 1926, (ii) Industrial Employment (Standing Orders) Act, 1946, and (iii) Industrial Disputes Act, 1947

About e-Shram Portal

The Ministry of Labour & Employment which is one of the oldest and important Ministries of the Government of India, is continuously working on improving life and dignity of Labour force of country by protecting & safeguarding the interest of workers, promotion of welfare and providing social security to the Labour force both in Organized and Unorganized Sectors by enactment and implementation of various Labour Laws, which regulate the terms and conditions of service and employment of workers.

Accordingly, Ministry of Labour & Employment has developed eShram portal for creating a National Database of Unorganized Workers (NDUW), which will be seeded with Aadhaar. It will have details of name, occupation, address, occupation type, educational qualification, skill types etc. for optimum realization of their employability and extend the benefits of the social security schemes to them. It is the first-ever national database of unorganised workers including migrant workers, construction workers, gig and platform workers, etc.

20 Frequently Asked Questions

1. What is e-Shram?
e-Shram is a national database and registration portal for unorganised workers.
2. Who can register on e-Shram?
Eligible workers in the unorganised sector can register on the portal.
3. What is the purpose of the e-Shram portal?
It helps create a national database of unorganised workers and facilitate access to social security benefits.
4. Who are considered unorganised workers?
Workers in sectors outside the organised workforce, including migrant, construction, gig and platform workers.
5. Are migrant workers covered under e-Shram?
Yes, migrant workers are included in the national database.
6. Are construction workers covered under e-Shram?
Yes, construction workers are included.

7. Are gig and platform workers covered?
Yes, gig and platform workers are included in the e-Shram database.
8. What information is collected on e-Shram?
Information can include name, occupation, address, occupation type, educational qualification and skills.
9. Is Aadhaar linked with e-Shram?
Yes, the National Database of Unorganised Workers is seeded with Aadhaar.
10. What is the National Database of Unorganised Workers (NDUW)?
It is a national database containing information about unorganised workers.
11. Does e-Shram provide social security benefits?
The portal is intended to help extend the benefits of applicable social security schemes to registered workers.
12. Does registration on e-Shram automatically provide financial assistance?
Registration creates a worker record; eligibility for individual welfare schemes depends on the respective scheme's requirements.
13. Can unemployed workers register on e-Shram?
Eligibility depends on whether the person qualifies as an unorganised worker under the portal's criteria.
14. Can a worker's occupation be recorded on e-Shram?
Yes, occupation and occupation type are among the information maintained in the database.
15. Can workers' skills be recorded on e-Shram?
Yes, skill-related information can be included in the worker database.
16. Why is e-Shram useful for migrant workers?
It provides a national-level record that can help support access to applicable welfare and social-security schemes.
17. Is e-Shram only for workers in one particular industry?
No. It covers workers across different parts of the unorganised sector.
18. Is e-Shram connected with labour welfare schemes?
Yes. One of its purposes is to help extend social-security scheme benefits to unorganised workers.
19. Which ministry developed the e-Shram portal?
The portal was developed by the Ministry of Labour & Employment.
20. What is the main goal of e-Shram?
Its main goal is to create a comprehensive national database of unorganised workers and support their access to welfare and social-security benefits.

Vision of Mahatma Gandhi NREGA

MGNREGA — Short Description

MGNREGA (Mahatma Gandhi National Rural Employment Guarantee Act) is a rural employment guarantee programme that provides eligible rural households with up to 100 days of guaranteed wage employment per financial year for unskilled manual work. Employment should generally be provided within 15 days of applying, and the scheme also provides provisions for unemployment allowance when eligible applicants are not provided work.

THE NATIONAL RURAL EMPLOYMENT GUARANTEE ACT, 2005

MINISTRY OF LAW AND JUSTICE

(Legislative Department)

New Delhi, the 7th September, 2005 / Bhadra 16, 1927 (Saka)

The following Act of Parliament received the assent of the President on 5th September, 2005 and is hereby published for general information:

THE NATIONAL RURAL EMPLOYMENT GUARANTEE ACT, 2005

No. 42 OF 2005

[5th September, 2005]

An Act to provide for the enhancement of livelihood security of the households in rural areas of the country by providing at least one hundred days of guaranteed wage employment in every financial year to every household whose adult members volunteer to do unskilled manual work and for matters connected therewith or incidental thereto.

BE it enacted by Parliament in the Fifty-sixth Year of the Republic of India as follows:

CHAPTER I

PRELIMINARY

1. Short title, extent and commencement

(1) This Act may be called the National Rural Employment Guarantee Act, 2005.

(2) It extends to the whole of India except the State of Jammu and Kashmir.

(3) It shall come into force on such date as the Central Government may, by notification in the Official Gazette, appoint; and different dates may be appointed for different States or for different areas in a State and any reference in any such provision to the commencement of this

Act shall be construed as a reference to the coming into force of that provision in such State or, as the case may be, in such area:

Provided that this Act shall be applicable to the whole of the territory to which it extends within a period of five years from the date of enactment of this Act.

2. Definitions

In this Act, unless the context otherwise requires—

- (a)** "adult" means a person who has completed his eighteenth years of age;
- (b)** "applicant" means the head of a household or any of its other adult members who has applied for employment under the Scheme;
- (c)** "Block" means a community development area within a district comprising a group of Gram Panchayats;
- (d)** "Central Council" means the Central Employment Guarantee Council constituted under sub-section (1) of section 10;
- (e)** "District Programme Coordinator" means an officer of the State Government designated as such under sub-section (1) of section 14 for implementation of the Scheme in a district;
- (f)** "household" means the members of a family related to each other by blood, marriage or adoption and normally residing together and sharing meals or holding a common ration card;
- (g)** "implementing agency" includes any department of the Central Government or a State Government, a Zila Parishad, Panchayat at intermediate level, Gram Panchayat or any local authority or Government undertaking or non-governmental organisation authorised by the Central Government or the State Government to undertake the implementation of any work taken up under a Scheme;
- (h)** "minimum wage", in relation to any area, means the minimum wage fixed by the State Government under section 3 of the Minimum Wages Act, 1948 for agricultural labourers as applicable in that area;
- (i)** "National Fund" means the National Employment Guarantee Fund established under sub-section (1) of section 20;
- (j)** "notification" means a notification published in the Official Gazette;
- (k)** "preferred work" means any work which is taken up for implementation on a priority basis under a Scheme;
- (l)** "prescribed" means prescribed by rules made under this Act;
- (m)** "Programme Officer" means an officer appointed under sub-section (1) of section 15 for implementing the Scheme;

- (n) "project" means any work taken up under a Scheme for the purpose of providing employment to the applicants;
- (o) "rural area" means any area in a State except those areas covered by any urban local body or a Cantonment Board established or constituted under any law for the time being in force;
- (p) "Scheme" means a Scheme notified by the State Government under sub-section (1) of section 4;
- (q) "State Council" means the State Employment Guarantee Council constituted under sub-section (1) of section 12;
- (r) "unskilled manual work" means any physical work which any adult person is capable of doing without any skill or special training;
- (s) "wage rate" means the wage rate referred to in section 6.
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CHAPTER II

GUARANTEE OF EMPLOYMENT IN RURAL AREAS

3. Guarantee of employment

- (1) Save as otherwise provided, the State Government shall, in such rural area in the State as may be notified by the Central Government, provide to every household whose rural adult members volunteer to do unskilled manual work not less than one hundred days of such work in a financial year in accordance with the Scheme made under this Act.
- (2) Every person who has done the work given to him under the Scheme shall be entitled to receive wages at the wage rate for each day of work.
- (3) Save as otherwise provided in this Act, the disbursement of daily wages shall be made on a weekly basis or in any case not later than a fortnight after the date on which such work was done.
- (4) The Central Government or the State Government may, within the limits of its economic capacity and development, make provisions for securing work to every adult member of a household under a Scheme for any period beyond the period guaranteed under sub-section (1), as may be expedient.
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CHAPTER III

EMPLOYMENT GUARANTEE SCHEMES AND UNEMPLOYMENT ALLOWANCE

4. Employment Guarantee Schemes for rural areas

- (1) For the purposes of giving effect to the provisions of section 3, every State Government shall, within six months from the date of commencement of this Act, by notification, make a Scheme, for providing not less than one hundred days of guaranteed employment in a financial year to

every household whose adult members, by application, subject to the conditions laid down by or under this Act and in the Scheme, volunteer to do unskilled manual work in the rural areas covered under the Scheme:

Provided that until any such Scheme is notified by the State Government, the Annual Action Plan or Perspective Plan for the Sampoorna Grameen Rozgar Yojana (SGRY) or the National Food for Work Programme (NFFWP), whichever is in force in the concerned area immediately before such notification, shall be deemed to be the action plan for the purposes of this Act.

(2) The State Government shall publish in at least two local newspapers, a summary of the Scheme made by it, one of which shall be in a vernacular language circulating in the area or areas to which such Scheme shall apply.

(3) The Scheme made under sub-section (1) shall provide for the minimum features specified in Schedule I.

5. Conditions for providing guaranteed employment

(1) The State Government may, without prejudice to the conditions specified in Schedule II, specify in the Scheme the conditions for providing guaranteed employment under this Act.

(2) The persons employed under such Scheme shall be entitled to such facilities as may be specified in Schedule II.

6. Wage rate

(1) Notwithstanding anything contained in the Minimum Wages Act, 1948, the Central Government may, by notification, specify the wage rate for the purposes of this Act:

Provided that different rates of wages may be specified for different areas:

Provided further that the wage rate specified from time to time under any such notification shall not be at a rate less than sixty rupees per day.

(2) Until such time as a wage rate is fixed by the Central Government in respect of any area in a State, the minimum wage fixed by the State Government under section 3 of the Minimum Wages Act, 1948 for agricultural labourers, shall be considered as the wage rate applicable to that area.

7. Payment of unemployment allowance

(1) If an applicant for employment under the Scheme is not provided such employment within fifteen days of receipt of his application seeking employment or from the date on which the employment has been sought in the case of an advance application, whichever is later, he shall be entitled to a daily unemployment allowance in accordance with this section.

(2) Subject to such terms and conditions of eligibility as may be prescribed by the State Government and subject to the provisions of this Act and the Schemes and the economic capacity of the State Government, the unemployment allowance payable under sub-section (1) shall be paid to the applicants of a household subject to the entitlement of the household at such rate as may be specified by the State Government, by notification, in consultation with the State Council:

Provided that no such rate shall be less than one-fourth of the wage rate for the first thirty days during the financial year and not less than one-half of the wage rate for the remaining period of the financial year.

(3) The liability of the State Government to pay unemployment allowance to a household during any financial year shall cease as soon as—

(a) the applicant is directed by the Gram Panchayat or the Programme Officer to report for work either by himself or depute at least one adult member of his household; or

(b) the period for which employment is sought comes to an end and no member of the household of the applicant had turned up for employment; or

(c) the adult members of the household of the applicant have received in total at least one hundred days of work within the financial year; or

(d) the household of the applicant has earned as much from the wages and unemployment allowance taken together which is equal to the wages for one hundred days of work during the financial year.

(4) The unemployment allowance payable to the household of an applicant jointly shall be sanctioned and disbursed by the Programme Officer or such local authority (including the Panchayats at the district, intermediate or village level) as the State Government may, by notification, authorise in this behalf.

(5) Every payment of unemployment allowance under sub-section (1) shall be made or offered not later than fifteen days from the date on which it became due for payment.

(6) The State Government may prescribe the procedure for payment of unemployment allowance under this Act.

8. Disbursement of unemployment allowance

(1) If the Programme Officer is not in a position to disburse the unemployment allowance in time or at all for any reason beyond his control, he shall report the matter to the District Programme Coordinator and announce such reasons in a notice to be displayed on his notice board and the notice board of the Gram Panchayat and such other conspicuous places as he may deem necessary.

(2) Every case of non-payment or delayed payment of unemployment allowance shall be reported in the annual report submitted by the District Programme Coordinator to the State Government along with the reasons for such non-payment or delayed payment.

(3) The State Government shall take all measures to make the payment of unemployment allowance reported under sub-section (1) to the concerned household as expeditiously as possible.

9. Non-disentitlement to receive unemployment allowance in certain circumstances

An applicant who—

- (a) does not accept the employment provided to his household under a Scheme; or
- (b) does not report for work within fifteen days of being notified by the Programme Officer or the implementing agency to report for the work; or
- (c) continuously remains absent from work, without obtaining permission from the concerned implementing agency for a period of more than one week or remains absent for a total period of more than one week in any month,

shall not be eligible to claim the unemployment allowance payable under this Act for a period of three months but shall be eligible to seek employment under the Scheme at any time.

CHAPTER IV

IMPLEMENTING AND MONITORING AUTHORITIES

10. Central Employment Guarantee Council

(1) With effect from such date as the Central Government may, by notification specify, there shall be constituted a Council to be called the Central Employment Guarantee Council to discharge the functions, and perform the duties, assigned to it by or under this Act.

(2) The headquarters of the Central Council shall be at Delhi.

(3) The Central Council shall consist of the following members to be appointed by the Central Government, namely—

- (a) a Chairperson;
- (b) not more than such number of representatives of the Central Ministries including the Planning Commission not below the rank of Joint Secretary to the Government of India as may be determined by the Central Government;
- (c) not more than such number of representatives of the State Governments as may be determined by the Central Government;
- (d) not more than fifteen non-official members representing Panchayati Raj Institutions, organisations of workers and disadvantaged groups:

Provided that such non-official members shall include two chairpersons of District Panchayats nominated by the Central Government by rotation for a period of one year at a time:

Provided further that not less than one-third of the non-official members nominated under this clause shall be women:

Provided also that not less than one-third of the non-official members shall be belonging to the Scheduled Castes, the Scheduled Tribes, the Other Backward Classes and Minorities;

(e) such number of representatives of the States as the Central Government may, by rules, determine in this behalf;

(f) a Member-Secretary not below the rank of Joint Secretary to the Government of India.

(4) The terms and conditions subject to which the Chairperson and other members of the Central Council may be appointed and the time, place and procedure of the meetings (including the quorum at such meetings) of the Central Council shall be such as may be prescribed by the Central Government.

11. Functions and duties of Central Council

(1) The Central Council shall perform and discharge the following functions and duties, namely—

(a) establish a central evaluation and monitoring system;

(b) advise the Central Government on all matters concerning the implementation of this Act;

(c) review the monitoring and redressal mechanism from time to time and recommend improvements required;

(d) promote the widest possible dissemination of information about the Schemes made under this Act;

(e) monitor the implementation of this Act;

(f) preparation of annual reports to be laid before Parliament by the Central Government on the implementation of this Act;

(g) any other duty or function as may be assigned to it by the Central Government.

(2) The Central Council shall have the power to undertake evaluation of the various Schemes made under this Act and for that purpose collect or cause to be collected statistics pertaining to the rural economy and the implementation of the Schemes.

12. State Employment Guarantee Council

(1) For the purposes of regular monitoring and reviewing the implementation of this Act at the State level, every State Government shall constitute a State Council to be known as the (name of the State) State Employment Guarantee Council with a Chairperson and such number of official members as may be determined by the State Government and not more than fifteen

non-official members nominated by the State Government from Panchayati Raj institutions, organisations of workers and disadvantaged groups:

Provided that not less than one-third of the non-official members nominated under this clause shall be women:

Provided further that not less than one-third of the non-official members shall be belonging to the Scheduled Castes, the Scheduled Tribes, the Other Backward Classes and Minorities.

(2) The terms and conditions subject to which the Chairperson and members of the State Council may be appointed and the time, place and procedure of the meetings (including the quorum at such meetings) of the State Council shall be such as may be prescribed by the State Government.

(3) The duties and functions of the State Council shall include—

(a) advising the State Government on all matters concerning the Scheme and its implementation in the State;

(b) determining the preferred works;

(c) reviewing the monitoring and redressal mechanisms from time to time and recommending improvements;

(d) promoting the widest possible dissemination of information about this Act and the Schemes under it;

(e) monitoring the implementation of this Act and the Schemes in the State and coordinating such implementation with the Central Council;

(f) preparing the annual report to be laid before the State Legislature by the State Government;

(g) any other duty or function as may be assigned to it by the Central Council or the State Government.

(4) The State Council shall have the power to undertake an evaluation of the Schemes operating in the State and for that purpose to collect or cause to be collected statistics pertaining to the rural economy and the implementation of the Schemes and Programmes in the State.

CHAPTER V

ESTABLISHMENT OF NATIONAL AND STATE EMPLOYMENT GUARANTEE FUNDS AND AUDIT

20. National Employment Guarantee Fund

(1) The Central Government shall, by notification, establish a fund to be called the National Employment Guarantee Fund for the purposes of this Act.

(2) The Central Government may, after due appropriation made by Parliament by law in this behalf, credit by way of grants or loans such sums of money as the Central Government may consider necessary to the National Fund.

(3) The amount standing to the credit of the National Fund shall be utilised in such manner and subject to such conditions and limitations as may be prescribed by the Central Government.

21. State Employment Guarantee Fund

(1) The State Government may, by notification, establish a fund to be called the State Employment Guarantee Fund for the purposes of implementation of the Scheme.

(2) The amount standing to the credit of the State Fund shall be expended in such manner and subject to such conditions and limitations as may be prescribed by the State Government for the purposes of implementation of this Act and the Schemes made thereunder and for meeting the administrative expenses in connection with the implementation of this Act.

(3) The State Fund shall be held and administered on behalf of the State Government in such manner and by such authority as may be prescribed by the State Government.

22. Funding pattern

(1) Subject to the rules as may be made by the Central Government in this behalf, the Central Government shall meet the cost of the following, namely—

(a) the amount required for payment of wages for unskilled manual work under the Scheme;

(b) up to three-fourths of the material cost of the Scheme including payment of wages to skilled and semi-skilled workers subject to the provisions of Schedule II;

(c) such percentage of the total cost of the Scheme as may be determined by the Central Government towards the administrative expenses, which may include the salary and allowances of the Programme Officers and their supporting staff, the administrative expenses of the Central Council, facilities to be provided under Schedule II and such other item as may be decided by the Central Government.

(2) The State Government shall meet the cost of the following, namely—

(a) the cost of unemployment allowance payable under the Scheme;

(b) one-fourth of the material cost of the Scheme including payment of wages to skilled and semi-skilled workers subject to the provisions of Schedule II;

(c) the administrative expenses of the State Council.

CHAPTER VI

MISCELLANEOUS

25. Penalty for non-compliance

Whoever contravenes the provisions of this Act shall on conviction be liable to a fine which may extend to one thousand rupees.

26. Power to delegate

(1) The Central Government may, by notification, direct that the powers exercisable by it (excluding the power to make rules) may, in such circumstances and subject to such conditions and limitations, be exercisable also by the State Government or such officer subordinate to the Central Government or the State Government as it may specify in such notification.

(2) The State Government may, by notification, direct that the powers exercisable by it (excluding the power to make rules and Schemes) may, in such circumstances and subject to such conditions and limitations, be exercisable also by such officer subordinate to it as it may specify in such notification.

27. Power of Central Government to give directions

(1) The Central Government may give such directions as it may consider necessary to the State Government for the effective implementation of the provisions of this Act.

(2) Without prejudice to the provisions of sub-section (1), the Central Government may, on receipt of any complaint regarding the issue or improper utilisation of funds granted under this Act in respect of any Scheme, if prima facie satisfied that there is a case, cause an investigation into the complaint made by any agency designated by it and if necessary, order stoppage of release of funds to the Scheme and institute appropriate remedial measures for its proper implementation within a reasonable period of time.

28. Act to have overriding effect

The provisions of this Act or the Schemes made thereunder shall have effect notwithstanding anything inconsistent therewith contained in any other law for the time being in force or in any instrument having effect by virtue of such law.

29. Power to amend Schedules

(1) If the Central Government is satisfied that it is necessary or expedient so to do, it may, by notification, amend Schedule I or Schedule II and thereupon Schedule I or Schedule II, as the case may be, shall be deemed to have been amended accordingly.

(2) A copy of every notification made under sub-section (1) shall be laid before each House of Parliament as soon as may be after it is made.

30. Protection of action taken in good faith

No suit, prosecution or other legal proceedings shall lie against the District Programme Coordinator, Programme Officer or any other person who is, or who is deemed to be, a public servant within the meaning of section 21 of the Indian Penal Code in respect of anything which is in good faith done or intended to be done under this Act or the rules or Schemes made thereunder.

31. Power of Central Government to make rules

(1) The Central Government may, by notification, and subject to the condition of previous publication, make rules to carry out the provisions of this Act.

(2) In particular, and without prejudice to the foregoing power, such rules may provide for all or any of the following matters, namely—

(a) the number of representatives of the State Governments under clause (e) of sub-section (3) of section 10;

(b) the terms and conditions subject to which the Chairman and other members of the Central Council may be appointed, and the time, place and procedure of the meetings (including the quorum at such meetings) of the Central Council, under sub-section (4) of section 10;

(c) the manner in which and the conditions and limitations subject to which the National Fund shall be utilised under sub-section (3) of section 20;

(d) the rules relating to funding pattern to meet the cost of certain items under sub-section (1) of section 22;

(e) any other matter which is to be, or may be, prescribed or in respect of which provision is to be made by the Central Government by rules.

32. Power of State Government to make rules

(1) The State Government may, by notification, and subject to the condition of previous publication, and consistent with this Act and the rules made by the Central Government, make rules to carry out the provisions of this Act.

(2) In particular, and without prejudice to the generality of the foregoing power, such rules may provide for all or any of the following matters, namely—

(a) the terms and conditions upon which eligibility for unemployment allowance may be determined under sub-section (2) of section 7;

(b) the procedure for payment of unemployment allowance under sub-section (6) of section 7;

(c) the terms and conditions subject to which the Chairperson and members of the State Council may be appointed, and the time, place and procedure of the meetings (including the quorum at such meetings) of their appointment to the State Council, under sub-section (2) of section 12;

(d) the grievance redressal mechanism at the Block level and the District level and the procedure to be followed in such matter under section 19;

(e) the manner in which and the conditions and limitations subject to which the State Fund shall be utilised under sub-section (2) of section 21;

(f) the authority who may administer and the manner in which he may hold the State Fund under sub-section (3) of section 21;

(g) the manner of maintaining books of account of employment of labourers and the expenditure under sub-section (2) of section 23;

(h) the arrangements required for proper execution of Schemes under sub-section (3) of section 23;

(i) the form and manner in which the accounts of the Scheme shall be maintained under sub-section (2) of section 24;

(j) any other matter which is to be, or may be, prescribed or in respect of which provision is to be made by the State Government by rules.

33. Laying of rules and Schemes

(1) Every rule made by the Central Government under this Act shall be laid, as soon as may be after it is made, before each House of Parliament, while it is in session, for a total period of thirty days which may be comprised in one session or in two or more successive sessions, and if, before the expiry of the session immediately following the session or the successive sessions aforesaid, both Houses agree in making any modification in the rule or both the Houses agree that the rule should not be made, the rule shall thereafter have effect only in such modified form or be of no effect, as the case may be; so, however, that any such modification or annulment shall be without prejudice to the validity of anything previously done under that rule.

(2) Every rule or Scheme made by the State Government under this Act shall, as soon as may be after it is made, be laid before each House of the State Legislature where there are two Houses, and where there is one House of the State Legislature, before that House.

34. Power to remove difficulties

(1) If any difficulty arises in giving effect to the provisions of this Act, the Central Government may, by order published in the Official Gazette, make such provisions, not inconsistent with the provisions of this Act, as appear to it to be necessary or expedient for removing the difficulty:

Provided that no order shall be made under this section after the expiry of three years from the commencement of this Act.

(2) Every order made under this section shall be laid, as soon as may be after it is made, before each House of Parliament.

SCHEDULE I

[See section 4(3)]

MINIMUM FEATURES OF A RURAL EMPLOYMENT GUARANTEE SCHEME

1. Priority of works

The focus of the Scheme shall be on the following works in their order of priority:

(i) water conservation and water harvesting;

(ii) drought proofing (including afforestation and tree plantation);

(iii) irrigation canals including micro and minor irrigation works;

- (iv) provision of irrigation facility to land owned by households belonging to the Scheduled Castes and Scheduled Tribes or to land of beneficiaries of land reforms or that of the beneficiaries under the Indira Awas Yojana of the Government of India;
- (v) renovation of traditional water bodies including desilting of tanks;
- (vi) land development;
- (vii) flood control and protection works including drainage in water logged areas;
- (viii) rural connectivity to provide all-weather access; and
- (ix) any other work which may be notified by the Central Government in consultation with the State Government.

2. Durable assets

Creation of durable assets and strengthening the livelihood resource base of the rural poor shall be an important objective of the Scheme.

3. Rural areas

The works taken up under the Scheme shall be in rural areas.

4. Preferred works

The State Council shall prepare a list of preferred works for different areas based on their ability to create durable assets.

5. Maintenance of public assets

The Scheme shall be subject to appropriate arrangements as may be laid down by the State Government under the rules issued by it for proper maintenance of the public assets created under the Scheme.

6. Wage rate

Under no circumstances shall the labourers be paid less than the wage rate.

7. Schedule of rates

When wages are directly linked with the quantity of work, the wages shall be paid according to the schedule of rates fixed by the State Government for different types of work every year, in consultation with the State Council.

8. Seven-hour work

The schedule of rates of wages for unskilled labourers shall be so fixed that a person working for seven hours would normally earn a wage equal to the wage rate.

9. Material component

The cost of material component of projects including the wages of the skilled and semi-skilled workers taken up under the Scheme shall not exceed forty per cent. of the total project costs.

10. Type of work

It shall be open to the Programme Officer and Gram Panchayat to direct any person who applied for employment under the Scheme to do work of any type permissible under it.

11. Contractors

The Scheme shall not permit engaging any contractor for implementation of the projects under it.

12. Manual labour

As far as practicable, a task funded under the Scheme shall be performed by using manual labour and not machines.

13. Transparency and accountability

Every Scheme shall contain adequate provisions for ensuring transparency and accountability at all levels of implementation.

14. Inspection and supervision

Provisions for regular inspection and supervision of works taken up under the Scheme shall be made to ensure proper quality of work as well as to ensure that the total wages paid for the completion of the work is commensurate with the quality and quantity of work done.

15. Annual report

The District Programme Coordinator, the Programme Officer and the Gram Panchayat implementing the Scheme shall prepare annually a report containing the facts and figures and achievements relating to the implementation of the Scheme within his or its jurisdiction and a copy of the same shall be made available to the public on demand and on payment of such fee as may be specified in the Scheme.

16. Public scrutiny

All accounts and records relating to the Scheme shall be made available for public scrutiny and any person desirous of obtaining a copy or relevant extracts therefrom may be provided such copies or extracts on demand and after paying such fee as may be specified in the Scheme.

17. Muster rolls

A copy of the muster rolls of each Scheme or project under a Scheme shall be made available in the offices of the Gram Panchayat and the Programme Officer for inspection by any person interested after paying such fee as may be specified in the Scheme.

SCHEDULE II

[See section 5]

CONDITIONS FOR GUARANTEED RURAL EMPLOYMENT UNDER A SCHEME AND MINIMUM ENTITLEMENTS OF LABOURERS

1. Registration and Job Card

The adult members of every household who—

(i) reside in any rural areas; and

(ii) are willing to do unskilled manual work,

may submit their names, age and the address of the household to the Gram Panchayat at the village level (hereafter in this Schedule referred to as the Gram Panchayat) in the jurisdiction of which they reside for registration of their household for issuance of a job card.

2. Issue of Job Card

It shall be the duty of the Gram Panchayat to register the household, after making such enquiry as it deems fit and issue a job card containing such details of adult members of the household affixing their photographs, as may be specified by the State Government in the Scheme.

3. Period of registration

The registration made under paragraph 2 shall be for such period as may be laid in the Scheme, but in any case not less than five years, and may be renewed from time to time.

4. Right to apply for work

Every adult member of a registered household whose name appears in the job card shall be entitled to apply for unskilled manual work under the Scheme.

5. Maximum employment

All registered persons belonging to a household shall be entitled to employment in accordance with the Scheme made under the provisions of this Act, for as many days as each applicant may request, subject to a maximum of one hundred days per household in a given financial year.

6. Provision of employment

The Programme Officer shall ensure that every applicant referred to in paragraph 5 shall be provided unskilled manual work in accordance with the provisions of the Scheme within fifteen days of receipt of an application or from the date he seeks work in case of advance application, whichever is later:

Provided that priority shall be given to women in such a way that at least one-third of the beneficiaries shall be women who have registered and requested for work under this Act.

7. Minimum period of work

Applications for work must be for at least fourteen days of continuous work.

8. Number of days of employment

There shall be no limit on the number of days of employment for which a person may apply, or on the number of days of employment actually provided to him subject to the aggregate entitlement of the household.

9. Submission of applications

Applications for work may be submitted in writing either to the Gram Panchayat or to the Programme Officer, as may be specified in the Scheme.

10. Acceptance and receipt

The Gram Panchayat and Programme Officer, as the case may be, shall be bound to accept valid applications and to issue a dated receipt to the applicant. Group applications may also be submitted.

11. Intimation of employment

Applicants who are provided with work shall be so intimated in writing, by means of a letter sent to him at the address given in the job card and by a public notice displayed at the office of the Panchayats at the district, intermediate or village level.

12. Distance from residence

As far as possible, employment shall be provided within a radius of five kilometres of the village where the applicant resides at the time of applying.

13. Commencement of new work

A new work under the Scheme shall be commenced only if—

(a) at least fifty labourers become available for such work; and

(b) the labourers cannot be absorbed in the ongoing works:

Provided that this condition shall not be applicable for new works, as determined by the State Government, in hilly areas and in respect of afforestation.

14. Employment outside five kilometres

In cases the employment is provided outside such radius, it must be provided within the Block, and the labourers shall be paid ten per cent. of the wage rate as extra wages to meet additional transportation and living expenses.

15. Period of employment

A period of employment shall ordinarily be at least fourteen days continuously with not more than six days in a week.

16. Unemployment allowance reporting

In all cases where unemployment allowance is paid, or due to be paid, the Programme Officer shall inform the District Programme Coordinator in writing the reasons why it was not possible for him to provide employment or cause to provide employment to the applicants.

17. Annual report

The District Programme Coordinator shall, in his Annual Report to the State Council, explain as to why employment could not be provided in cases where payment of unemployment allowance is involved.

18. Advance applications

Provision shall be made in the Scheme for advance applications, that is, applications which may be submitted in advance of the date from which employment is sought.

19. Multiple applications

Provision shall be made in the Scheme for submission of multiple applications by the same person provided that the corresponding periods for which employment is sought do not overlap.

20. Registers and records

The Gram Panchayat shall prepare and maintain or cause to be prepared and maintained such registers, vouchers and other documents in such form and in such manner as may be specified in the Scheme containing particulars of job cards and passbooks issued, name, age and address of the head of the household and the adult members of the household registered with the Gram Panchayat.

21. Information to Programme Officer

The Gram Panchayat shall send such list or lists of the names and addresses of households and their adult members registered with it and supply such other information to the concerned Programme Officer at such periods and in such form as may be specified in the Scheme.

22. Display of persons provided work

A list of persons who are provided with the work shall be displayed on the notice board of the Gram Panchayat and at the office of the Programme Officer and at such other places as the Programme Officer may deem necessary and the list shall be open for inspection by the State Government and any person interested.

23. False information

If the Gram Panchayat is satisfied at any time that a person has registered with it by furnishing false information, it may direct the Programme Officer to direct his name to be struck off from the register and direct the applicant to return the job card:

Provided that no such action under this paragraph shall be directed unless the applicant has been given an opportunity of being heard in the presence of two independent persons.

24. Medical treatment for injury

If any personal injury is caused to any person employed under the Scheme by accident arising out of and in the course of his employment, he shall be entitled to, free of charge, such medical treatment as is admissible under the Scheme.

25. Hospitalisation

Where hospitalisation of the injured worker is necessary, the State Government shall arrange for such hospitalisation including accommodation, treatment, medicines and payment of daily allowance not less than half of the wage rate required to be paid had the injured been engaged in the work.

26. Death or permanent disability

If a person employed under a Scheme dies or becomes permanently disabled by accident arising out of and in the course of employment, he shall be paid by the implementing agency an ex gratia payment at the rate of twenty-five thousand rupees or such amount as may be notified by the Central Government, and the amount shall be paid to the legal heirs of the deceased or the disabled, as the case may be.

27. Worksite facilities

The facilities of safe drinking water, shade for children and periods of rest, first-aid box with adequate material for emergency treatment for minor injuries and other health hazards connected with the work being performed shall be provided at the work site.

28. Childcare

In case the number of children below the age of six years accompanying the women working at any site are five or more, provisions shall be made to depute one of such women worker to look after such children.

29. Wage for childcare worker

The person deputed under paragraph 28 shall be paid wage rate.

30. Compensation for delayed wages

In case the payment of wages is not made within the period specified under the Scheme, the labourers shall be entitled to receive payment of compensation as per the provisions of the Payment of Wages Act, 1936 (4 of 1936).

31. Payment of wages

The wages under a Scheme may be paid either wholly in cash or in cash and kind provided that at least one-fourth of the wages shall be paid in cash only.

32. Daily cash payment

The State Government may prescribe that a portion of the wages in cash may be paid to the labourers on a daily basis during the period of employment.

33. Injury to accompanying child

If any personal injury is caused by accident to a child accompanying any person who is employed under a Scheme, such person shall be entitled to, free of charge, such medical treatment for the child as may be specified in the Scheme and in case of death or disablement, through an ex gratia payment as may be determined by the State Government.

34. No gender discrimination

In case of every employment under the Scheme, there shall be no discrimination solely on the ground of gender and the provisions of the Equal Remuneration Act, 1976 (25 of 1976), shall be complied with.

B. A. AGRAWAL

Addl. Secretary to the Government of India

VIKSIT BHARAT–GUARANTEE FOR ROZGAR AND AJEEVIKA MISSION (GRAMIN)

VB–G RAM G Act, 2025

Current Status

The Viksit Bharat–Guarantee for Rozgar and Aajeevika Mission (Gramin): VB–G RAM G Act, 2025 is the current rural employment guarantee legislation.

It came into force across rural areas of India on 1 July 2026 and replaced the Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA), 2005, which stands repealed from the same date.

1. Employment Guarantee

The Act provides a statutory guarantee of 125 days of wage employment in every financial year to every rural household whose adult members volunteer to undertake unskilled manual work.

This increases the employment guarantee from the earlier 100 days under MGNREGA to 125 days.

2. Agricultural Season Break

The Act provides for an aggregated 60-day period during the agricultural season when works under the scheme may be suspended to ensure availability of labour for sowing and harvesting activities.

Workers continue to have the 125-day employment guarantee during the remaining period of the financial year.

3. Wage Payment

Workers are entitled to wages for each day of work.

Daily wages are to be disbursed on a weekly basis or, in any case, not later than a fortnight after the date on which the work was done.

4. Unemployment Allowance

The employment guarantee continues to be demand-driven.

Where eligible employment is not provided as required under the Act and the applicable Scheme, the worker is entitled to unemployment allowance, subject to the conditions prescribed under the Act and State Scheme.

5. Main Focus Areas

The Act integrates employment generation with rural infrastructure creation through four priority areas:

1. Water security — water-related works
 2. Core rural infrastructure
 3. Livelihood-related infrastructure
 4. Works for mitigation of extreme weather events
-

6. Planning Framework

Works under the Act originate from Viksit Gram Panchayat Plans prepared by Gram Panchayats.

These plans are consolidated at the Block, District and State levels and integrated into the Viksit Bharat National Rural Infrastructure Stack.

Planning is also aligned with the PM Gati Shakti National Master Plan to support spatially coordinated rural infrastructure development.

7. Transparency and Accountability

The new framework strengthens transparency and accountability through:

- Digital monitoring
 - Public disclosure
 - Social audits
 - Decentralised planning
 - Technology-enabled implementation
 - Institutional monitoring mechanisms
-

8. Funding Pattern

VB–G RAM G operates as a Centrally Sponsored Scheme.

The general fund-sharing pattern is:

- **60:40 between the Central and State Governments for most States**
- **90:10 for North-Eastern and Himalayan States**

The Act also provides for State Governments to bear expenditure beyond their allocated share in accordance with the prescribed framework.

9. Existing MGNREGA Workers During Transition

Existing MGNREGA Job Cards/workers for whom e-KYC has been completed continue to remain valid until new Gramin Rozgar Guarantee Cards are issued under the VB–G RAM G framework.

Ongoing MGNREGA works at the time of transition may continue and are to be migrated and prioritised for completion under the new framework.

10. Current Official Scheme Name

Viksit Bharat–Guarantee for Rozgar and Ajeevika Mission (Gramin)

Abbreviation: VB–G RAM G

Act: Viksit Bharat–Guarantee for Rozgar and Ajeevika Mission (Gramin): VB–G RAM G Act, 2025

Effective from: 1 July 2026

Employment guarantee: 125 days per rural household per financial year

Target beneficiaries: Rural households whose adult members volunteer to undertake unskilled manual work

Previous legislation: Mahatma Gandhi National Rural Employment Guarantee Act, 2005

Current status: Replaced MGNREGA from 1 July 2026.

1. What is MGNREGA?

MGNREGA is a rural employment guarantee programme that provides wage employment to rural households willing to undertake unskilled manual work.

2. Who is eligible for MGNREGA?

Adult members of households residing in rural areas who are willing to do unskilled manual work can apply.

3. How many days of employment are guaranteed?

A household can receive up to **100 days of employment in a financial year**.

4. What type of work is provided under MGNREGA?

The scheme provides **unskilled manual work** in approved rural development projects.

5. How do I register for MGNREGA?

An adult household member can submit their name, age and household address to the **Gram Panchayat** for registration and issuance of a job card.

6. What is a MGNREGA Job Card?

A Job Card records the registered adult members of a rural household who are eligible to apply for employment under the scheme.

7. Who can apply for work?

Every adult member of a registered household whose name appears on the Job Card can apply for unskilled manual work.

8. How soon should employment be provided?

Employment should be provided within **15 days** of receiving the application or from the requested employment date in the case of an advance application.

9. What happens if employment is not provided within 15 days?

An eligible applicant may be entitled to **unemployment allowance**, subject to the conditions of the Act and applicable scheme.

10. How are MGNREGA wages paid?

Workers are entitled to receive wages for each day of work at the applicable wage rate.

11. Where is MGNREGA work normally provided?

Employment should, as far as practicable, be provided within **5 kilometres of the worker's village**.

12. What if work is provided more than 5 kilometres away?

When employment is provided outside the 5-kilometre radius, it should be within the Block and additional wages are provided for transportation and living expenses according to the Act.

13. Can women apply for MGNREGA?

Yes. The scheme provides for priority to women, with at least **one-third of beneficiaries** who register and request work being women.

14. What types of projects are undertaken under MGNREGA?

Projects include **water conservation, drought proofing, irrigation, renovation of water bodies, land development, flood control and rural connectivity**, among others.

15. Can contractors be used for MGNREGA projects?

No. The scheme does not permit contractors for implementation of its projects.

16. Is social auditing carried out under MGNREGA?

Yes. The **Gram Sabha** conducts regular social audits of projects implemented under the scheme.

17. What happens if wages are delayed?

Workers may be entitled to compensation for delayed wage payments according to the applicable provisions.

18. Are workers provided safety facilities at the worksite?

Yes. Provisions include **safe drinking water, shade, rest periods and first-aid facilities** at worksites.

19. What happens if a worker is injured at work?

The scheme provides for medical treatment for injuries arising from accidents during employment, with additional provisions for hospitalization where necessary.

20. Where can I raise a complaint about MGNREGA?

Grievances can be addressed through the designated grievance-redressal mechanisms at the **Block and District levels**.

Atal Pension Yojana (APY)

The Government launched the Atal Pension Yojana (APY) to encourage the workers in unorganized sector to voluntarily save for their retirement. The Scheme provides a defined pension, depending on the contribution and its period. Under APY, the subscribers would receive the fixed minimum pension of Rs. 1000 per month, Rs. 2000 per month, Rs. 3000 per month, Rs. 4000 per month and Rs. 5000 per month at the age of 60 years depending on their contributions, which itself would be based on the age of joining APY. The minimum age of joining APY is 18 years and maximum age is 40 years. Therefore, minimum period of contribution by any subscriber under APY would be 20 years or more.

The minimum pension would be guaranteed by the Government, i.e., if the accumulated corpus based on contributions earns a lower than estimated return on investment and is inadequate to provide the minimum guaranteed pension, the Central Government would fund such inadequacy. Alternatively, if the returns on investment are higher, the subscribers would get enhanced pensionary benefits.

Subscribers can make contributions to APY on monthly/ quarterly / half-yearly basis. Subscribers can also voluntarily exit from APY subject to certain conditions, on deduction of Government co-contribution and return/interest thereon.

Progress under Atal Pension Yojana (as on 28.02.2025)

Total subscribers: 7.47 crore

ATAL PENSION YOJANA

Frequently Asked Questions

1. What is pension? Why do I need it?

A pension provides people with a monthly income when they are no longer earning.

Need for Pension:

- Decreased income earning potential with age.
- The rise of nuclear family and migration of earning members.
- Rise in cost of living.
- Increased longevity.
- Assured monthly income ensures dignified life in old age.

2. What is Atal Pension Yojana?

Atal Pension Yojana (APY), a pension scheme for citizens of India, is focused on the unorganised sector workers.

Under the APY, guaranteed minimum pension of **Rs. 1,000/- or Rs. 2,000/- or Rs. 3,000/- or Rs. 4,000/- or Rs. 5,000/- per month** will be given at the age of 60 years depending on the contributions by the subscribers.

3. Who can subscribe to APY?

Any Citizen of India can join APY scheme.

The following are the eligibility criteria:

1. The age of the subscriber should be between **18–40 years**.
 2. He/She should have a **savings bank account**.
 3. The prospective applicant may provide Aadhaar and mobile number to the bank during registration to facilitate receipt of periodic updates on APY account. However, Aadhaar is not mandatory for enrolment.
-

4. For how many years will the Government co-contribute?

The co-contribution of the Government of India is available for **5 years**, i.e., from the Financial Year **2015-16 to 2019-20** for subscribers who joined the scheme during the period from **1st June 2015 to 31st December 2015** and who are not covered by any Statutory Social Security Schemes and are not income tax payers.

The Government co-contribution is payable to eligible Permanent Retirement Account Number (PRANs) by the Pension Fund Regulatory and Development Authority (PFRDA) after receiving confirmation from the Central Record Keeping Agency once in a year.

Government co-contribution will first be credited in the subscriber's savings bank account and thereafter, this co-contribution would be transferred to the APY account by the bank.

This Government co-contribution cannot be used for any other purpose by subscribers other than the contribution to APY.

5. Who are the beneficiaries of other social security schemes who are not eligible to receive Government co-contribution under APY?

The beneficiaries who are covered under statutory social security schemes are not eligible to receive Government co-contribution under APY.

For example, members of Social Security Schemes under the following enactments would not be eligible for Government co-contribution under APY:

1. Employees' Provident Fund and Miscellaneous Provisions Act, 1952.
2. The Coal Mines Provident Fund and Miscellaneous Provisions Act, 1948.

3. Assam Tea Plantation Provident Fund and Miscellaneous Provisions, 1955.
 4. Jammu and Kashmir Employees' Provident Fund and Miscellaneous Provisions Act, 1961.
 5. Seamen's Provident Fund Act, 1966.
 6. Any other statutory social security scheme.
-

6. How much pension will be received under APY?

Minimum guaranteed monthly pension of **Rs. 1,000/- or Rs. 2,000/- or Rs. 3,000/- or Rs. 4,000/- or Rs. 5,000/- per month** will be given from the age of 60 years onwards depending on the contributions by the subscribers.

7. What is the benefit of joining APY scheme?

The benefit of minimum pension under Atal Pension Yojana would be guaranteed by the Government.

If the actual realised returns on the pension contributions are less than the assumed returns for minimum guaranteed pension over the period of contribution, such shortfall shall be funded by the Government.

If the actual returns on the pension contributions are higher than the assumed returns for minimum guaranteed pension, such excess shall be credited to the subscriber's account, resulting in enhanced scheme benefits to the subscribers.

The Government would also co-contribute **50% of the total contribution or Rs. 1,000 per annum, whichever is lower**, to each eligible subscriber who joined the scheme during the period 1st June 2015 to 31st December 2015 and who is not a beneficiary of any social security scheme and is not an income tax payer.

The Government co-contribution will be given for 5 years from the Financial Year 2015-16 to 2019-20.

At present, a subscriber under the National Pension System (NPS) is eligible to get tax benefit for the contribution, up to a ceiling, and even for the investment returns on such contributions.

The purchase price of the annuity on exit from NPS is also not taxed and only the pension income of the subscribers are considered to be part of normal income and taxed at the appropriate marginal rate of tax applicable to the subscriber.

It is proposed that a similar tax treatment may be given to the subscribers of APY. However, presently, a similar tax dispensation, on par with that available under NPS, is yet to be accorded to subscribers under APY.

8. How are the contributions invested in APY?

The contributions under APY are invested as per the investment guidelines prescribed by PFRDA for Central Government / State Government / NPS-Lite / Swavalamban Scheme.

9. What is the procedure for opening an APY Account?

1. Approach the bank branch where the individual's savings bank account is held or open a savings account if the subscriber does not have one.
 2. Provide the Bank A/C number and, with the help of the Bank staff, fill up the APY registration form.
 3. Provide Aadhaar / Mobile Number. This is not mandatory, but may be provided to facilitate communication regarding contribution.
 4. Ensure keeping the required balance in the savings bank account for transfer of monthly / quarterly / half-yearly contribution.
-

10. Whether Aadhaar Number is compulsory for joining the scheme?

It is not mandatory to provide Aadhaar number for opening APY account.

It is, however, desirable to provide Aadhaar Number for proper identification of the subscriber.

11. Can I open an APY Account without a savings bank account?

The savings bank account is mandatory for joining APY.

12. What is the mode of contribution to the account?

The contributions can be made at **monthly / quarterly / half-yearly intervals** through auto-debit facility from the savings bank account of the subscriber.

13. How much to contribute towards APY?

The monthly / quarterly / half-yearly contribution depends upon the intended / desired monthly pension and the age of the subscriber at entry.

The details may be referred to in **Annex I**.

14. What is the due date for contribution?

The contribution may be paid to APY through savings bank account:

- On any date of the particular month, in case of monthly contributions.
 - Any day of the first month of the quarter, in case of quarterly contributions.
 - Any day of the first month of the half year, in case of half-yearly contributions.
-

15. What will happen if the required or sufficient amount is not maintained in the savings bank account for contribution on the due date?

The subscribers should keep the required balance in their savings bank accounts on the stipulated due dates to avoid any overdue interest for delayed contributions.

If there is inadequate balance in the savings bank account of the subscriber till the last date of the month / last date of the first month in a quarter / last day of the first month in a half year, it will be treated as a default and contribution will have to be paid in the subsequent month along with overdue interest for delayed contributions.

Banks are required to collect **Rs. 1 per month for contribution of every Rs. 100, or part thereof, for each delayed monthly contribution.**

Overdue interest for delayed contribution for quarterly / half-yearly mode of contribution shall be recovered accordingly.

The overdue interest amount collected will remain as part of the pension corpus of the subscriber.

More than one monthly / quarterly / half-yearly contribution can be recovered subject to availability of the funds.

In all cases, the contribution is to be recovered along with the charges. This will be the bank's internal process.

The due amount will be recovered as and when funds are available in the account.

16. What will happen to the APY account in case of continuous default?

Deduction would be made in the subscriber's account for account maintenance charges and other related charges on a periodic basis.

Once the account balance in the subscriber's account becomes zero due to deduction of account maintenance charges, fees and overdue interest, the account would be closed immediately.

For those subscribers who have availed Government co-contribution, the account would be treated as becoming zero when the subscriber corpus minus the Government co-contribution would be equal to the account maintenance charges, fees and overdue interest and hence the net corpus becomes zero.

In this case, the Government co-contribution would be given back to the Government.

17. What are the fees and charges involved in maintaining the APY account?

The following charges and fees are applicable as specified in the source document:

Intermediary	Charge Head	Amount / Method
Central Recordkeeping Agencies	Initial subscriber registration	Rs. 120/- to Rs. 150/-, depending upon the number of subscribers
Central Recordkeeping Agencies	Subsequent persistence	Rs. 100/- per annum per subscriber
Banks	Account opening charges	Rs. 15/- per account
Banks	Account maintenance charges	Rs. 40/- per account per annum
Pension Fund Managers	Investment Management Fee	0.0102% per annum of AUM
Custodian	Investment Maintenance Fee	0.0075% for electronic and 0.05% per annum for physical segment of AUM
Other charges	Government incentive, promotion and development charges	On the pattern of Swavalamban

18. Is it required to furnish nomination while joining the scheme?

Yes. It is mandatory to provide nominee details in APY account.

If the subscriber is married, the spouse will be the default nominee.

Unmarried subscribers can nominate any other person as nominee.

The Aadhaar details of spouse and nominees may be provided.

19. How many APY accounts can I open?

A subscriber can open only **one APY account** and it is unique.

Multiple accounts are not permitted.

20. Will there be any option to increase or decrease the monthly contribution for higher or lower pension amount?

The subscribers can opt to decrease or increase the pension amount during the course of the accumulation phase, once a year.

However, the switching option shall be available once in a year during the month of April.

21. What is the withdrawal procedure from APY?

A. On attaining the age of 60 years

Upon completion of 60 years, the subscribers will submit the request to the associated bank for drawing the guaranteed minimum monthly pension or higher monthly pension, if investment returns are higher than the guaranteed returns embedded in APY.

The same amount of monthly pension is payable to the spouse (default nominee) upon death of the subscriber.

The nominee will be eligible for return of pension wealth accumulated till age 60 of the subscriber upon death of both the subscriber and spouse.

B. In case of death of the subscriber due to any cause after the age of 60 years

In case of death of subscriber, pension would be available to the spouse and on the death of both of them (subscriber and spouse), the pension wealth accumulated till age 60 of the subscriber would be returned to the nominee.

C. Exit before the age of 60 years

Exit before 60 years of age is generally not permitted.

It may be permitted by PFRDA only in exceptional circumstances, i.e., in the event of the death of beneficiary or terminal disease etc., in line with the provisions for premature exit under NPS.

In case a subscriber who has availed Government co-contribution under APY chooses to voluntarily exit APY at a future date, he shall only be refunded the contributions made by him to APY, along with the net actual accrued income earned on his contributions, after deducting the account maintenance charges.

The Government co-contribution and the accrued income earned on the Government co-contribution shall not be returned to such subscribers.

D. Death of subscriber before 60 years

The entire accumulated corpus under APY will be returned to the spouse / nominee.

However, pension shall not be payable to the spouse / nominee.

22. How will I know the status of my contribution?

The periodical information to the subscribers regarding activation of PRAN, balance in the account, contribution credits etc. will be intimated to APY subscribers by way of SMS alerts.

The subscriber will also receive a physical Statement of Account once a year.

23. Will I get a statement of transactions?

The physical statement of APY account will be provided to the subscribers annually.

24. If I move my residence / city, how can I make contributions to my APY account?

The contributions may be remitted through auto-debit uninterrupted even in case of change of residence / location.

25. What will happen if a subscriber becomes a non-citizen of the country?

The scheme is open to Indian citizens only.

Hence, in that event, the APY account will be closed and the contribution will be returned to the subscriber as mentioned above in the case of voluntary exit before the age of 60 years.

26. What will happen to existing subscribers in NPS-Lite / Swavalamban Yojana?

A. Subscriber between the age group of 18 and 40

The subscriber would be automatically migrated to APY with an option to opt out.

The associated aggregator will facilitate those subscribers for completing the process of migration.

The subscribers may also approach the nearest authorised bank branch for shifting their Swavalamban account into APY with PRAN details.

The benefit of co-contribution of the Government of India for those subscribers of Swavalamban Scheme who have migrated to APY would not exceed 5 years under both the Schemes.

The accumulated corpus of existing Swavalamban subscriber between the age group of 18 and 40 years, who get migrated to APY, will be kept under the same PRAN and remain as an additional wealth of the subscriber till the time of exit.

This additional amount may be given to the subscriber as enhanced pension benefit or as lump-sum withdrawal, as the case may be.

The contribution of such subscribers under APY, after migration from the Swavalamban Scheme to APY, would be as per the amount mentioned in Annex I, depending on the pension amount selected and the age of the subscriber.

B. Subscriber above 40 years of age

The subscribers under the Swavalamban Scheme who are beyond the age of 40 and who do not wish to continue under the Scheme may opt out by complete withdrawal of the entire amount in lump sum, or may prefer to continue till the age of 60 years, to be eligible for annuities thereunder.

ATAL PENSION YOJANA — GOVERNMENT NOTIFICATION

F. No. 16/1/2015-PR

1. Background

The Government of India has introduced a pension scheme called the Atal Pension Yojana (APY), with effect from **1st June, 2015**, pursuant to the announcement in the budget for 2015-16 on creating a universal social security system for all Indians, especially the poor, the under-privileged and the workers in the unorganised sector.

APY is being administered by the Pension Fund Regulatory and Development Authority (PFRDA) under the overall administrative and institutional architecture of the National Pension System (NPS).

2. Eligibility for joining APY

APY is open to all citizens of India who have a savings bank account.

The minimum age of joining APY is **18 years** and maximum age is **40 years**.

3. Features of APY

APY is a voluntary, periodic contribution-based pension system, under which the subscriber would receive the following benefits:

(i) Central Government guaranteed minimum pension amount

Each subscriber under APY shall receive a Central Government guaranteed minimum pension of:

- Rs. 1,000 per month
- Rs. 2,000 per month
- Rs. 3,000 per month
- Rs. 4,000 per month
- Rs. 5,000 per month

after the age of 60 years until death.

(ii) Central Government guaranteed minimum pension amount to the spouse

After the subscriber's demise, the spouse of the subscriber shall be entitled to receive the same pension amount as that of the subscriber until the death of the spouse.

(iii) Return of the pension wealth to the nominee of the subscriber

After the demise of both the subscriber and the spouse, the nominee of the subscriber shall be entitled to receive the pension wealth, as accumulated till age 60 of the subscriber.

4. Contribution payment by subscribers

The subscriber's contributions to APY shall be made through the facility of **auto-debit** of the prescribed contribution amount from the savings bank account of the subscriber in monthly, quarterly or half-yearly frequency.

The subscribers are required to contribute the prescribed contribution amount from the age of joining APY till age 60.

The details of age-wise, pension-wise and contribution-frequency-wise prescribed contribution amount and the indicative pension wealth available for the nominee is given in the table at **Annex I**.

5. Eligibility for co-contribution by Central Government

The subscribers in the eligible age, who are not income-tax payers and who are not covered under any statutory social security scheme, are entitled to receive:

(i) The co-contribution by Central Government of **50% of the total prescribed contribution, up to Rs. 1,000 per annum**, will be available for those eligible subscribers who join APY before 31st December, 2015.

(ii) The Central Government co-contribution shall be available for a period of 5 years, i.e., from Financial Year 2015-16 to 2019-20.

6. Additional voluntary co-contribution by State Governments

State Governments are enabled to provide additional voluntary co-contribution to APY subscribers of their State.

The procedure would be prescribed by PFRDA, in consultation with the Central Government.

7. Process for enrolment under APY

All citizens of India in the age group of 18–40 years can enroll themselves under APY by submitting the duly completed application form to any enrolment agency.

8. Enrolment agencies under APY

APY applications may be submitted to any of the following enrolment agencies:

(i) All banks, including:

- All nationalised banks
- Private banks
- Banking companies
- Regional rural banks
- Cooperative banks

either directly or through the following enablers:

(a) All Points of Presence (Service Providers) and Aggregators, which are governed under the institutional architecture of NPS and are appointed as such by PFRDA, could work as facilitators with banks.

(b) Business Correspondents (BCs) / existing non-banking aggregators, Micro Finance Institutions (MFIs) etc. who are appointed as enablers by banks.

(ii) Other enrolment agencies that may be specified as such by PFRDA or the Central Government, such as Department of Posts under CBS Platform.

9. Charges, fees and overdue interest under APY

The charges and fees and the overdue interest for non-payment or delayed payment of prescribed contribution amount shall be levied on the subscribers of APY.

These charges and their method of application shall be prescribed by PFRDA from time to time, in consultation with the Central Government.

10. Reimbursement of promotional expenditure and incentive for enrolment

The Central Government shall reimburse the expenditure done on promotional and development activities by the contribution collection agencies to encourage people to join APY in a manner as prescribed by the Central Government.

Banks and other enrolment agencies shall also be paid incentives for enrolments under APY, which may be shared by them with the BCs/MFIs/Non-Bank Aggregators in a ratio.

The incentives payable to the banks and other enrolment agencies and the ratio of sharing of these incentives shall be prescribed by PFRDA from time to time in consultation with the Central Government.

11. Existing subscribers of Swavalamban Scheme

The existing subscribers of Swavalamban in the age group of 18–40 years shall be migrated to APY unless they exercise an option to opt out.

The remaining subscribers outside this age group would be governed by the Pension Fund Regulatory and Development Authority (Exits and Withdrawals under the National Pension System) Regulations, 2015.

12. Investment of the contributions under APY

The amount collected under APY shall be invested as per the investment pattern specified by the Central Government from time to time.

13. Exit, withdrawal and pension payment

On completion of 60 years, the subscriber will get the guaranteed minimum monthly pension, or higher monthly pension, depending on the investment returns.

In exceptional circumstances, i.e., in the event of the death of beneficiary or specified illnesses, as mentioned in the Pension Fund Regulatory and Development Authority (Exits and Withdrawals under the National Pension System) Regulations, 2015, before the age of 60 years, the accumulated pension wealth till date would be given to the nominee or the subscriber, as the case may be.

In case a subscriber who has availed Government co-contribution under APY chooses to voluntarily exit APY before the age of 60, he shall only be refunded the contributions made by him to APY, along with the net actual interest earned on his contributions after deducting the account maintenance charges.

The Government co-contribution and the interest earned on the Government co-contribution shall not be returned to such subscribers.

Dr. SHASHANK SAKSENA
Economic Advisor

Pradhan Mantri Jan Dhan Yojana (PMJDY)

Pradhan Mantri Jan Dhan Yojana (PMJDY)

Objective of "**Pradhan Mantri Jan-Dhan Yojana (PMJDY)**" is ensuring access to various financial services like availability of basic savings bank account, access to need based credit, remittances facility, insurance and pension to the excluded sections i.e. weaker sections & low income groups. This deep penetration at affordable cost is possible only with effective use of technology.

PMJDY is a National Mission on Financial Inclusion encompassing an integrated approach to bring about comprehensive financial inclusion of all the households in the country. The plan envisages universal access to banking facilities with at least one basic banking account for every household, financial literacy, access to credit, insurance and pension facility. In addition, the beneficiaries would get RuPay Debit card having inbuilt accident insurance cover of ₹ 1 lakh. The plan also envisages channeling all Government benefits (from Centre / State / Local Body) to the beneficiaries accounts and pushing the Direct Benefits Transfer (DBT) scheme of the Union Government. The technological issues like poor connectivity, on-line transactions will be addressed. Mobile transactions through telecom operators and their established centres as Cash Out Points are also planned to be used for Financial Inclusion under the Scheme. Also an effort is being made to reach out to the youth of this country to participate in this Mission Mode Programm

Pradhan Mantri Jan Dhan Yojana (PMJDY) was launched as the National Mission for Financial Inclusion on 28.8.2014. It aims to ensure comprehensive financial inclusion of all households in the country by providing universal access to banking facilities with at least one basic bank account to every household, financial literacy, and social security cover.

With a view to further deepening the Financial Inclusion interventions in the country, PMJDY has been extended beyond 14.8.2018 with the focus on opening of accounts shifting from “every household” to “every unbanked adult”.

The Scheme offers:

- To unbanked persons a basic bank account without any minimum balance requirement, called a Basic Savings Bank Deposit (BSBD) account;
- Free RuPay debit card, with in-built accident insurance cover of Rs. 2 lakh;
- Access to overdraft facility of upto Rs. 10,000, subject to eligibility conditions;
- Easy access to banking services in rural areas, through Bank Mitras;
- Awareness about financial products through financial literacy programs.

Progress under PMJDY (as on 28.02.2025):

- PMJDY Accounts : 54.97 crore
- Deposit in accounts : Rs. 2,52,750 crore
- Women accounts : 30.60 crore (55.7%)
- Accounts in Rural/Semi urban : 36.59 crore (66.6%)
- RuPay cards issued : 37.60 crore

From Jan Dhan to Jan Suraksha

For creating a universal social security system for all Indians, especially the poor and the under-privileged, three Social Security Schemes in the Insurance and Pension sectors were launched on 9th of May, 2015 by the Hon'ble Prime Minister.

Scheme Details

Pradhan Mantri Jan-Dhan Yojana (PMJDY) is National Mission for Financial Inclusion to ensure access to financial services, namely, a basic savings & deposit accounts, remittance, credit, insurance, pension in an affordable manner. Under the scheme, a basic savings bank deposit (BSBD) account can be opened in any bank branch or Business Correspondent (Bank Mitra) outlet, by persons not having any other account.

Benefits under PMJDY

- a. One basic savings bank account is opened for unbanked person.
- b. There is no requirement to maintain any minimum balance in PMJDY accounts.
- c. Interest is earned on the deposit in PMJDY accounts.
- d. Rupay Debit card is provided to PMJDY account holder.
- e. Accident Insurance Cover of Rs.1 lakh (enhanced to Rs. 2 lakh to new PMJDY accounts opened after 28.8.2018) is available with RuPay card issued to the PMJDY account holders.
- f. An overdraft (OD) facility up to Rs. 10,000 to eligible account holders is available.

g. PMJDY accounts are eligible for Direct Benefit Transfer (DBT), Pradhan Mantri Jeevan Jyoti Bima Yojana (PMJJBY), Pradhan Mantri Suraksha Bima Yojana (PMSBY), Atal Pension Yojana (APY), Micro Units Development & Refinance Agency Bank (MUDRA) scheme.

PRADHAN MANTRI JAN DHAN YOJANA (PMJDY)

Frequently Asked Questions

1. What is Pradhan Mantri Jan Dhan Yojana (PMJDY)?

Pradhan Mantri Jan Dhan Yojana (PMJDY) is a National Mission for Financial Inclusion to ensure access to financial services such as basic savings and deposit accounts, remittance, credit, insurance and pension in an affordable manner.

2. What is the objective of PMJDY?

The objective of PMJDY is to ensure access to various financial services such as:

- Basic savings bank accounts
- Need-based credit
- Remittance facilities
- Insurance
- Pension

The scheme focuses particularly on weaker sections and low-income groups.

3. When was PMJDY launched?

Pradhan Mantri Jan Dhan Yojana was launched as the **National Mission for Financial Inclusion on 28 August 2014.**

It aims to ensure comprehensive financial inclusion of all households in the country by providing universal access to banking facilities, financial literacy and social security cover.

4. Who can open a PMJDY account?

A **person who does not have any other bank account** can open a Basic Savings Bank Deposit (BSBD) account under PMJDY.

The account can be opened at:

- Any bank branch

- Business Correspondent (Bank Mitra) outlet
-

5. Is there any minimum balance requirement in a PMJDY account?

No. There is **no requirement to maintain any minimum balance** in PMJDY accounts.

6. What are the benefits of a PMJDY account?

The major benefits include:

- One basic savings bank account for an unbanked person.
 - No minimum balance requirement.
 - Interest is earned on deposits.
 - RuPay Debit Card is provided.
 - Accident insurance cover is available with the RuPay card.
 - Overdraft facility of up to **Rs. 10,000** is available to eligible account holders.
 - Access to banking services through Bank Mitras.
 - Access to financial literacy programmes.
-

7. What is the accident insurance cover under PMJDY?

The RuPay Debit Card provided to PMJDY account holders comes with an accident insurance cover.

The accident insurance cover was **Rs. 1 lakh**, and it was enhanced to **Rs. 2 lakh for new PMJDY accounts opened after 28 August 2018**.

8. Is overdraft facility available under PMJDY?

Yes. An **overdraft (OD) facility of up to Rs. 10,000** is available to eligible PMJDY account holders, subject to eligibility conditions.

9. What government schemes can be linked with PMJDY accounts?

PMJDY accounts are eligible for Direct Benefit Transfer (DBT) and can be used for schemes including:

- Pradhan Mantri Jeevan Jyoti Bima Yojana (PMJJBY)
- Pradhan Mantri Suraksha Bima Yojana (PMSBY)

- Atal Pension Yojana (APY)
 - Micro Units Development & Refinance Agency Bank (MUDRA) scheme
-

10. What was the progress under PMJDY as on 28 February 2025?

As on **28.02.2025**:

- **PMJDY Accounts:** 54.97 crore
- **Deposits in accounts:** Rs. 2,52,750 crore
- **Women accounts:** 30.60 crore (55.7%)
- **Accounts in Rural/Semi-urban areas:** 36.59 crore (66.6%)
- **RuPay cards issued:** 37.60 crore

Pradhan Mantri Suraksha Bima Yojana (PMSBY)

Pradhan Mantri Suraksha Bima Yojana (PMSBY)

The Pradhan Mantri Suraksha Bima Yojana (PMSBY) is a one-year personal accident insurance Scheme, renewable from year to year. It offers coverage for death/disability due to an accident and is available to people in the age group of 18 to 70 years having a bank account and who give their consent to join and enable auto-debit.

- Annual premium is Rs 20 per year;
- Risk Cover period: 1st June to 31st May;
- Benefit of Rs. 2 Lakh payable on death or permanent total disability and Rs. 1 Lakh on partial disability. Simple claim settlement procedure / process involving minimum documentation has been put in place;
- It involves convenient bank account linked enrolment with implementation in IT mode and premium payment through auto-debit from the bank account of the subscriber;
- The Scheme is being offered by Public Sector General Insurance Companies or any other General Insurance Company willing to offer the product on similar terms with necessary approvals and tie up with Banks for this purpose.

Progress under PMSBY (as on 28.02.2025):

Cumulative enrolment : 50.15 crore

FAQs on PRADHAN MANTRI SURAKSHA BIMA YOJANA (PMSBY)

Q1. What is the nature of the scheme? The scheme is a one year cover Personal Accident Insurance Scheme, renewable from year to year, offering protection against death or disability due to accident.

Q2. What would be the benefits under the scheme and premium payable? The benefits payable under the scheme on death or disability due to accident are as follows: Table of Benefits
Sum Insured a Death b Total and irrecoverable loss of both eyes or loss of use of both hands or feet or loss of sight of one eye and loss of use of hand or foot Rs. 2 Lakh Rs. 2 Lakh c Total and irrecoverable loss of sight of one eye or loss of use of one hand or foot Rs. 1 Lakh
Premium payable is Rs.20/- per annum per member

. Q3. What do you mean by “accident”? Accident means a sudden, unforeseen and involuntary event caused by external, violent and visible means.

Q4. How will the premium be paid? The premium will be deducted from the account holder's bank / Post office account through 'auto debit' facility in one instalment, as per the consent given by the subscriber at the time of enrolment.

Q5. Who will offer / administer the scheme? The scheme is offered / administered through the Public Sector General Insurance Companies (PSGICs) and other general insurance companies willing to offer the product with necessary approvals on similar terms, in collaboration with

participating Banks. Participating banks are free to engage any such general insurance company for implementing the scheme for their account holders/subscribers.

Q5. Who will be eligible to subscribe? All individual (single or joint) account holders of participating banks / Post office, in the age group of 18 to 70 years are entitled to join. In case of multiple accounts held by an individual in one or different banks/ Post offices, the person is eligible to join the scheme through one bank / Post office account only.

Q6. What is the enrolment period and modality? The cover shall be for one-year period stretching from 1st June to 31st May. At the time of enrolment, subscriber has to submit his option on the prescribed form, to join / pay by auto-debit from the designated individual bank / Post office account, until further instructions, an amount of Rs.20/- (Rupees Twenty only) per annum, or any amount as decided from time to time, which may be intimated immediately if and when revised, towards renewal of coverage under the scheme. Delayed enrolment / renewal subsequent to this date will be possible on payment of annual premium.

Q7. Can eligible individuals who fail to join the scheme in the initial year join in subsequent years? Yes, new eligible entrants can also join in future years on payment of premium through auto-debit. However, risk cover would start from the date of auto debit of premium from the subscriber's account.

Q8. Can individuals who leave the scheme re-join? Individuals who exit the scheme at any point may re-join the scheme in future years by paying the annual premium, subject to conditions that may be laid down. However, risk cover would start from the date of auto debit of premium from the subscriber's account.

Q9. Who would be the Master policy holder for the scheme? Participating Banks/ Post office are the Master policy holders for the scheme. A simple and subscriber friendly administration & claim settlement process has been finalized by PSGICs / other insurance companies in consultation with the participating banks / Post office.

Q10. When can the accident cover assurance terminate? The accident cover of the member shall terminate / be restricted accordingly on any of the following events: i. ii. iii. On attaining age 70 years (age nearer birth day). Closure of account with the Bank or insufficiency of balance to keep the insurance in force. In case a member is covered through more than one account and premium is received by the insurance company inadvertently, insurance cover will be restricted to one account and the premium shall be liable to be forfeited.

Q11. What will be the role of the insurance company and the Bank? i. The scheme will be administered by PSGICs or any other general insurance company which is willing to offer such a product in partnership with banks / Post offices. ii. iii. It will be the responsibility of the participating bank / Post office to recover the appropriate annual premium in one instalment, as per the option, from the account holders on or before the due date through 'auto-debit' process and transfer the amount due to the insurance company. Enrolment form / Auto-debit authorization / Consent cum Declaration form in the prescribed proforma shall be obtained, as required, and retained by the participating bank / Post office. In case of claim, PSGIC / insurance company may seek submission of the same. PSGIC / Insurance Company also reserve the right to call for these documents at any point of time.

Q12. How would the premium be appropriated? Appropriation of Premium: 1) Insurance Premium payable to Insurance Company: Rs. 20/- per annum per member 2) Commission payable to Business Correspondents, agents, etc. by the insurer: Re.1/- per member (for new enrolments only). 3) Administrative expenses payable to participating Bank by insurer: Re.1/- per annum per member Note: The amount of commission payable to Business Correspondents, agents, etc. as specified in item 2) saved in case of voluntary enrolment by an accountholder through electronic means shall be passed on as a benefit to the subscriber by correspondingly reducing the amount of the Insurance Premium payable specified in item 1). Q13. Will this cover be in addition to cover under any other insurance scheme the subscriber may be covered under? Yes. Q14. Does the PMSBY cover death / disability resulting from natural calamities such as earthquake, flood and other convulsions of nature? What about coverage of suicide / murder? Natural calamities being in the nature of accidents, any death / disability (as defined under PMSBY) resulting from such natural calamities is also covered under PMSBY. While death due to suicide is not covered, that from murder is covered. Q15. Can all holders of a joint bank account join the scheme through the said account? In case of a joint account, all holders of the said account can join the scheme provided they satisfy its eligibility criteria and pay the premium at the rate of Rs.20 per person per annum through auto-debit. Q16. Which Bank Accounts are eligible for subscribing to PMSBY? All bank account holders other than institutional account holders are eligible for subscribing to PMSBY scheme. Q17. Are NRIs eligible for coverage under PMSBY? Any NRI having an eligible bank account with a bank branch located in India is eligible for purchase of PMSBY cover through this account subject to fulfilment of the terms and conditions relating to the scheme. However, in case a claim arises, the claim benefit will be paid to the beneficiary/ nominee only in Indian currency. Q18. Is there any provision for reimbursement of hospitalisation expenses following accident resulting in death or disablement? No. Q19. Who can claim insurance benefit in case of death of the bank account holder who gave the enrolment form? In case of death of the account holder/subscriber who enrolled in the scheme, claim can be filed by the nominee/appointee as per the enrolment form or by the legal heir/s in case there is no nomination made by the subscriber bank account holder. Q20. What is the mode of payment of the claim amount? Disability claim will be credited in the bank account of the insured bank account holder / subscriber. Death claim will be remitted to the bank account of the nominee / legal heir(s). Q21. Will the family get insurance benefit if the account holder commits suicide? No. Q22. Is it necessary to report accidents to Police and obtain FIR for claiming benefits under the policy? In case of incidents like road, rail and similar vehicular accidents, drowning, death involving any crime etc, the accident should be reported to police. In case of incidents like snake bite, fall from tree etc, the cause should be supported by immediate hospital record. Q23. If the insured is missing and death is not confirmed, will the legal heirs get benefit of insurance? PMSBY covers deaths due to accident as confirmed by documentary evidence only. Q24. What benefit will be payable if a person suffers partial disability without irrecoverable loss of sight of one eye or loss of use of one hand or foot? No benefit will be payable. Q25. Can an account holder get claim from more than one bank where he has enrolled and premium has been debited? No. The insured/ nominee shall be eligible for one claim only. Q26. Are PMSBY policies being introduced and serviced in association with foreign insurance Companies? There are no foreign insurance Companies directly operating in India. As permitted by the Insurance Act and IRDA Regulations there are some foreign Companies in joint ventures with Indian companies, where the stake of

foreign insurers is restricted to 74% only. Q.27. Will the PMSBY scheme which is being promoted aggressively and sold in large numbers accrue huge profits to the foreign insurance Companies who in joint venture with Indian entities have floated general insurance companies and are operating this insurance cover? Only Indian Insurance Companies as defined in the Insurance Act can operate in India. The policy holders' funds of all such insurance companies operating in India including those with foreign partners within the 74% cap are to be invested in India as per regulations and cannot be invested abroad. The premium charged for PMSBY has been worked out based on actuarial calculations by considering all risk factors, current mortality rates and adverse selection. Thus, there is no scope for any huge profits accruing from the scheme. Q.28. Why are foreign insurance Companies associated with PMSBY when Public Sector General Insurance Companies (PSGICs) which are government owned companies could have managed this scheme launched by the government? There are 21 general insurance companies operating in India, who are licensed by IRDAI to carry on general insurance business in India. To promote competition and better pricing and service to customers, all these companies are permitted to participate. Moreover, they are all Indian insurance companies. Their foreign partners, if any, have only a stake in these companies within the stipulated 74% cap. However, Public Sector General Insurance Companies (PSGICs) are still the primary insurers involved in operation of the scheme. Q.29. In case of non-settlement of claims is it possible to proceed legally against the foreign insurers in India? There are no foreign insurance Companies directly operating in India. As permitted by the regulations there are Companies operating as joint ventures with Indian companies, where the stake of foreign insurers is restricted to 74% only. By definition, these are Indian insurance companies. All these companies are subject to Indian laws and there is no bar against proceeding legally against them. Q.30. Rates of premium may be increased, or the Companies may discontinue the schemes in future? Insurance is like any other product. While rates can go up in future, with 21 general insurance Companies operating in India, due to competition among them, prices are likely to remain stable. It is expected that with the design of the PMSBY cover and its pricing, the scheme will be viable, and there is little chance of discontinuing. In any event, even if a particular company discontinues, banks have several other options to tie up with.

RULES FOR THE PRADHAN MANTRI SURAKSHA BIMA YOJANA (With effect from 1.6.2022)

DETAILS OF THE SCHEME:

PMSBY is an Accident Insurance Scheme offering accidental death and disability cover for death or disability on account of an accident. It would be a one-year cover, renewable from year to year. The scheme would be offered / administered through Public Sector General Insurance Companies (PSGICs) and other General Insurance companies willing to offer the product on similar terms with necessary approvals and tie up with Banks / Post office for this purpose. Participating banks / Post office will be free to engage any such insurance company for implementing the scheme for their subscribers. Scope of coverage: All individual bank/ Post office account holders in the age group of 18 to 70 years in participating banks/ Post office will be entitled to join. In case of multiple bank/ Post office accounts held by an individual in one or different banks/ Post office, the person would be eligible to join the scheme through one bank / Post office account only.

Aadhar would be the primary KYC for the bank/ Post office account. Enrolment Modality / Period: The cover shall be for the one-year period stretching from 1st June to 31st May for which option to join / pay by auto-debit from the designated bank/ Post office account on the prescribed forms will be required to be given by 31st May of every year. Joining subsequently on payment of full annual premium would be possible.

However, applicants may give an indefinite / longer option for enrolment / auto-debit, subject to continuation of the scheme with terms as may be revised on the basis of past experience. Individuals who exit the scheme at any point may re-join the scheme in future years through the above modality. New entrants into the eligible category from year to year or currently eligible individuals who did not join earlier shall be able to join in future years while the scheme is continuing. Benefits: As per the following table: Table of Benefits a Death Sum Insured b Total and irrecoverable loss of both eyes or loss of use of both hands or feet or loss of sight of one eye and loss of use of hand or foot Rs. 2 Lakh Rs. 2 Lakh c Total and irrecoverable loss of sight of one eye or loss of use of one hand or foot Rs. 1 Lakh Premium: Rs. 20/- per annum per member. The premium will be deducted from the account holder's bank/ Post office account through 'auto debit' facility in one instalment on or before 1 st June of each annual coverage period under the scheme.

However, in cases where auto debit takes place after 1st June, the cover shall commence from the date of auto debit of premium by Bank/ Post office. The premium would be reviewed based on annual claims experience. Eligibility Conditions: Individual bank/ Post office account holders of participating banks/ Post office aged between 18 years (completed) and 70 years (age nearer birthday) who give their consent to join / enable auto-debit, as per the above modality, will be enrolled into the scheme. Master Policy Holder: Participating Bank/ Post office will be the Master policy holder on behalf of the participating subscribers.

A simple and subscriber friendly administration & claim settlement process has been finalized by the respective general insurance company in consultation with the participating Banks. Termination of cover: The accident cover for the member shall terminate on any of the following events and no benefit will be payable there under: 1) On attaining age 70 years (age nearest birthday). 2) Closure of account with the Bank/ Post office or insufficiency of balance to keep the insurance in force. 3) In case a member is covered through more than one account and premium is received by the Insurance Company inadvertently, insurance cover will be restricted to one bank/ Post office account only and the premium paid for duplicate insurance(s) shall be liable to be forfeited. 4) If the insurance cover is ceased due to any technical reasons such as insufficient balance on due date or due to any administrative issues, the same can be reinstated on receipt of full annual premium, subject to conditions that may be laid down. During this period, the risk cover will be suspended and reinstatement of risk cover will be at the sole discretion of Insurance Company. 5) Participating banks will deduct the premium amount in the same month when the auto debit option is given, preferably in May of every year, and remit the amount due to the Insurance Company in that month itself.

Administration: The scheme, subject to the above, will be administered as per the standard procedure stipulated by the Insurance Company. The data flow process and data proforma will be provided separately. It will be the responsibility of the participating bank/ Post office to

recover the appropriate annual premium from the account holders within the prescribed period through 'auto-debit' process. Enrolment form / Auto-debit authorization in the prescribed proforma shall be obtained and retained by the participating bank/ Post office. In case of claim, the Insurance Company may seek submission of the same. Insurance Company reserves the right to call for these documents at any point of time.

The acknowledgement slip may be made into an acknowledgement slip-cum certificate of insurance. The scheme is liable to be discontinued prior to commencement of a new future renewal date if circumstances so require. Appropriation of Premium: 1) Insurance Premium payable to Insurance Company: Rs. 20/- per annum per member 2) Commission payable to Business Correspondents, agents, etc. by the insurer: Re.1/- per member (for new enrolments only). 3) Administrative expenses payable to participating Bank by insurer: Re.1/- per annum per member Note: The amount of commission payable to Business Correspondents, agents, etc. as specified in item 2) saved in case of voluntary enrolment by an accountholder through electronic means shall be passed on as a benefit to the subscriber by correspondingly reducing the amount of the Insurance Premium payable specified in item .

FAQs on PRADHAN MANTRI JEEVAN JYOTI BIMA YOJANA (PMJJBY)

Short Description

Pradhan Mantri Jeevan Jyoti Bima Yojana (PMJJBY) is a one-year renewable life insurance scheme that provides ₹2 lakh life cover for death due to any reason to eligible bank/Post Office account holders aged 18–50 years, with an annual premium of ₹436 paid through auto-debit

Frequently Asked Questions

Q1. What is the nature of the scheme?

The scheme is a **one-year cover term life insurance scheme**, renewable from year to year, offering life insurance cover for death due to any cause.

Q2. What would be the benefits under the scheme and premium payable?

Benefit:

₹2 lakh is payable on a subscriber's death due to any cause.

Premium:

The premium payable is **₹436/- per annum per subscriber**.

For those getting enrolled under PMJJBY for the first time during the middle of the policy period, payment of pro-rata premium is allowed as follows:

Period of enrolment	Premium payable
June, July and August	Full annual premium of ₹436/-
September, October and November	Pro-rata premium of ₹342/-
December, January and February	Pro-rata premium of ₹228/-
March, April and May	Pro-rata premium of ₹114/-

However, the **full year's premium of ₹436/-** is payable at the time of renewal under the scheme.

For subscribers enrolling for the first time, risk starts from the date of auto-debit of premium. However, insurance cover shall **not be available for death, other than due to accident, occurring during the first 30 days** from the date of enrolment into the scheme. This is known as the **lien period**. In case of death, other than due to accident, during the lien period, no claim would be admissible.

Q3. How will the premium be paid?

The premium will be deducted from the account holder's **bank/Post Office account through the 'auto debit' facility** in one instalment, as per the consent given by the subscriber at the time of enrolment.

Q4. Who will offer/administer the scheme?

The scheme is offered/administered through **LIC and other life insurance companies** willing to offer the product with necessary approvals on similar terms, in collaboration with participating **Banks/Post Offices**.

Participating banks/Post Offices are free to engage any such life insurance company for implementing the scheme for their account holders/subscribers.

Q5. Who will be eligible to subscribe?

All individual **single or joint account holders** of participating banks/Post Offices, in the age group of **18 to 50 years**, are entitled to join.

In case of multiple accounts held by an individual in one or different banks/Post Offices, the person is eligible to join the scheme through **one bank/Post Office account only**.

Q6. What is the enrolment period and modality?

The cover shall be for a **one-year period stretching from 1st June to 31st May**.

At the time of enrolment, the subscriber has to submit his/her option on the prescribed form to join/pay by auto-debit from the designated individual bank/Post Office account, until further instructions, an amount of **₹436/- (Rupees Four Hundred Thirty-Six only) per annum**, or any amount as decided from time to time, which may be intimated immediately if and when revised, towards renewal of coverage under the scheme.

Delayed enrolment/renewal subsequent to this date will be possible on payment of appropriate premium as described in Q2 above, subject to changes in terms regarding insurance coverage.

Q7. Can eligible individuals who fail to join the scheme in the initial year join in subsequent years?

Yes. New eligible entrants can also join in future years on payment of premium through auto-debit.

However, for such subscribers, insurance benefit shall **not be available for death due to any cause other than accident occurring during the first 30 days** from the date of enrolment into the scheme.

Q8. Can individuals who leave the scheme re-join?

Individuals who exit the scheme at any point may re-join the scheme in future years by paying the appropriate premium as described in Q2 above.

However, for such subscribers, insurance benefit shall **not be available for death due to any cause other than accident occurring during the first 30 days** from the date of enrolment into the scheme.

Q9. Who would be the Master Policy Holder for the scheme?

Participating **Banks/Post Offices** are the Master Policy Holders for the scheme.

A simple and subscriber-friendly administration and claim settlement process has been finalized by LIC/other insurance companies in consultation with the participating banks/Post Offices.

Q10. When can the assurance on life of the member terminate?

The assurance on the life of the member shall terminate/restricted accordingly on any of the following events:

a) On attaining age 55 years

The cover terminates on attaining age 55 years, subject to annual renewal up to that date. Entry, however, will not be possible beyond the age of 50 years.

b) Closure of account or insufficient balance

The cover terminates if the account with the Bank is closed or there is insufficient balance to keep the insurance in force.

c) Multiple accounts/duplicate insurance

In case a member is covered through more than one account and premium is received by LIC/insurance company inadvertently, insurance cover will be restricted to **₹2 lakh** and the premium paid for duplicate insurance(s) shall be liable to be forfeited.

Q11. What will be the role of the insurance company and the Bank?

a) Role of insurance company

The scheme will be administered by **LIC or any other life insurance company** which is willing to offer the product in partnership with banks/Post Offices.

b) Role of participating Bank/Post Office

It will be the responsibility of the participating bank/Post Office to recover the appropriate premium in one instalment, as per the option, from the account holders on or before the due date through the **auto-debit process** and transfer the amount due to the insurance company.

c) Enrolment and consent documents

Enrolment form/Auto-debit authorization/Consent-cum-Declaration form in the prescribed proforma, as required, shall be obtained and retained by the participating bank/Post Office.

In case of a claim, LIC/insurance company may seek submission of the same. LIC/Insurance Company also reserves the right to call for these documents at any point of time.

Q12. How would the premium be appropriated?

Appropriation of Premium

The premium collected under PMJJBY is appropriated towards:

- 1. Insurance Premium to LIC/Insurance Company**
- 2. Commission payable to Business Correspondents, agents, etc. — for new enrolments only**
- 3. Administrative Expenses payable to participating Banks**

Particulars	Full Annual Premium ₹436/-	₹342/- collected in 2nd quarter	₹228/- collected in 3rd quarter	₹114/- collected in 4th quarter
Insurance Premium to LIC/Insurance Company	₹395/-	₹309/-	₹206/-	₹103/-
Commission payable to Business Correspondents, agents, etc. (for new enrolments only)	₹30/-	₹22.50	₹15/-	₹7.50
Administrative Expenses payable to participating Banks	₹11/-	₹10.50	₹7/-	₹3.50

Note: The amount of commission payable to Business Correspondents, agents, etc., as specified in item (2), saved in case of voluntary enrolment by an account holder through electronic means, shall be passed on as a benefit to the subscriber by correspondingly reducing the amount of the Insurance Premium payable specified above.

Q13. Will this cover be in addition to cover under any other insurance scheme the subscriber may be covered under?

Yes.

Q14. Can all holders of a joint bank account join the scheme through the said account?

In case of a joint account, **all holders of the said account can join the scheme**, provided they satisfy the eligibility criteria and pay the appropriate premium as described in the reply to Q2 above.

Q15. Are NRIs eligible for coverage under PMJJBY?

Any **NRI having an eligible bank account with a bank branch located in India** is eligible for purchase of PMJJBY cover, subject to fulfilment of the terms and conditions relating to the scheme.

However, in case a claim arises, the claim benefit will be paid to the **beneficiary/nominee only in Indian currency**.

Q16. Which Bank Accounts are eligible for subscribing to PMJJBY?

All **bank account holders other than institutional account holders** are eligible for subscribing to the PMJJBY scheme.

Q17. Does the PMJJBY cover death resulting from natural calamities such as earthquake, flood and other convulsions of nature? What about coverage from suicide/murder?

All these events are covered, as PMJJBY covers death due to any reason.

Q18. Are PMJJBY policies being introduced and serviced in association with foreign insurance companies?

There are **no foreign insurance companies directly operating in India**.

As permitted by the Insurance Act and IRDAI regulations, there are some foreign companies in joint ventures with Indian companies, where the stake of foreign insurers is restricted to **74% only**.

Q19. Contrary to other life insurance products, benefit under PMJJBY is payable only to nominee of the insured on the death of the insured. Why is there no maturity benefit or surrender value, which is available in normal life insurance policies?

The cover under PMJJBY is **for death only** and hence the benefit will accrue only to the nominee.

PMJJBY is a **pure term insurance policy**, which covers only mortality with no investment component.

The pricing is also accordingly low when compared to other life insurance policies where maturity benefits, surrender value, etc., are available.

It has been designed to provide life insurance cover to the **weaker sections of society**. With this aim, the premium is kept low by eliminating the investment component.

Q20. Will the PMJJBY scheme, which is being promoted aggressively and sold in large numbers, accrue huge profits to the foreign insurance companies who in joint venture with Indian entities have floated life insurance companies and are operating this insurance cover?

Only **Indian Insurance Companies as defined in the Insurance Act** can operate in India.

The policy holders' funds of all such insurance companies operating in India, including those with foreign partners within the **74% cap**, are to be invested in India as per regulations and cannot be invested abroad.

The premium charged for PMJJBY has been worked out based on **actuarial calculations**, considering all risk factors, current mortality rates and adverse selection.

Thus, there is no scope for any huge profits accruing from the scheme.

Q21. Why are foreign insurance companies associated with PMJJBY when LIC, which is a government-owned corporation, could have managed this scheme launched by the government?

There are **24 life insurance companies operating in India**, which are licensed by IRDAI to carry on life insurance business.

To promote **competition and better pricing and service to customers**, all these companies are permitted to participate.

Moreover, they are all Indian insurance companies. Their foreign partners, if any, have only a stake in these companies within the stipulated **74% cap**.

However, **LIC is still the primary insurer involved in operation of the scheme**.

Q22. In case of non-settlement of claims, is it possible to proceed legally against the foreign insurers in India?

There are **no foreign insurance companies directly operating in India**.

As permitted by the regulations, there are companies operating as joint ventures with Indian companies, where the stake of foreign insurers is restricted to **74% only**.

By definition, these are **Indian insurance companies**.

All these companies are subject to **Indian laws**, and there is no bar against proceeding legally against them.

Q23. Rates of premium may be increased, or the companies may discontinue the schemes in future.

Insurance is like any other product. While rates can go up in future, with **24 life insurance companies operating in India**, due to competition among them, prices are likely to remain stable.

It is expected that with the design of the PMJJBY cover and its pricing, the scheme will be viable, and there is little chance of discontinuing.

In any event, even if a particular company discontinues, banks have several other options to tie up with.

PMJJBY — Key Information Extracted from the Full Source

- **Scheme:** Pradhan Mantri Jeevan Jyoti Bima Yojana (PMJJBY)
- **Type:** One-year renewable term life insurance
- **Life cover:** ₹2 lakh
- **Annual premium:** ₹436/-
- **Entry age:** 18–50 years
- **Maximum age for coverage:** 55 years
- **Coverage period:** 1 June to 31 May
- **Premium payment:** Auto-debit
- **Master Policy Holder:** Participating Banks/Post Offices
- **Insurers:** LIC and other participating life insurance companies
- **Multiple accounts:** Coverage through one account only
- **Joint accounts:** All eligible holders can join
- **First 30 days:** Death other than accident is not covered for new/rejoining subscribers
- **Maturity benefit:** None
- **Surrender value:** None

- **Claim benefit:** Payable to nominee/beneficiary
- **NRI eligibility:** Eligible with an eligible bank account at a bank branch in India
- **Natural calamities/suicide/murder:** Covered according to the supplied source
- **Rejoining:** Permitted in future years with applicable premium
- **Account closure/insufficient balance:** Can terminate coverage.

REVISED RULES FOR PRADHAN MANTRI JEEVAN JYOTI BIMA YOJANA (PMJJBY)

Effective from 1 June 2022

1. Details of the Scheme

PMJJBY is an insurance scheme offering **life insurance cover for death due to any reason**. It is a **one-year cover**, renewable from year to year.

The scheme is offered/administered through **LIC and other Life Insurance companies** willing to offer the product on similar terms with necessary approvals and tie-ups with Banks/Post Offices for this purpose.

Participating Banks/Post Offices are free to engage any such life insurance company for implementing the scheme for their subscribers.

2. Scope of Coverage

All individual account holders of participating Banks/Post Offices in the age group of **18 to 50 years** are entitled to join.

In case of multiple Bank/Post Office accounts held by an individual in one or different Banks/Post Offices, the person is eligible to join the scheme through **one Bank/Post Office account only**.

Aadhaar is the primary KYC for the Bank/Post Office account.

3. Enrolment Period

The cover shall be for a **one-year period stretching from 1 June to 31 May**, for which the option to join/pay by auto-debit from the designated individual Bank/Post Office account on the prescribed forms will be required to be given by **31 May of every year**.

Delayed enrolment for prospective cover is possible with payment of pro-rata premium as described below:

Enrolment Period	Premium Payable
June, July and August	Full Annual Premium of ₹436/-
September, October and November	Pro-rata premium of ₹342/-
December, January and February	Pro-rata premium of ₹228/-
March, April and May	Pro-rata premium of ₹114/-

A **lien period of 30 days** shall be applicable from the date of enrolment.

4. Enrolment Modality

The cover shall be for a **one-year period stretching from 1 June to 31 May**, for which the option to join/pay by auto-debit from the designated individual Bank/Post Office account on the prescribed forms will be required to be given by **31 May of every year**.

Delayed enrolment for prospective cover is possible with payment of pro-rata premium as laid down in the above paragraph, for which risk will start from the **date of auto-debit of the premium**.

For subscribers enrolling for the first time on or after **1 June 2021**, insurance cover shall **not be available for death, other than due to accident, occurring during the first 30 days** from the date of enrolment into the scheme (lien period).

In case of death, other than due to accident, during the lien period, **no claim would be admissible**.

Individuals who exit the scheme at any point may **re-join the scheme in future years**.

The exclusion of insurance benefits during the lien period shall also apply to subscribers who exit the scheme during or after the first year and rejoin on any date on or after **1 June 2021**.

In future years, new entrants into the eligible category or currently eligible individuals who did not join earlier or discontinued their subscription shall be able to join while the scheme is continuing, subject to the **30-day lien period** described above.

5. Benefits

₹2 lakh is payable on the member's death due to any cause.

6. Premium

The premium is **₹436/- per annum per member**.

The premium will be deducted from the account holder's Bank/Post Office account through the **'auto-debit' facility in one instalment**, as per the option given at the time of enrolment under the scheme.

Delayed enrolment for prospective cover after **31 May** will be possible with payment of pro-rata premium as laid down in **Para 3** above.

The premium would be **reviewed based on annual claims experience**.

7. Eligibility Conditions

Individual Bank/Post Office account holders of the participating Banks/Post Offices aged between:

- **18 years (completed)** and
- **50 years (age nearer birthday)**

who give their consent to join/enable auto-debit, as per the above modality, will be enrolled into the scheme.

8. Master Policy Holder

Participating **Banks/Post Offices are the Master Policy Holders**.

A simple and subscriber-friendly administration and claim settlement process has been finalized by LIC/other insurance companies in consultation with the participating Banks/Post Offices.

9. Termination of Assurance

The assurance on the life of the member shall terminate on any of the following events and **no benefit will become payable thereunder**:

1) On attaining age 55 years

The assurance terminates on attaining **55 years of age (age near birthday)**, subject to annual renewal up to that date.

Entry, however, will not be possible beyond the age of **50 years**.

2) Closure of account or insufficient balance

The assurance terminates on:

- Closure of the account with the Bank/Post Office; or
- Insufficiency of balance to keep the insurance in force.

3) Multiple accounts and duplicate insurance

In case a member is covered under PMJJBY with LIC of India/other insurer through more than one account and premium is received by LIC/other company inadvertently:

- Insurance cover will be restricted to **₹2 lakh**.
- The premium paid for duplicate insurance(s) shall be liable to be **forfeited**.

4) Reinstatement after cessation

If the insurance cover is ceased due to insufficient balance on the due date or due to exit from the scheme, the same can be **reinstated** on receipt of the appropriate premium as mentioned in **Para 3** above.

However, the cover will be treated as **fresh**, and the **30-day lien clause** will be applicable.

5) Remittance of premium by participating Banks

Participating Banks shall remit the premium to insurance companies:

- In case of regular enrolment — **on or before 30 June every year**.
- In other cases — **in the same month when received**.

10. Administration

The scheme, subject to the above, is administered by the **LIC P&GS Units/other insurance company setups**.

The data flow process and data proforma have been informed separately.

It is the responsibility of the participating Bank/Post Office to recover the appropriate premium in one instalment, as per the option, from the account holders on or before the due date through the **auto-debit process**.

Enrolment and Consent Documents

The following documents in the prescribed proforma shall be obtained and retained by the participating Bank/Post Office:

- Enrolment form
- Auto-debit authorization
- Consent-cum-Declaration form

In case of a claim, LIC/insurance company may seek submission of the same.

LIC/Insurance Company reserves the right to call for these documents at any point of time.

Acknowledgement Slip

The acknowledgement slip may be made into an **acknowledgement slip-cum-certificate of insurance**.

Discontinuation

The scheme is liable to be **discontinued prior to commencement of a new future renewal date** if circumstances so require.

11. Appropriation of Premium

The premium collected under PMJJBY is appropriated towards:

1. **Insurance Premium to LIC/Insurance Company**
2. **Commission payable to Business Correspondents, agents, etc. (for new enrolments only)**
3. **Administrative Expenses payable to participating Banks**

Appropriation	Full Annual Premium ₹436/-	₹342/- collected in 2nd quarter of risk period	₹228/- collected in 3rd quarter of risk period	₹114/- collected in 4th quarter of risk period
(1) Insurance Premium to LIC/Insurance Company	₹395/-	₹309/-	₹206/-	₹103/-
(2) Commission payable to Business Correspondents, agents, etc. (For new enrolments only)	₹30/-	₹22.50	₹15/-	₹7.50
(3) Administrative Expenses payable to participating Banks	₹11/-	₹10.50	₹7/-	₹3.50

Note

The amount of commission payable to Business Correspondents, agents, etc., as specified in item (2), **saved in case of voluntary enrolment by an account holder through electronic means**, shall be passed on as a benefit to the subscriber by correspondingly reducing the amount of the **Insurance Premium payable** specified above.

PM-KISAN Scheme

- PM Kisan is a Central Sector scheme with 100% funding from Government of India.
- It has become operational from 1.12.2018.
- Under the scheme an income support of 6,000/- per year in three equal installments will be provided to all land holding farmer families.
- Definition of family for the scheme is husband, wife and minor children.
- State Government and UT administration will identify the farmer families which are eligible for support as per scheme guidelines.
- The fund will be directly transferred to the bank accounts of the beneficiaries.
- There are various Exclusion Categories for the scheme.

Scheme Exclusion

The following categories of beneficiaries of higher economic status shall not be eligible for benefit under the scheme.

1. All Institutional Land holders.
2. Farmer families which belong to one or more of the following categories:
 - Former and present holders of constitutional posts
 - Former and present Ministers/ State Ministers and former/present Members of Lok Sabha/ Rajya Sabha/ State Legislative Assemblies/ State Legislative Councils, former and present Mayors of Municipal Corporations, former and present Chairpersons of District Panchayats.
 - All serving or retired officers and employees of Central/ State Government Ministries /Offices/Departments and its field units Central or State PSEs and Attached offices /Autonomous Institutions under Government as well as regular employees of the Local Bodies
(Excluding Multi Tasking Staff /Class IV/Group D employees)
 - All superannuated/retired pensioners whose monthly pension is Rs.10,000/-or more
(Excluding Multi Tasking Staff / Class IV/Group D employees) of above category
 - All Persons who paid Income Tax in last assessment year
 - Professionals like Doctors, Engineers, Lawyers, Chartered Accountants, and Architects registered with Professional bodies and carrying out profession by undertaking practices.

PRADHAN MANTRI KISAN SAMMAN NIDHI (PM-KISAN)

Frequently Asked Questions (FAQs)

1. What is Pradhan Mantri Kisan Samman Nidhi?

Pradhan Mantri Kisan Samman Nidhi (PM-KISAN) is a new Central Sector Scheme to provide income support to all landholding farmers' families in the country to supplement their financial needs for procuring various inputs related to agriculture and allied activities as well as domestic needs.

Under the Scheme, the entire financial liability towards transfer of benefit to targeted beneficiaries will be borne by Government of India.

2. Whether the benefits of the scheme are admissible to only Small & Marginal Farmers' (SMF) families?

No.

In the beginning, when the PM-KISAN Scheme was launched on 24th February, 2019, its benefits were admissible only to Small & Marginal Farmers' (SMF) families, with combined landholding up to 2 hectares.

The Scheme was later revised with effect from 1.6.2019 and extended to all farmer families irrespective of the size of their landholdings.

3. What are the benefits of the Scheme?

Under the PM-KISAN scheme, all landholding farmers' families shall be provided the financial benefit of Rs. 6000/- per annum per family payable in three equal installments of Rs. 2000/- each, every four months.

4. When was the scheme launched?

The PM-KISAN Scheme was launched by the Hon'ble Prime Minister on 24th February, 2019.

5. From which date the Scheme has come into effect?

The scheme takes effect from 01.12.2018.

6. Who are eligible to get benefits under the Scheme?

All landholding farmers' families, which have cultivable landholding in their names, are eligible to get benefit under the scheme.

7. Who are not eligible to get benefits under the Scheme? What are the Exclusion Criteria under the Scheme?

The following category of farmers are not eligible to get the benefits of the PM-KISAN Scheme:

(a) All Institutional Land holders; and

(b) Farmer families in which one or more of its members belong to the following categories:

1. Former and present holders of constitutional posts.
2. Former and present Ministers/State Ministers and former/present Members of Lok Sabha/Rajya Sabha/State Legislative Assemblies/State Legislative Councils, former and

present Mayors of Municipal Corporations, and former and present Chairpersons of District Panchayats.

3. All serving or retired officers and employees of Central/State Government Ministries/Offices/Departments and their field units, Central or State PSEs and Attached Offices/Autonomous Institutions under Government, as well as regular employees of the Local Bodies.

Excluding: Multi Tasking Staff (MTS)/Class IV/Group D employees.

4. All superannuated/retired pensioners whose monthly pension is Rs. 10,000/- or more.

Excluding: Multi Tasking Staff (MTS)/Class IV/Group D employees.

5. All persons who paid Income Tax in the last assessment year.
6. Professionals like Doctors, Engineers, Lawyers, Chartered Accountants and Architects registered with professional bodies and carrying out profession by undertaking practices.

8. How many times will the benefit be given in a year?

Under the PM-KISAN scheme, all landholding farmers' families shall be provided the financial benefit of Rs. 6000/- per annum per family payable in three equal installments of Rs. 2000/- each, every four months.

The period of the 1st installment under the scheme is from 01.12.2018 to 31.03.2019, that of the 2nd installment from 01.04.2019 to 31.07.2019, 3rd installment from 01.08.2019 to 30.11.2019, and so on.

9. Whether an employee of the Central/State Government/PSU/Autonomous Organization, etc., who holds cultivable land in his/her own name in villages, is eligible to get the benefit under the scheme?

No.

All serving or retired officers and employees of Central/State Government Ministries/Offices/Departments and their field units, Central or State PSEs and Attached Offices/Autonomous Institutions under Government, as well as regular employees of the Local Bodies, are not eligible to get benefit under the scheme.

However, serving or retired Multi Tasking Staff (MTS)/Class IV/Group D employees are eligible to get benefit under the Scheme, provided their families are otherwise eligible and not covered under other exclusion criteria.

10. Will any individual or farmer family owning more than 2 hectare of cultivable land get any benefit under the scheme?

Yes.

The ambit of the scheme has been extended to cover all farmer families, irrespective of the size of their land holdings.

11. What will happen if the beneficiary gives incorrect declaration for the implementation of the Scheme?

In case of incorrect declaration, the beneficiary shall be liable for recovery of transferred financial benefit and other penal actions as per law.

12. What is the cutoff date for determination of eligibility of beneficiaries under the scheme?

The cut-off date for determination of eligibility of beneficiaries under the scheme is 01.02.2019 and no changes thereafter shall be considered for eligibility of benefit under the scheme for next 5 years, except transfer of land on succession in case of death of landholder.

13. Whether the scheme benefits will be allowed in cases where transfer of ownership of cultivable land takes place after the cut-off date of 01.02.2019 on account of succession due to death of the landowner?

Yes.

The Scheme benefits will be allowed in all such cases where transfer of ownership of cultivable land has taken place after the cut-off date of 01.02.2019 on account of succession due to death of the landowner.

14. Whether transfer of ownership occurred between 01.12.2018 and 31.01.2019 are eligible for consideration?

In cases where transfer of ownership of cultivable land has happened between 01.12.2018 and 31.01.2019 due to any reasons such as purchase, succession, will, gift, etc., the first installment during the financial year (2018-19) shall be of proportionate amount from the date of transfer till 31.03.2019 with respect to the 4 months period, provided the families are otherwise eligible as per scheme guidelines.

15. Is an income tax payee farmer or his/her spouse eligible to get benefit under the scheme?

No.

If any member of the family is an income tax payee in the last assessment year, then the family is not eligible for benefit under the scheme.

16. What is the definition of 'family' under the Scheme?

A landholder farmer's family is defined as:

"A family comprising of husband, wife and minor children who own cultivable land as per the land records of the concerned State/UT."

The existing land-ownership system will be used for identification of beneficiaries for calculation of benefit.

17. Is any person/farmer who is not having land holding in his/her own name, but is cultivating land owned by his/her father/forefathers eligible to get benefit under the Scheme?

No.

The land must be in his/her own name.

If the land ownership has been transferred in his/her name on account of succession, then he/she will be eligible.

18. Is any person/farmer who is cultivating a land but is not having the land holding in his/her own name, for example tenant farmers, eligible to get benefit under the Scheme?

No.

Land holding is the sole criteria to avail the benefit under the Scheme.

19. How will the beneficiaries under the Scheme be identified and shortlisted for payment of intended benefit?

The responsibility of identifying the eligible farmers' families for benefit under the scheme is entirely of the State/UT Governments.

The prevailing land-ownership system/record of land in different States/Union Territories will be used to identify the intended beneficiaries for transfer of scheme benefits.

20. What is the mandatory information required to be submitted on PM-KISAN portal for the transfer of benefits?

The following information/documents are required to be furnished by the farmers for enrollment under PM-KISAN Scheme:

(i) Name, Age, Gender and Category (SC/ST).

(ii) Aadhaar Number

Except in case of farmers in the States of Assam, Meghalaya and J&K (now UTs of J&K and Ladakh), where Aadhaar number had not been issued to most of the citizens, and therefore these States had been exempted from the requirement till 31st March, 2020.

In these States/UTs, Aadhaar number shall be collected for those beneficiaries where it is available and for others alternate prescribed documents can be collected for identity verification purposes by the States/UT Governments, like Aadhaar Enrollment Number and/or any other prescribed documents for purposes of identification such as Driving Licence, Voter ID Card, NREGA Job Card, or any other identification documents issued by Central/State/UT Governments or their authorities, etc.

(iii) Bank Account Number and IFSC Code.

(iv) Mobile number

Though it is not mandatory, it is advised that when available it may be provided so that the information related to transfer of benefit can be communicated.

21. How does a landholder farmer's family know that his/her name is included in the list of beneficiaries?

The beneficiary lists would be displayed at Panchayats to ensure greater transparency and information.

Further, States/UTs would notify the sanction of benefit to the beneficiary through system-generated SMS.

He/she can also ascertain his/her status through the Farmers Corner in the PM-KISAN portal.

22. What is the remedy available for eligible beneficiary if his/her name is not included in the list of beneficiaries?

All such farmer families whose names are not included in the list of beneficiaries can approach the District Level Grievance Redressal Monitoring Committee in their Districts for inclusion of their names in the beneficiary list.

Further, the Government has created an exclusive Farmers' Corner in the PM-KISAN web-portal giving the following facilities to the farmers through three separate options/links:

(i) New Farmer's Registration

Through this link, the farmers can submit their details online.

The online Form has certain mandatory fields as well as self-declaration regarding the eligibility.

Once the Form is filled in and submitted successfully by the farmer, the same is forwarded by an automated process to the State Nodal Officer (SNO) for verification.

The SNO verifies the details filled in by the farmer and uploads the verified data on the PM-KISAN portal.

Thereafter the data is processed through an established system for payment.

(ii) Edit Aadhaar Details

Through this link, the farmer can edit his/her name himself/herself as per details in the Aadhaar Card.

The edited name then gets updated after authentication through the system.

(iii) Beneficiary Status

Through this link, by quoting their Aadhaar Number or Bank Account Number or the registered Mobile Number, the beneficiaries can themselves ascertain the status of payment of their installments.

23. In case of landholding owned by family members being spread across different revenue records in the same or different villages, districts or States, how will the benefit be transferred to the family?

In such cases, the farmer's family will be entitled to get the benefit at one place only.

The State Nodal Officers (SNOs) will ensure that no duplicate payments are released to any family.

24. If there are multiple farmers' families whose names are recorded on a single landholding, whether each farmer's family is eligible to get benefit of the scheme? If so, what is the quantum of minimum financial benefit that such families will get under the scheme?

Each of such farmer families would be separately eligible for the benefit under the scheme up to the extent of Rs. 6000/- provided they are otherwise eligible as per scheme guidelines.

25. Will the monetary benefit under the Scheme be directly credited into beneficiary accounts?

Yes.

The financial benefit under the scheme shall be directly credited into bank accounts of beneficiaries.

26. Whether it is compulsory for beneficiaries to give their bank account details?

Yes.

The beneficiaries are required to provide their bank account details along with their Aadhaar number so as to credit the financial benefit under the scheme directly into their bank accounts.

No benefit can be given if bank account details have not been provided.

27. Whether giving Aadhaar details is mandatory for availing benefit under the Scheme?

Aadhaar number was optional and not mandatory for release of 1st installment pertaining to the period 01.12.2018 to 31.03.2019, whereas only possession of Aadhaar number was made mandatory for release of 2nd installment pertaining to the period 01.04.2019 to 31.07.2019.

Further, Aadhaar seeding of beneficiaries' data was made mandatory for release of 3rd installment pertaining to the period 01.08.2019, and for subsequent installments onwards.

Recently, however, Government had relaxed the mandatory requirement of Aadhaar seeding of beneficiaries' data up to 30.11.2019.

This mandatory requirement of Aadhaar seeding of the beneficiaries' data would continue to be applicable for release of all installments w.e.f. 01.12.2019.

However, Assam, Meghalaya and Jammu & Kashmir, where Aadhaar penetration had not been much, had been given exemption from this mandatory requirement till 31.03.2020.

28. Can States/UTs provide certified lists of beneficiaries on the PM-KISAN Portal in phases or in batches as and when they are finalized?

Yes.

States/UTs can provide lists of eligible beneficiaries as and when they are finalized based on the eligibility criteria in batches/phases.

The benefits will be released on regular basis based on the approved list provided by the States/UTs.

29. Whether farmers in villages situated in urban areas are eligible for the benefit of the Scheme?

There is no distinction between urban and rural cultivable land under the scheme.

Both are covered under the scheme, provided that land situated in urban areas is under actual cultivation.

30. Whether micro land holdings are admissible for availing the benefit of the Scheme?

Micro land holdings, which are not cultivable, are excluded from the benefit under the scheme.

31. What is the prescribed mechanism for validation of information/declaration furnished by the beneficiaries?

The State/UT Governments are free to decide about the appropriate mechanism/authority for validation of information/declaration furnished by the beneficiary.

32. What is the cut-off date for 'minor' children becoming 'major' under the Scheme?

The cut-off date for 'minor' children becoming 'major' is 01.02.2019.

33. Whether farmers may avail the benefit of the Scheme against agricultural land being used for non-agricultural purposes?

No.

Agricultural land being used for non-agricultural purposes will not be covered for benefit under the scheme.

34. What is the procedure of release of installments to the beneficiaries?

(a) An exclusive web-portal, namely, www.pmkisan.gov.in, has been created for uploading of beneficiaries' data by the State/UT Governments.

(b) The eligible farmers may apply with the village Patwaris, revenue officials or other designated officers/agencies and submit their required details to them.

(c) Nodal Officers appointed by State/UT Governments at Block/Taluk/District level process the data and transfer them to State Nodal Officers (SNOs).

(d) State Nodal Officers finally authenticate the data and upload them in batches from time-to-time on the portal.

(e) The data of beneficiaries uploaded by the State Nodal Officers is assessed through multi-level verification by the National Informatics Centre (NIC), the Public Finance Management System (PFMS) and the banks.

(f) Based on the verified/validated data, the SNOs sign the Request For Transfer (RFT) of fund containing the total number of beneficiaries contained in a particular batch and total amount of fund to be transferred for that batch, and upload it on the portal.

(g) Based on the RFT, the PFMS issues a Fund Transfer Order (FTO).

(h) Based on the FTO, the Department of Agriculture, Cooperation & Farmers Welfare issues the sanction order for the amount mentioned in the FTO.

(i) The amount is transferred to the bank accounts of the beneficiaries, held in destination banks, through the accredited bank of the Department and the sponsoring bank of the State/UT Governments, using the PFMS portal.

The destination bank can be a Scheduled Bank, Post Office, Rural Bank, Cooperative Bank or any other Financial Institution.

The entire banking transaction is managed and monitored by the National Payments Corporation of India (NPCI).

35. If a farmer registered under the Scheme does not receive any installment in any 4-monthly period for any reason, whether he/she will be able to receive the same later on?

Yes.

The beneficiaries, whose names are uploaded on PM-KISAN portal by the concerned State/UT Governments in a particular 4-monthly period, shall be entitled to receive the benefit for that period with effect from that 4-monthly period itself.

If they do not receive the payment of installment pertaining to that 4-monthly period and subsequent installments for any reason, except due to rejection for falling within the exclusion criteria, they are entitled to receive the benefits of all the due installments as and when the cause of delay is removed/resolved.

For example, if an eligible farmer's name has been uploaded on the PM-KISAN portal by the State/UT Government during the 4-monthly period of December 2018–March 2019, he/she is entitled to get the installment pertaining to December 2018–March 2019 period, and also all subsequent installments.

Further, if the eligible farmer's name is uploaded on the PM-KISAN portal during the 4-monthly period of April–July 2019, he/she is entitled to get the installment pertaining to April–July 2019 period and also all subsequent installments.

Many beneficiaries, who had received installments pertaining to December 2018–March 2019 period and April–July 2019 period, were not able to receive the installment pertaining to August–November 2019 period.

The reason for this delay was the mandatory requirement of release of all installments pertaining to the 4-monthly period August–November 2019 and onwards only on the basis of Aadhaar-seeded data of beneficiaries.

This work of Aadhaar seeding of data of beneficiaries had not been completed by many State/UT Governments.

Therefore, the Central Government relaxed this mandatory requirement till 30th November, 2019.

The State/UT Governments were required to complete the work of Aadhaar seeding of 100% beneficiaries by 30th November, 2019, so that the beneficiaries were able to receive the installment pertaining to the 4-monthly period of December 2019–March 2020, and all subsequent installments.

Beneficiaries in the States of Assam, Meghalaya and J&K (now UTs of J&K and Ladakh) were exempted from all Aadhaar-related requirements till 31st March, 2020, by which time these States were also required to complete the process of Aadhaar enrollment of all eligible farmers as well as Aadhaar seeding of their data under this Scheme.

Set 2

Pradhan Mantri Kisan Samman Nidhi (PM-KISAN)

Possible FAQs

1. What is Pradhan Mantri Kisan Samman Nidhi?

The Government has launched a new Central Sector Scheme Pradhan Mantri Kisan Samman Nidhi (PM-KISAN) to provide income support to all Small and Marginal landholding farmer families to supplement their financial needs for procuring various inputs related to agriculture and allied activities as well as domestic needs.

Under the Scheme, the entire financial liability towards transfer of benefit to targeted beneficiaries will be borne by Government of India.

2. What are the benefits of the Scheme?

Under the scheme, Landholder Farmer families with total cultivable holding up to 2 hectares shall be provided a benefit of Rs. 6000 per annum per family payable in three equal installments, every four months.

The scheme takes effect from 01.12.2018.

The first installment to eligible beneficiaries during this financial year 2018-19 shall be for the period from 01.12.2018 to 31.03.2019.

3. Who is eligible to get benefits under the Scheme?

All landholding farmer families having cultivable landholding up to 2 hectare, whose names appear in the land records of States/UT as on 01.02.2019, are eligible to get benefit under the scheme.

However, out of these, the following are ineligible to get the benefits:

(a) All Institutional Land holders; and

(b) Farmer families in which one or more of its members belong to following categories:

i. Former and present holders of constitutional posts.

ii. Former and present Ministers/State Ministers and former/present Members of Lok Sabha/Rajya Sabha/State Legislative Assemblies/State Legislative Councils, former and present Mayors of Municipal Corporations, former and present Chairpersons of District Panchayats.

iii. All serving or retired officers and employees of Central/State Government Ministries/Offices/Departments and its field units, Central or State PSEs and Attached Offices/Autonomous Institutions under Government as well as regular employees of the Local Bodies.

Excluding Multi Tasking Staff/Class IV/Group D employees.

iv. All superannuated/retired pensioners whose monthly pension is Rs. 10,000/- or more.

Excluding Multi Tasking Staff/Class IV/Group D employees.

v. All persons who paid Income Tax in last assessment year.

vi. Professionals like Doctors, Engineers, Lawyers, Chartered Accountants, and Architects registered with Professional bodies and carrying out profession by undertaking practices.

4. How many times will the benefit be given in a year?

The benefit will be provided in three equal installments of Rs. 2000/- each for every 4 months period into the bank account of all eligible beneficiaries.

For 2018-19, the beneficiary shall be provided one installment w.e.f. 01.12.2018.

5. Whether an employee of the Central/State Government/PSU/Autonomous Organization, etc. is eligible to get the benefit under the scheme?

No.

Serving or retired officer and employee of Central/State Government Ministries/Offices/Departments and its field units, Central or State PSEs and Attached Offices/Autonomous Institutions under Government as well as regular employees of the Local Bodies are not eligible to get benefit under the scheme.

However, serving or retired Multi Tasking Staff/Class IV/Group D employee is eligible to get benefit under the Scheme provided their families are otherwise eligible and not covered under other exclusion criteria.

6. Will any individual or farmer family owning more than 2 hectare of cultivable land get any benefit under the scheme?

No.

Any individual or farmer family owning more than 2 hectare of cultivable land will not get any benefit under the scheme.

7. What will happen if the beneficiary gives incorrect declaration for the implementation of the Scheme?

In case of incorrect declaration, the beneficiary shall be liable for recovery of transferred financial benefit and other penal actions as per law.

8. What is the cutoff date for determination of eligibility of beneficiaries under the scheme?

The cut-off date for determination of eligibility of beneficiaries under the scheme shall be 01.02.2019 and no changes thereafter shall be considered for eligibility of benefit under the scheme for next 5 years except transfer of land on succession in case of death of landholder.

9. Whether the scheme benefits will be allowed in cases where transfer of ownership of cultivable land takes place on account of succession due to death of the landowner?

Yes.

The Scheme benefits will be allowed in all such cases where transfer of ownership of cultivable land has taken place on account of succession due to death of the landowner.

10. Whether transfer of ownership occurred between 01.12.2018 and 31.01.2019 are eligible for consideration?

In cases where transfer of ownership of cultivable land has happened between 01.12.2018 and 31.01.2019 due to any reasons such as purchase, succession, will, gift, etc., the first installment during the financial year (2018-19) shall be of proportionate amount from date of transfer till 31.03.2019 with respect to the 4 months period, provided the families are otherwise eligible as per scheme guidelines.

11. Is an income tax payee farmer or his/her spouse eligible to get benefit under the scheme?

No.

If any member of the family is income tax payee in last assessment year, then the family is not eligible for benefit under the scheme.

12. What is the definition of small and marginal landholder farmer family?

A Small and Marginal landholder farmer family is defined as:

“A family comprising of husband, wife and minor children who collectively own cultivable land up to 2 hectare as per land records of the concerned State/UT.”

The existing land-ownership system will be used for identification of beneficiaries for calculation of payment.

13. Does any person/farmer who is not having land holding in his name is eligible to get benefit under the Scheme?

No.

Land holding is the sole criteria to avail financial benefit under Income Support Scheme.

14. How will the beneficiaries under the Scheme be identified and shortlisted for payment of intended benefit?

The prevailing land-ownership system/record of land in different States/Union Territories will be used to identify the intended beneficiaries for transfer of scheme benefits.

Responsibility of identifying the landholder farmer family eligible for benefit under the scheme shall be of the State/UT Government.

15. What is the mandatory information required to be submitted on PM-KISAN portal for the transfer of benefits?

The States shall prepare database of eligible beneficiary landholder farmer families in the villages capturing the following information:

- Name
- Age
- Gender
- Category (SC/ST)
- Aadhaar Number

In case Aadhaar Number has not been issued, then Aadhaar Enrollment Number together with any other prescribed documents for purposes of identification such as:

- Driving Licence
- Voters' ID Card
- NREGA Job Card
- Any other identification documents issued by Central/State/UT Governments or their authorities, etc.

The database shall also contain:

- Bank Account Number
- IFSC Code

Though mobile number is not mandatory, it is advised that when available it may be captured so that the information related to sanction/transfer of benefit can be communicated.

In cases of beneficiaries in States of Assam, Meghalaya, J&K where Aadhaar number has not been issued to most of the citizens, Aadhaar number shall be collected for those beneficiaries where it is available and for others alternate prescribed documents can be collected for identity verification purposes by the States/UT Governments.

16. How does a landholder farmer's family know that his/her name is included in the list of beneficiaries?

The beneficiary lists would be displayed at Panchayats to ensure greater transparency and information.

Further, States/UTs would notify the sanction of benefit to the beneficiary through system-generated SMS.

17. What is the remedy available for eligible beneficiary if his/her name is not included in the list of beneficiaries?

All such farmer families whose names are not included in the list of beneficiaries can approach the District Level Grievance Redressal Monitoring Committee in their Districts for inclusion of their names in the beneficiary list.

18. In case of landholding of 2 hectare in different parcels owned by family members are spread across different revenue records in the same or different villages, whether they will be eligible for benefit on all such pockets of land or will his benefit be limited to Rs. 6000/- per annum only?

The entire land held by such farmer family will be pooled together and the maximum benefit of Rs. 6000 per annum will only be provided.

19. If the holding of a family is up to 2 hectare and are in the names of different members of family, whether they are eligible for the benefits?

Yes.

If within a landholding farmer family, cultivable land is in names of different family members, in such cases, the land will be pooled for determination of eligibility.

The payment will be given to the person within the family having highest quantum of land.

If the quantum of land owned by two or more individual family members is same, payment will be transferred in the name of eldest member among them in the farmer family.

20. If there are multiple landholding farmer families whose names are recorded on a single landholding of more than 2 hectare but individual land holding of each/few of the farmers is 2 hectare or less, whether each farmer family is eligible to get benefit of the scheme? If so, what is the quantum of minimum financial benefit that such families will get under the scheme?

Each of such farmer family would be eligible for the benefit under the scheme up to the extent of Rs. 6000/- provided they are otherwise eligible as per scheme guidelines.

21. Will the monetary benefit under the Scheme be directly credited into beneficiary accounts?

The income support benefit will also be directly credited into bank accounts of beneficiaries.

22. Whether it is compulsory for beneficiaries to give their bank account details?

Yes.

The beneficiaries are required to provide their bank account details with Aadhaar number so as to credit the financial benefit under the scheme directly into their bank accounts.

No benefit can be given if bank account details have not been provided.

23. Whether giving Aadhaar details are mandatory?

Yes.

Since this is a beneficiary-oriented scheme, in terms of extant guidelines, the Aadhaar number of the beneficiary has to be mandatorily provided.

In case Aadhaar number is not available, then in such case the applicant has to provide the Aadhaar enrolment number to avail of the benefit under the scheme.

However, only for transfer of first installment relaxation has been given for transfer of benefit to beneficiaries on the basis of alternate documents for identification.

However, subsequent installments will be transferred only where States/UTs where Aadhaar number is not available.

In cases of beneficiaries in States of Assam, Meghalaya, J&K where Aadhaar number has not been issued to most of the citizens, Aadhaar number shall be collected for those beneficiaries where it is available and for others alternate prescribed documents can be collected for identity verification purposes by the States/UT Governments.

24. Can States/UTs provide certified lists of beneficiaries on the PM-KISAN Portal in phases or in batches as and when they are finalized?

Yes.

States/UTs can provide list of eligible beneficiaries as and when they are finalized based on the eligibility criteria in batches/phases.

The benefits will be released on regular basis based on the approved list provided by the States/UTs.

PM Surya Ghar:

Muft Bijli Yojana

"In order to further sustainable development and people's well-being, we are launching the PM Surya Ghar: Muft Bijli Yojana. This project, with an investment of over Rs. 75,000 crores, aims to light up 1 crore households by providing up to 300 units of free electricity every month."

Consumer Registration Process

Step 01

Visit the website at <https://pmsuryaghar.gov.in/>

Step 02

Go to consumer page and select "Apply Now" (or) Open the Login dropdown menu and select "Consumer Login".

Step 03

Enter valid Registered Consumer Mobile Number for Registration, Enter valid Captcha and Select "Yes, I have read all the guidelines of PM Surya Ghar Muft Bijli Yojana.", then Click on "Verify"

Step 04

Enter valid Mobile OTP received through SMS and then click on "Login".

Step 05

After successful Login, then Enter Profile details of Registration Consumer by entering valid Consumer Name, E-Mail, Address, State, District and PIN Code and then click on "Save".

Step 06

Registered consumer can submit applications either through click on "Apply for Solar Rooftop" (or) through Vendor Selection. Consumer can apply for Solar Rooftop by selecting State, District and Electricity Distribution Company/ Utility and enter Consumer account number, then click on "Fetch Details". After loading the Consumer details, then click on "Next" to start filling for submission of application.

Benefits

Subsidy for Residential Households

Rs. **30,000**

per kW

up to 2 kW

Rs. **18,000**

per kW

for additional capacity up to 3 kW

Rs. **78,000**

Total subsidy for systems larger than 3 kW capped at

Subsidy for GHS/RWA

(Group Housing Society/Resident Welfare Association)

Rs. **18,000**

per kW

for common facilities, including **EV charging, up to 500 kW** Capacity(@3 kW per house) with the upper limit being inclusive of individual rooftop plants installed by individual residents in the GHS/RWA

For special states, an additional 10% Subsidy will be applicable per kW

Suitable Rooftop Solar Plant Capacity for households

Average Monthly Electricity Consumption (units)

0-150 150-300 >300

Suitable Rooftop Solar Plant Capacity

1-2 kW 2-3 kW Above 3 kW

Consumer Application Journey

Consumer

Vendor

DISCOM

REC

PM SURYA GHAR — SOLAR ROOFTOP APPLICATION FLOW

1. Consumer Registration

→ Sign up to start your application journey

2. Application Submission

→ Submit your application

3. Feasibility Approval

→ Check if your location is solar-ready

4. Vendor Selection

→ Choose the best vendor for installation

5. Work Start

→ Begin the installation process

6. Solar Installation Details

→ Provide details for your Solar Rooftop Installation

7. Project Inspection

→ DISCOM to inspect site for compliance

8. Project Commissioning

→ DISCOM to certify your Solar Rooftop Installation

9. Subsidy Request

→ Redeem your Subsidy

10. Subsidy Disbursal

→ Subsidy Approval

Simple Flow

Consumer Registration

↓

Application Submission

↓

Feasibility Approval

↓

Vendor Selection

↓

Work Start

↓

Solar Installation Details

↓

Project Inspection

↓

Project Commissioning

↓

Subsidy Request

↓

Subsidy Disbursal

Steps to apply for Rooftop Solar

- **Step 1**
 - Enter mobile number and verify the same using OTP
 - After successful verification, enter your name, select your state, district and fill other details
 - Enter your email and verify with OTP, and click 'save' your profile
- **Step 2**
 - On vendor select popup click on 'Yes', if you want your vendor to fill the application for you or else 'No'
- **Step 3**
 - Click on 'Apply for Solar Rooftop' and select state, district, discom, consumer no. and click on 'fetch details' for auto pre-filling of required information, then click on next button to fill and submit the application.
- **Step 4**
 - Once you get the feasibility approval, select the vendor and submit your bank details to receive Subsidy.
- **Step 5**
 - Once installation of plant is completed, vendor submits the installation details to you (i.e. consumer) for verification and further, submits to DISCOM.
- **Step 6**
 - DISCOM does the Inspection and submits inspection details to consumer. After that, consumer redeems the subsidy and submits to NPIA.

Frequently Asked Question

1. What is PM Surya Ghar: Muft Bijli Yojana?

PM Surya Ghar: Muft Bijli Yojana is a project aimed at providing rooftop solar power to **1 crore households**, with the objective of providing up to **300 units of free electricity every month**. The project has an investment of over **Rs. 75,000 crores**.

2. Where can a consumer register for PM Surya Ghar: Muft Bijli Yojana?

Consumers can register through the official website: <https://pmsuryaghar.gov.in/>

3. How can a consumer start the registration process?

Go to the consumer page and select **"Apply Now"**, or open the **Login** dropdown menu and select **"Consumer Login."**

Then enter the registered consumer mobile number, valid captcha, accept the PM Surya Ghar Muft Bijli Yojana guidelines, and click **“Verify.”**

4. How is the consumer mobile number verified?

After entering the registered consumer mobile number and completing the verification, an **OTP is received through SMS.**

Enter the valid mobile OTP and click **“Login.”**

5. What profile details are required after login?

After successful login, the registered consumer needs to enter:

- Consumer Name
- E-mail
- Address
- State
- District
- PIN Code

After entering the details, click **“Save.”**

6. How can a consumer apply for a rooftop solar installation?

A registered consumer can submit an application by selecting **“Apply for Solar Rooftop”** or through **Vendor Selection.**

The consumer needs to select:

- State
- District
- Electricity Distribution Company/Utility
- Consumer Account Number

Then click **“Fetch Details.”**

After the consumer details are loaded, click **“Next”** to start filling and submitting the application.

7. What subsidy is available for residential households?

The subsidy for residential households is:

- **Rs. 30,000 per kW** up to 2 kW
- **Rs. 18,000 per kW** for additional capacity up to 3 kW
- **Rs. 78,000** maximum total subsidy for systems larger than 3 kW

8. What subsidy is available for GHS/RWA?

For **Group Housing Societies/Resident Welfare Associations (GHS/RWA)**, the subsidy is **Rs. 18,000 per kW** for common facilities, including **EV charging**, up to **500 kW capacity**, at **3 kW per house**.

The upper limit is inclusive of individual rooftop plants installed by individual residents in the GHS/RWA.

For special states, an **additional 10% subsidy per kW** will be applicable.

9. What rooftop solar capacity is suitable based on monthly electricity consumption?

The suitable rooftop solar plant capacity is:

Average Monthly Electricity Consumption Suitable Rooftop Solar Plant Capacity

0–150 units	1–2 kW
150–300 units	2–3 kW
More than 300 units	Above 3 kW

10. What are the main steps after submitting the rooftop solar application?

The consumer application journey consists of:

Consumer Registration

↓

Application Submission

↓

Feasibility Approval

↓

Vendor Selection

↓

Work Start

↓

Solar Installation Details

↓

Project Inspection

↓

Project Commissioning

↓

Subsidy Request

↓

Subsidy Disbursal

After installation, the vendor submits the installation details to the consumer for verification and then to DISCOM. DISCOM conducts the inspection and submits the inspection details to the consumer.

PRADHAN MANTRI STREET VENDOR'S ATMANIRBHAR NIDHI (PM SVANIDHI)

1. Background

Street vendors are an integral part of the urban informal economy, playing a key role in providing goods and services at affordable prices right at the doorsteps of city residents.

As per Section 2(1)(l) of the Street Vendors (Protection of Livelihood and Regulation of Street Vending) Act, 2014, a 'Street Vendor' means a person engaged in vending of articles, goods, wares, food items or merchandise of everyday use or offering services to the general public, in a street, lane, sidewalk, footpath, pavement, public park or any other public place or private area, from a temporary built-up structure or by moving from place to place and includes hawker, peddler, squatter, and all other synonym terms which may be local or region specific.

To safeguard their livelihood and ensure access to social security, the Government of India enacted the Street Vendors Act, 2014.

The COVID-19 pandemic and consequent lockdowns adversely impacted the livelihoods of street vendors. Given their limited capital, many vendors had exhausted their savings during the lockdown, creating an urgent need for financial assistance to help them restart their businesses.

In response, the Government of India introduced the Pradhan Mantri Street Vendor's AtmaNirbhar Nidhi (PM SVANidhi) Scheme in June 2020—the first micro-credit program designed specifically for urban street vendors.

The scheme was originally launched for a period up to March 31, 2022 and then the scheme was further extended with the approval of Cabinet Committee on Economic Affairs for a lending period of loans till December 31, 2024.

This Central Sector Scheme has successfully empowered lakhs of street vendors by providing loans and promoting digital adoption through incentives for digital payments.

Recognising the positive impact and widespread adoption of the scheme, the Government of India has approved the extension of the lending period till March 31, 2030.

Liabilities under the components like credit guarantee, interest subsidy for loans and incentives for digital transactions etc. will be serviced until March 31, 2033 while credit guarantee claims for credit card will be serviced until March 31, 2035.

The extended phase aims to consolidate the gains made and expand scheme outreach.

Implementation and monitoring of the scheme would be the joint responsibility of Ministry of Housing & Urban Affairs (MoHUA) and Department of Financial Services (DFS), with DFS being responsible for facilitating access to loans/credit cards through banks/financial institutions and their ground-level functionaries.

2. Objective

The objective of the scheme is to address the vulnerabilities of the street vendors through a multi-pronged approach.

This includes:

- a) Recognition of Street Vendors
 - b) Financial Inclusion via working capital term loan in three tranches
 - c) Access to UPI-linked credit card
 - d) Promote digital adoption
 - e) Capacity Building
 - f) Linkages to social security schemes
-

3. Scheme Coverage

The scheme extends to all the States/UTs which have notified rules and schemes under Street Vendors (Protection of Livelihood and Regulation of Street Vending) Act, 2014.

Further, the scheme is extended to City-Region i.e., census towns, peri-urban areas, etc. in graded manner for providing scheme benefits seamlessly, so as to establish cities as “growth hubs”.

4. Eligibility Criteria of Beneficiaries

The target beneficiaries of the scheme are street vendors vending in various city-regions.

The State/UTs may adopt suitable methodology for identifying eligible vendors to ensure comprehensive coverage.

a) Statutory Towns

In statutory towns, the Certificate of Vending (CoV)/Identity Card/Letter of Recommendation (LoR) to the street vendors will be issued by TVC/ULBs.

b) Census Towns and Peri-Urban Areas

For census towns and peri-urban areas, the Letter of Recommendation (LoR) to the street vendors will be issued by Block Development Offices after due verification as per Annexure A.

c) Verification and Issuance of LoR

The verification and issuance of LoR shall be completed within **15 days** of the submission of application.

5. Scheme Components

5.1 Working Capital Term Loans

Street Vendors (SVs) will be eligible for collateral-free working capital term loan in three tranches:

1. **1st tranche loan:** Up to ₹15,000, to be repaid in 12 months.
2. **2nd tranche loan:** Up to ₹25,000, to be repaid in 18 months.
3. **3rd tranche loan:** Up to ₹50,000, to be repaid in 36 months.

Upon timely or early repayment of a tranche, vendors will be eligible for the next tranche of working capital term loans, with the enhanced limit.

For repayment before the scheduled date, no prepayment penalty will be charged from the vendor.

The operational guidelines for availing the loans will be issued separately.

5.1.1 Rate of Interest

a) Scheduled Commercial Banks, Cooperative Banks & SHG Banks

The rates will be as per their prevailing rates of interest.

b) NBFC, NBFC-MFIs etc.

Interest rates will be as per RBI guidelines for respective lender category.

c) MFIs (non-NBFC) & Other Lender Categories

In respect of MFIs (non-NBFC) and other lender categories not covered under the RBI guidelines, interest rates under the scheme would be applicable as per the extant RBI guidelines for NBFC-MFIs.

5.1.2 Interest Subsidy

The vendors availing loan under the scheme are eligible to get an **interest subsidy at 7% per annum**.

The interest subsidy amount will be credited into the borrower's account quarterly.

Lending Institutions will submit quarterly claims for interest subsidy for quarters ending on:

- June 30
- September 30
- December 31
- March 31

during each financial year.

Subsidy will only be considered in respect of accounts of borrowers which are standard, meaning non-NPA as per extant RBI guidelines, on respective claim dates and only for those months during which the account has remained standard in the concerned quarter.

The interest subsidy is available up to **March 31, 2033**.

5.1.3 Credit Guarantee

The Scheme has a provision of Graded Guarantee Cover provided to Lending Institutions for the loans sanctioned, as indicated below, to be administered by Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE), which will be operated on portfolio basis:

- **31.87%** for 1st tranche loan
- **8.25%** for the 2nd tranche loan
- **6%** for the 3rd tranche loan

All loans given by each lending institution under the scheme will be considered for coverage under the guarantee, thereby encouraging them to extend collateral-free loans to street vendors with greater confidence and financial security.

The periodicity of filing of claims by lending institutions will be quarterly.

All the participating lending institutions shall be eligible to avail this guarantee cover without any charges.

5.2 Credit Card

A **UPI-linked RuPay Credit Card** will be available as an additional facility for PM SVANidhi beneficiaries who have successfully repaid their 2nd tranche loan and are eligible for 3rd tranche loan under the PM SVANidhi Scheme.

This card will be a domestic card and initially the credit limit will be **₹10,000**, which will be gradually increased to **₹30,000**.

The card will be valid for a period of **5 years**.

The operational guidelines for the component will be issued separately.

5.2.1 Credit Guarantee for Credit Card

Guarantee against default on the credit card is provided through CGTMSE.

Guarantee on the Card will be available for five years from the date of the issuance of the card or card validity period, whichever is earlier.

The guarantee will be extended up to an NPA level of **20%**, i.e., NPAs up to 20% of the approved limit on all cards issued by the card issuer at the time of claim submission during the scheme period.

The risk coverage will be restricted to **75% of the outstanding amount**, subject to a maximum outstanding of **₹30,000 or the approved limit, whichever is lower, per card**.

At the time of renewal of the card, after the initial validity period of the card, the issuer can take an independent business call based on the credit history of the beneficiary.

5.3 Digital Adoption

The scheme will incentivize digital transactions done by the beneficiaries through cashback facility.

The scheme envisions enhancing the digital onboarding of street vendors with the support of “Digi Saathi/Sakhi”, network of Lending Institutions and Digital Payment Aggregators (DPAs) like:

- BHIM
- India Post Payment Bank
- Paytm
- PhonePe
- BharatPe
- etc.

They will support with the onboarding of the beneficiaries for digital transactions by:

- Issuing UPI IDs
- Issuing QR codes
- Providing digital training to the beneficiary
- Resolving issues related to digital payment

ULBs in collaboration with DPAs and Banks shall engage “Digi Saathi/Sakhi” to provide these services to street vendors.

To enhance digital adoption, beneficiaries would be incentivized on the following:

a) Inward and Outward Digital Transactions

Any inward and outward digital transaction:

- Up to **₹100 per month**
- **₹1 per transaction**
- Maximum cashback of **₹1,200 per year in each tranche**

b) Wholesale Digital Purchases

Wholesale digital purchases:

- Up to **₹100 per quarter**
- ₹20 per transaction for 5 such transactions
- For 4 quarters
- For conducting digital transactions on wholesale purchases of at least ₹2,000
- Maximum cashback of **₹400 per year**

The operational guidelines for the component will be issued separately.

5.4 'SVANidhi se Samriddhi' (SSS)

The 'SVANidhi se Samriddhi' component of the scheme aims to strengthen the safety net for beneficiaries' families, enhancing their living conditions.

This component facilitates linkages of beneficiary families via socio-economic profiling to various existing Government of India welfare schemes, promoting their holistic development and socio-economic upliftment.

The detailed guidelines for the implementation of SSS are available at:

<https://pmsvanidhi.qcin.org/account/landing-page>

5.5 Support to Urban Street Vendors (SUSV)

This component of the scheme aims to provide comprehensive assistance to street vendors as mentioned in the SV Act'2014, enhancing their livelihood opportunities and ensuring their socio-economic inclusion.

This component will provide support to the street vendors through a multi-pronged approach including:

- Identification of street vendors through survey
- Issuance of Certificate of Vending (CoV) and identity cards etc.
- Reform incentives for notifying city street vending plans
- Innovative projects

The operational guidelines for the component will be issued separately.

5.6 Parichay Boards

In order to improve visibility and provide a sense of identity, '**SVANidhi Beneficiary Parichay Board' (SBPB)** will be provided to PM SVANidhi beneficiaries, which can be displayed at their vending place.

5.7 Capacity Building & Research

Capacity building and training is a critical component in technical upgradation and formalization of street vendors.

By enhancing their skills and knowledge, vendors will be better equipped to:

- Financially manage their businesses effectively
- Adopt e-commerce
- Ensure long-term sustainability and success

The scheme envisages capacity building for street vendors with focus on:

- Entrepreneurship
- Financial literacy
- Digital literacy
- Packaging

This will be done in convergence with capacity-building programs implemented by various Ministries/Departments in Government of India.

Special training to the street food vendor beneficiaries on **hygiene and food safety** will be provided in convergence with **FSSAI**.

The component will also focus on:

- Capacity building/orientation sessions of ULBs and other stakeholders
- Soft interventions
- Handholding for new market access
- Backward-forward linkages
- National/regional workshops
- Seminars

Research studies and impact assessments through research/academic institutes would be conducted to study the scheme's effectiveness and sustainability for street vendors.

6. Stakeholders

The stakeholders of the scheme include, but are not limited to:

- Street Vendors (SVs) and their families
- States/Union Territories (UTs)
- Urban Local Bodies
- Scheduled Commercial Banks (SCBs)
- Regional Rural Banks (RRBs)
- Small Finance Banks (SFBs)
- Cooperative Banks
- Non-Banking Financial Companies (NBFCs)
- Microfinance Institutions (MFIs)
- Other lending institutions

The lending institutions will be encouraged to use their network of field functionaries i.e. Business Correspondents (BCs)/Constituents/Agents extensively to ensure maximum coverage of the scheme.

Additionally, the following central ministries/departments and partners will contribute to the effective implementation of the scheme:

- Central Ministries/Departments
- Digital Payment Aggregators
- Credit Card issuing companies
- Quality Council of India (QCI)
- National Payments Corporation of India (NPCI)
- Indian Bank (PAiSA Portal)
- CSC e-Services Limited
- Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE)
- Other partners

7. Handholding Support

Resource Persons (RPs) such as Community Resource Persons, Interns etc. may be engaged by the ULBs for providing hand-holding support to the street vendors.

These RPs would carry out the following functions:

a) Application and Loan Support

Handholding street vendors in:

- Application submission
- Availing loan
- Ensuring repayment

b) PAN Card and Credit Card Support

Handholding street vendors in:

- Application and approval of PAN card
- Application and approval of credit card
- Activation of credit card
- Related processes

c) Digital Adoption

Supporting digital adoption by the street vendors.

An incentive will be provided for handholding support to street vendors.

Permanent staff of the ULB or temporary staff working for PM SVANidhi at the State/ULB level would not be eligible for this incentive.

8. Information, Education and Communication (IEC)

Branding is an important aspect of communicating the scheme accurately to different stakeholders, especially to the target beneficiaries.

Innovative use of various platforms including local and social media will be encouraged to reach the targeted beneficiaries in an effective and engaging manner.

A detailed advisory for IEC will be issued separately.

9. Beneficiary Engagement and Stakeholder Recognition Mechanism

Adopting a whole-of-government approach to ensure saturation, the scheme lays emphasis on structured beneficiary engagement and stakeholder recognition through the following targeted interventions:

a) Monthly 'Lok Kalyan Melas'

These will be organized to facilitate socio-economic profiling of street vendors and link them with relevant schemes.

The events will also serve as platforms for:

- Loan application mobilization
- Loan disbursements

- Digital onboarding
- Financial awareness drives
- Other beneficiary-oriented activities

b) Annual ‘SVANidhi Mahotsav’

This will be conducted at the Urban Local Body (ULB)/District level to celebrate the achievements of street vendors and their families, particularly their children.

The Mahotsav will provide opportunities for informal interactions among:

- Vendors
- Their families
- Other stakeholders

Thereby fostering a sense of community and recognition.

c) Annual ‘SVANidhi Swabhimani’ Awards

These awards will be instituted to encourage healthy competition among:

- Banks
- States
- Urban Local Bodies
- Districts
- Other institutions

The awards will recognize and honour outstanding contributions and best practices demonstrated by stakeholders in the implementation of the scheme.

10. Integrated IT Application

The Scheme would be monitored and the entire flow of data and approval of proposals, etc. would take place on an online system.

An integrated IT Platform along with Mobile App developed by the Ministry will be utilized for administration of the scheme.

This portal provides one-stop solution for administration of the scheme.

The IT Platform will integrate the vendors’ data across:

- States/UTs
- Lending Institutions
- Digital Payment Aggregators

- PAiSA portal of MoHUA
 - Udyami Mitra portal managed by Small Industries Development Bank of India (SIDBI)
-

11. Implementation Mechanism

The Ministry/State/District/ULBs will organize a kick-off meeting to introduce the components of the restructured scheme.

The meeting will involve:

- State officials
- TVC members
- Representatives from lending institutions
- Vendor associations
- Resource persons
- Other stakeholders

During this meeting, the implementation procedures for the scheme rollout will be communicated.

The operational guidelines for each component will be issued separately.

The implementation and performance of the loan and credit card component under the scheme will be periodically reviewed jointly by:

- Ministry of Housing & Urban Affairs (MoHUA)
 - Department of Financial Services (DFS)
-

12. Implementing Agency(ies)

a) Small Industries Development Bank of India (SIDBI)

Small Industries Development Bank of India (SIDBI) will be the implementation agency for the Ministry of Housing and Urban Affairs for scheme administration.

SIDBI will leverage the network of lending institutions including:

- Scheduled Commercial Banks (SCBs)
- Regional Rural Banks (RRBs)
- Small Finance Banks (SFBs)
- Cooperative Banks
- NBFCs

- MFIs
- Digital Payment Aggregators (DPAs)
- Credit Card issuers

for scheme implementation.

b) Indian Bank

Indian Bank, through its PAiSA portal, will support Lending Institutions (LIs) in:

- Submitting interest subsidy claims
- Facilitating direct transfer of subsidy amounts to beneficiaries' accounts

13. Committees for Steering & Monitoring of the Scheme

The Ministry will regularly review the implementation and progress of the various components as per the overall scheme management structure for effective implementation and monitoring.

The Scheme will have the following management structure at the Central, State/UT, District and ULB levels:

a) National Level

A **Steering Committee** under the chairmanship of Secretary, HUA.

The composition of the committee is provided at **Annexure-B**.

b) State/UT Level

A **Monitoring Committee** under the chairmanship of Principal Secretary/Secretary of Urban Development/Municipal Administration.

The committee shall meet at least **every three months**.

The composition of the committee is provided at **Annexure-C**.

c) District Level

A **Monitoring Committee** headed by District Collector/CEOs Zila Parishad, as decided by the State/UT.

The committee shall meet **every month**.

The composition of the committee is provided at **Annexure-D**.

d) ULB Level

A **Monitoring Committee** headed by the Municipal Commissioner/Executive Officer (EO)/CEO Cantonment Boards and supported by the Town Vending Committee.

The committee shall meet **every month**.

The composition of the committee is provided at **Annexure-E**.

In addition to the above scheme monitoring mechanism, the scheme will also be reviewed under the ambit of **DISHA**.

PM Street Vendor's AtmaNirbhar Nidhi (PM SVANidhi)

A Special Micro-Credit Facility for Street Vendors

Frequently Asked Questions

Generic

1. What is the Scheme?

This is a Central Sector Scheme to facilitate street vendors to access affordable working capital loan for resuming their livelihoods activities, after easing of lockdown.

2. What is the rationale of the Scheme?

The COVID-19 pandemic and consequent lockdowns have adversely impacted the livelihoods of street vendors. They usually work with a small capital base, which they might have consumed during the lockdown. Therefore, credit for working capital to street vendors will be helpful to resume their livelihoods.

3. What are the objectives of the Scheme?

- (i) To facilitate working capital loan up to ₹10,000 at subsidized rate of interest;
- (ii) To incentivize regular repayment of loan; and
- (iii) To reward digital transactions.

4. What are the salient features of the Scheme?

- (i) Initial working capital of up to ₹10,000/
- (ii) Interest subsidy on timely/early repayment @ 7%
- (iii) Monthly cash-back incentive on digital transactions
- (iv) Higher loan eligibility on timely repayment of the first loan.

5. Who is the target beneficiary for the Scheme?

Street vendors/hawkers vending in urban areas, as on or before March 24, 2020, including the vendors of surrounding peri-urban and rural areas.

6. Who is a Street Vendor/hawker?

Any person engaged in vending of articles, goods, wares, food items or merchandise of daily use or offering services to the public in a street, footpath, pavement etc., from a temporary built-up structure or by moving from place to place.

The goods supplied by them include vegetables, fruits, ready-to-eat street food, tea, pakodas, breads, eggs, textile, apparel, artisan products, books/stationery etc. and the services include barber shops, cobblers, pan shops, laundry services etc.

7. Which lending institutions will provide credit?

Scheduled Commercial Banks, Regional Rural Banks, Small Finance Banks, Cooperative Banks, Non-Banking Financial Companies, Micro-Finance Institutions and SHG Banks.

8. What is the tenure of the Scheme?

The Scheme shall be implemented up to March, 2022.

FAQs For Beneficiaries

1. What is the amount of initial working capital loan?

The Initial working capital loan is upto ₹10,000/- for a tenure of one year.

2. I have an Identity Card / Certificate of Vending. How can I apply for the loan?

You can approach a Banking Correspondent (BC)/Agent of Micro Finance Institution (MFI) in your area (ULBs will have the list of these persons).

They will help you in filling up the application and upload the documents in a Mobile App/Portal.

3. How will I know that I am in the surveyed list?

You can access this information on the website of PMSVANidhi:

pmsvanidhi.mohua.gov.in

4. My name is in the list of surveyed vendors, but I do not have either Identity Card or Certificate of Vending? Can I avail the loan facility? If yes, what is the process?

Yes, you can still avail the Scheme benefits.

A Provisional Certificate of Vending would be issued to vendors through an IT based Platform.

The BC/Agent will help you in filling up the application and upload the documents in a Mobile App/Portal.

5. I stay in the surrounding rural area and vend in the city. Am I eligible for the Scheme? If yes, what is the process?

OR

6. I am a vendor from the city but not included in the survey. How can I avail benefits of the Scheme?

The Scheme is available to vendors of surrounding development/peri-urban/rural areas vending in the geographical limits of the cities/towns and those left out of the survey.

If you belong to this category you have to produce one of the following documents to obtain the Letter of Recommendation from ULB/TVC:

- (i) Proof of availing one-time assistance, provided by certain States/UTs, during the period of lockdown; or
- (ii) Documents of past loan taken from a bank/NBFC/MFI for the purpose of vending; or
- (iii) The membership details with the vendors associations; or
- (iv) Any other documents to prove that you are a vendor;

You can also request ULB through a simple application on white paper to conduct local enquiry to ascertain the genuineness of your claim.

After receipt of LoR, you may approach BC/Agent to apply for the loan.

7. What are the KYC documents required in addition to CoV/ID/LoR?

I. Aadhaar Card*

II. Voter Identity Card*

III. Driving License

IV. MNREGA Card

V. PAN Card

*Mandatory

8. What is the rate and amount of interest subsidy?

The rate of interest subsidy 7%.

The interest subsidy amount will be credited directly in your account on quarterly basis.

In case of early payment, the admissible amount of subsidy will be credited in one go.

For a loan of ₹10,000, if you pay all the 12 EMIs in time, you will get approximately ₹400 as interest subsidy amount.

9. Do I need to give any collateral to avail this loan?

No collateral security is required.

10. What is the amount of incentive for digital transactions?

The on-boarded vendors would be provided with a monthly cashback in the range of ₹50 - ₹100 as per the following criteria:

- (i) On executing 50 eligible transactions: ₹50;
- (ii) On executing the next 50 eligible transactions: Additional ₹25; and
- (iii) On executing the next 100 eligible transactions: Additional ₹25.

Each transaction > ₹25 will be counted.

11. I am not familiar with digital transactions. Will there be any capacity building for doing that?

An agent from MFI/payment aggregator will approach you to onboard and help in conducting sample transactions.

You will also be provided with a debit card and a QR code.

12. Is there any incentive for timely/early repayment of loan?

Yes, on timely/early repayment of loan of initial working capital, a vendor becomes eligible to avail a higher tranche of loan in next cycle.

13. Is there any penalty for repayment of loan before the scheduled date?

There is no penalty for pre-closure of the loan.

14. How can I enhance my chances of availing this loan?

You may become a part of Common Interest Group (CIG) formed by ULB or Joint Liability Group (JLG) formed by a lending institution.

15. Who all can I approach to avail the facility?

You may meet a member of SHG or ALF or CLF or call toll free number.

16. Will I get Identity Card for use?

Yes, you will be issued Provisional Identity Card on approval of loan and permanent CoV/ID will be issued within 30 days.

17. How long it will take to get the loan approved?

Complete process will be automated through a Mobile App and Web Portal.

You will be able to check real time status of your application.

Whole process, if paper/information is complete, may take less than 30 days.

Pradhan Mantri Shram Yogi Maandhan Yojana

Pradhan Mantri Shram Yogi Maandhan is a government scheme meant for old age protection and social security of Unorganized workers.

Eligibility

- For Unorganized Workers (UW)
- Entry Age between 18 to 40 years
- Monthly Income up to Rs 15000/-

Features

- Assured Pension of Rs. 3000/- month
- Voluntary and Contributory Pension Scheme
- Matching Contribution by the Government of India

National Pension Scheme for Traders

National Pension Scheme for Traders is a government scheme meant for old age protection and social security of Shopkeeper's, Retail traders and Self Employed persons.

Eligibility

- For self employed shop owners, retail owners and other vyaparis
- Entry Age between 18 to 40 years
- Annual turnover should not exceed Rs 1.5 crore

Features

- Assured Pension of Rs. 3000/- month
- Voluntary and Contributory Pension Scheme
- Matching Contribution by the Government of India
-

PM-SYM

Pradhan Mantri Shram Yogi Maandhan is a government scheme meant for old age protection and social security of Unorganized Workers (UW).

Unorganized Workers (UW) are mostly engaged as home based workers, street vendors, mid-day meal workers, head loaders, brick kiln workers, cobblers, rag pickers, domestic workers, washer men, rickshaw pullers, landless laborers, own account workers, agricultural workers, construction workers, beedi workers, handloom workers, leather workers, audio- visual workers

or workers in similar other occupations. There are approximately 42 crore such Unorganized workers in the country.

It is a voluntary and contributory pension scheme under which the beneficiary would receive a minimum assured pension of Rs 3000/- per month after attaining the age of 60 years and if the beneficiary dies, the spouse of the beneficiary shall be entitled to receive 50% of the pension as family pension. Family pension is applicable only to spouse.

- On the maturity of the scheme, an individual will be entitled to obtain a monthly pension of Rs. 3000/-. The pension amount helps pension holders to aid their financial requirements.
- The scheme is a tribute to the workers in the Unorganized sectors who contribute around 50 per cent of the nation's Gross Domestic Product (GDP).
- The applicants between the age group of 18 to 40 years will have to make monthly contributions ranging between Rs 55 to Rs 200 per month till they attain the age of 60.
- Once the applicant attains the age of 60, he/ she can claim the pension amount. Every month a fixed pension amount gets deposited in the pension account of the respective individual.

Eligibility Criteria

- For Unorganized Worker (UW)
- Entry age between 18 to 40 years
- Monthly Income Rs 15000 or below

Should not be

- Engaged in Organized Sector (member of EPFO/NPS/ESIC)
- An income tax payer

He/ She should possess

- Aadhaar card
- Savings Bank Account / Jan Dhan account number with IFS

FAQs of PM-SYM

Q1. What is Pradhan Mantri Shram Yogi Maandhan Yojana?

Pradhan Mantri Shram Yogi Maandhan is a voluntary and contributory Pension Scheme for Unorganized Workers for entry age of 18 to 40 years with monthly income of Rs. 15,000 or less.

Q2. Who can subscribe to this Scheme?

Any unorganized worker in the age group of 18–40 years, whose job is casual in nature, such as home-based workers, street vendors, head loaders, brick kiln workers, cobblers, rag pickers, domestic workers, washer-men, rickshaw pullers, rural landless labourers, own account workers, agricultural workers, construction workers, beedi workers, handloom workers, leather workers, etc., with monthly income less than Rs. 15,000/-.

The worker should not be covered under any statutory social security schemes such as National Pension Scheme (NPS), Employees' State Insurance Corporation (ESIC) scheme, Employees' Provident Fund Organization (EPFO) Scheme and should not be an income tax payee.

Q3. What is the benefit of this Scheme?

If any unorganized worker subscribes to the scheme and has paid regular contribution up to the age of 60 years, he/she will get a minimum monthly pension of Rs. 3,000/-.

After his/her death, the spouse will receive a monthly family pension which is 50% of the pension.

Q4. How many years will the beneficiary contribute?

Once the beneficiary joins the scheme at the entry age between 18–40 years, he/she has to contribute till attaining the age of 60 years.

Q5. How much pension would be received under the Scheme? At what age?

Under the Scheme, a minimum pension of Rs. 3,000/- per month shall be paid. This pension will start on attaining the age of 60 years of the beneficiary.

Q6. Who are not entitled to join this Scheme?

Under the scheme, any worker who is covered under any statutory Social Security Scheme such as NPS, ESIC, EPFO and an income tax payee is not entitled to join the scheme.

Q7. Do I have to give proof of my date of birth and income?

No separate proof of age or income has to be given. Self-certification and providing of the Aadhaar number will be the basis for enrollment.

However, in case of any false declaration, appropriate penalty may be attracted.

Q8. What is the mode of contribution?

Primarily, the mode of contribution is on a monthly basis by auto-debit. However, provisions are also available for quarterly, half-yearly and yearly contribution.

The first contribution is to be paid in cash at the Common Service Centre.

Q9. Will there be any administrative cost?

There will be no administrative cost to the beneficiary as it is a purely Social Security Scheme of the Government of India.

Q10. Is nomination facility available?

Yes. Under the scheme, nomination facility is available. The beneficiary can nominate any one person as nominee under the scheme.

Q11. What happens in case of death before the start of pension?

If a beneficiary has given regular contribution and dies due to any cause, his/her spouse will be entitled to join and continue the scheme subsequently by payment of regular contribution for the remaining period.

On completion of the contribution period, the spouse will receive a monthly pension of Rs. 3,000/-.

Alternatively, if the spouse so desires, the amount of the member's contribution will be returned to his/her nominee with interest equivalent to savings bank rates.

Q12. Are there any educational qualifications prescribed for becoming a Member of Pradhan Mantri Shram Yogi Maandhan?

No. There are no minimum educational qualifications necessary for joining the Scheme.

Q13. Is any nomination facility other than spouse available after the death of the beneficiary?

Spouse, if living, will automatically be the beneficiary of family pension on information of death and production of the death certificate.

Q14. What documents are to be submitted at the enrollment Centre?

The beneficiary has to provide:

- Aadhaar Card
- Savings Bank Passbook
- Self-Certified form
- Consent form for auto-debit facility

Q15. Is the beneficiary required to pay the monthly contribution till the age of 60 years?

Yes. After joining the Scheme, the beneficiary has to pay the prescribed monthly contribution till the age of 60 years.

Q16. What happens if the worker joins this Scheme as an Unorganized worker and later joins the organized sector, gets enrolled under EPFO, and again comes back to the Unorganized sector?

In case the worker moves from the unorganized sector to the organized sector, the beneficiary can continue with the scheme; however, the Government contribution will stop and the member will have to pay an additional amount equal to the Government's share.

Alternatively, he/she may withdraw his/her contribution with interest.

PM VISHWAKARMA

2. OBJECTIVE, APPROACH AND COVERAGE

2.1 OBJECTIVE

The objectives of the PM Vishwakarma Scheme are:

- To enable recognition of artisans and craftspeople through PM Vishwakarma certificate and ID card.
- To provide skill upgradation involving basic training and advanced training.
- To provide support for better and modern tools.
- To provide collateral-free credit support and interest subvention.
- To provide incentives for digital transactions.
- To provide marketing support to artisans and craftspeople.

2.2 APPROACH

The scheme adopts an end-to-end approach to support artisans and craftspeople who work with their hands and tools.

The scheme aims to provide support to artisans and craftspeople through the entire value chain, including skill development, toolkit support, credit support, digital transactions and marketing.

2.3 COVERAGE OF TRADES

The PM Vishwakarma Scheme covers the following traditional trades:

1. Carpenter
2. Boat Maker
3. Armourer
4. Blacksmith
5. Hammer and Tool Kit Maker
6. Locksmith
7. Sculptor (Moortikar, Stone Carver), Stone Breaker
8. Goldsmith
9. Potter
10. Cobbler (Charmakar), Shoesmith and Footwear Artisan
11. Masons (Rajmistri)
12. Basket/Mat/Broom Maker/Coir Weaver
13. Doll & Toy Maker (Traditional)
14. Barber

15. Garland Maker

16. Washerman

17. Tailor

18. Fishing Net Maker

3. BENEFITS UNDER PM VISHWAKARMA

The PM Vishwakarma Scheme provides the following benefits to eligible artisans and craftspeople:

- Recognition through PM Vishwakarma Certificate and ID Card.
- Skill Upgradation through Basic Training and Advanced Training.
- Toolkit Incentive.
- Credit Support.
- Incentive for Digital Transactions.
- Marketing Support.

4. SKILL UPGRADATION

The scheme provides skill assessment and training support to eligible artisans and craftspeople.

4.1 SKILL ASSESSMENT

Beneficiaries will undergo skill assessment to identify their existing skills and training requirements.

4.2 BASIC TRAINING

Basic training will be provided to beneficiaries to enhance their skills and improve the quality of their products and services.

Beneficiaries undergoing basic training will be provided a training stipend.

4.3 ADVANCED TRAINING

Advanced training will be provided to interested beneficiaries after completion of basic training.

Advanced training is intended to further improve the skills, productivity and quality of artisans and craftspeople.

Beneficiaries undergoing advanced training will also receive training support as prescribed under the scheme.

5. TOOLKIT INCENTIVE

Eligible artisans and craftspeople will be provided support for purchasing modern and improved tools.

A toolkit incentive will be provided to the beneficiary through the prescribed mechanism under the scheme.

The toolkit support is intended to improve productivity, quality and efficiency of traditional artisans and craftspeople.

6. CREDIT SUPPORT

PM Vishwakarma provides collateral-free credit support to eligible artisans and craftspeople.

Credit support is provided in different tranches based on the prescribed eligibility conditions.

The scheme provides interest subvention to reduce the effective cost of credit for beneficiaries.

The credit support is intended to help artisans and craftspeople:

- Start or expand their business.
- Purchase tools and equipment.
- Improve production capacity.
- Meet working capital requirements.
- Adopt modern technology.

7. DIGITAL TRANSACTIONS

The scheme encourages artisans and craftspeople to adopt digital payment methods.

Eligible beneficiaries are provided incentives for carrying out digital transactions as prescribed under the scheme.

Digital adoption is intended to improve financial inclusion, transparency and access to formal financial services.

8. MARKETING SUPPORT

Marketing support is provided to help artisans and craftspeople improve the marketability of their products.

The support includes assistance for:

- Quality certification.
- Branding.
- Promotion.
- Participation in exhibitions and trade fairs.
- Access to online and digital markets.
- Other marketing-related support under the scheme.

9. ELIGIBILITY

The scheme is intended for traditional artisans and craftspeople who work with their hands and tools and are engaged in one of the trades covered under the PM Vishwakarma Scheme.

The beneficiary should satisfy the eligibility conditions prescribed under the scheme.

The scheme covers artisans and craftspeople engaged in the 18 identified traditional trades.

10. REGISTRATION

Eligible artisans and craftspeople can register themselves under the PM Vishwakarma Scheme through the prescribed registration process.

Registration is facilitated through Common Service Centres (CSCs).

The registration process involves providing the required beneficiary details and completing the prescribed verification process.

The beneficiary is required to provide the necessary information and documents as prescribed under the scheme.

11. VERIFICATION AND APPROVAL

The registration of an artisan or craftsperson is subject to verification.

The verification process is carried out through the prescribed local-level and administrative mechanisms.

After successful verification and approval, the eligible beneficiary is registered under PM Vishwakarma and becomes entitled to the applicable benefits of the scheme.

12. PM VISHWAKARMA CERTIFICATE AND ID CARD

Eligible beneficiaries receive a PM Vishwakarma Certificate and PM Vishwakarma ID Card.

The certificate and ID card provide formal recognition to artisans and craftspeople covered under the scheme.

The PM Vishwakarma ID enables beneficiaries to establish their identity as traditional artisans and craftspeople under the scheme.

Scheme Benefits – PM Vishwakarma

1. Recognition

Recognition as a Vishwakarma through a Certificate and ID Card.

2. Skilling

- Skill verification followed by **5–7 days (40 hours) Basic Training**.
- Interested candidates can also take **15 days (120 hours) Advanced Training**.
- Training stipend: **₹500 per day**.

3. Toolkit Incentive

- Grant of **₹15,000** for purchasing improved tools.

4. Credit Support

- Collateral-free Enterprise Development Loans:
 - **₹1 lakh** – First Tranche, repayment up to **18 months**.
 - **₹2 lakh** – Second Tranche, repayment up to **30 months**.
- Beneficiary interest rate: **5%**.
- Government interest subvention: up to **8%**.
- Credit guarantee fees are borne by the **Government of India**.

5. Incentive for Digital Transactions

- **₹1 per eligible digital transaction**.
- Maximum **100 transactions per month**.

6. Marketing Support

The National Committee for Marketing (NCM) provides support such as:

- Quality Certification
- Branding and Promotion
- E-commerce Linkage
- Trade Fairs
- Advertising and Publicity
- Other marketing activities

PM VISHWAKARMA – FAQs

1. What is Pradhan Mantri Vishwakarma Scheme?

PM Vishwakarma is a Central Sector Scheme for traditional artisans and craftspeople. It provides recognition, skill training, toolkit support, collateral-free credit, digital transaction incentives and marketing support. ([Champions](#))

2. Who is the target beneficiary of the Scheme?

Artisans and craftspeople who are engaged in any of the **18 traditional trades** covered under the scheme are eligible, subject to the eligibility conditions. ([Champions](#))

3. Which category of trades are covered in the scheme?

The scheme covers 18 traditional trades such as Carpenter, Boat Maker, Armourer, Blacksmith, Locksmith, Goldsmith, Potter, Cobbler, Mason, Barber, Tailor, Washerman, Garland Maker and Fishing Net Maker. ([Champions](#))

4. What are the key components of PM Vishwakarma?

The main components are:

- Recognition through Certificate and ID Card
- Skill Upgradation
- Toolkit Incentive
- Credit Support
- Digital Transaction Incentive
- Marketing Support ([Champions](#))

5. What are the eligibility criteria of the Scheme?

The applicant must:

- Be at least **18 years old**.
- Be working in one of the 18 approved trades.

- Be self-employed in the unorganised or informal sector.
- Be engaged in the trade at the time of registration.
- Meet the other conditions given under the scheme guidelines. ([Champions](#))

6. How to avail benefits under the Scheme?

An eligible person can register through the **PM Vishwakarma portal** or through a **Common Service Centre (CSC)**. ([Startup Gujarat](#))

7. Which documents are required to be provided during registration on PM Vishwakarma portal?

The applicant needs to provide information such as:

- Aadhaar number
- Mobile number
- Bank account details
- Ration card details ([Startup Gujarat](#))

8. Which lending institutions can provide credit under the Scheme?

Credit can be provided by:

- Scheduled Commercial Banks
- Regional Rural Banks
- Small Finance Banks
- Cooperative Banks
- Private Sector Banks
- NBFCs
- Micro Finance Institutions ([Champions](#))

9. What is the amount of initial loan under the scheme?

The first loan tranche is a **collateral-free loan of up to ₹1 lakh** with a repayment period of **18 months**. ([Status In](#))

10. I already have availed first tranche of loan under PM Vishwakarma. When will I be eligible for second tranche of loan?

The second tranche of up to **₹2 lakh** is available after repayment of the first tranche, subject to the required conditions. The beneficiary should maintain a standard loan account and should have adopted digital transactions or completed Advanced Training. ([Champions](#))

11. What is the rate of interest under PM Vishwakarma?

The beneficiary is charged a concessional interest rate of **5%**. The Government provides interest subvention of up to **8%** to the banks. ([Status In](#))

12. What is the repayment period of the loans?

- **First tranche:** Up to ₹1 lakh — **18 months**
- **Second tranche:** Up to ₹2 lakh — **30 months** ([Startup Gujarat](#))

13. Do I need to provide collateral to get the loan?

No. PM Vishwakarma provides **collateral-free loans**. No mortgage or collateral security is required. ([Startup Gujarat](#))

14. Is there any guarantee fee for the loan?

No. The beneficiary does **not have to pay any guarantee fee** for the loan. ([Champions](#))

15. Is there any penalty for early repayment of the loan?

The first loan can be repaid early, but it should not be repaid before **6 months** from the date of disbursement. ([Champions](#))

16. What kind of skill training is provided under the scheme?

The scheme provides:

- **Basic Training:** 5–7 days
- **Advanced Training:** 15 days or more

The training helps artisans improve their traditional skills and learn modern tools and methods. ([Champions](#))

17. Can I receive the toolkit incentive without attending skill training programmes?

No. The toolkit incentive is provided after **Skill Assessment at the start of Basic Training**. The toolkit and training are designed to work together to improve the artisan's skills. ([Champions](#))

18. What is the amount of incentive for digital transactions?

The beneficiary receives **₹1 for each eligible digital transaction**, up to a maximum of **100 transactions per month**. ([Champions](#))

19. What kind of marketing support is provided under the scheme?

Marketing support includes:

- Quality certification
- Branding
- Advertising and publicity
- E-commerce support
- Trade fairs and exhibitions

- Other marketing activities to connect artisans with markets. ([Champions](#))

20. Who all can I approach to get help regarding availing benefits under the scheme?

You can approach:

- Nearest **Common Service Centre (CSC)**
- **MSME Development and Facilitation Office** in your State
- PM Vishwakarma helpline **1800 267 7777** ([Champions](#))

21. Can a government employee apply for PM Vishwakarma?

No. A **government employee and their family members** are not eligible for PM Vishwakarma. ([Champions](#))

22. What is the definition of a family in PM Vishwakarma?

A family means **husband, wife and their unmarried children**. ([Champions](#))

23. How many members of a family can apply for PM Vishwakarma?

Only **one member from a family** can apply for PM Vishwakarma. ([Champions](#))

24. Can a person who has availed PMEGP, PM SVANidhi or PM MUDRA loan apply for PM Vishwakarma?

A person who has availed a **PMEGP loan cannot apply**. A person with an outstanding PM SVANidhi or MUDRA loan also cannot apply. However, a person who has **fully repaid** a PM SVANidhi or MUDRA loan can apply, subject to the scheme conditions. ([Champions](#))

25. Can a beneficiary of PM Vishwakarma apply for PMEGP?

Yes. A PM Vishwakarma beneficiary can apply for **PMEGP after repaying the PM Vishwakarma loan**. ([Champions](#))

26. I'm a resident of Ladakh, but my Aadhaar card currently mentions "Jammu & Kashmir" as my address. Can I still enroll on the PM Vishwakarma website through CSC?

Yes. The applicant can approach a **Common Service Centre (CSC)** for assistance with registration and verification. The CSC can help complete the Aadhaar-based registration process.

Pradhan Mantri PMUY Yojana

Swachh Indhan Behtar Jeevan

In May 2016, Ministry of Petroleum and Natural Gas (MOPNG), introduced the 'Pradhan Mantri Ujjwala Yojana' (PMUY) as a flagship scheme with an objective to make clean cooking fuel such as LPG available to the rural and deprived households which were otherwise using traditional cooking fuels such as firewood, coal, cow-dung cakes etc. Usage of traditional cooking fuels had detrimental impacts on the health of rural women as well as on the environment.

The scheme was launched on 1st May 2016 in Ballia, Uttar Pradesh by Hon'ble Prime Minister of India, Shri. Narendra Modi.

Eligibility criteria to avail connection under PMUY Connection

1. The applicant must be a woman who has attained 18 years of age.
2. There should be no other LPG connection from any Oil Marketing Company (OMC) within the same household.
3. The adult woman must belong to a poor household based on submission of a deprivation declaration (as per prescribed format).

Documents required

1. Know Your Customer (KYC) application form.
2. Proof of Identity (Aadhaar copy of Applicant)
3. Proof of Address (only in case Address in Aadhaar is different from currently residing address) (Self Declaration as per Annexure I for migrant applicants)
4. Ration Card issued by the State from which application is being made / other State Govt. document certifying family composition ((Self Declaration as per Annexure I for migrant applicants)
5. Aadhaar copy of Applicant and adult family members appearing in document at Sl. 4
6. Bank Account details (Passbook copy/Cancelled cheque)
7. Deprivation Declaration

Eligibility Criteria

1. The applicant must be a woman who has attained 18 years of age.
2. There should be no other LPG connection from any Oil Marketing Company (OMC) within the same household.
3. The adult woman must belong to a poor household based on submission of a deprivation declaration (as per prescribed format).

Documents Required

1. Know Your Customer (KYC) application form.
2. Proof of Identity (Aadhaar copy of Applicant)
3. Proof of Address (only in case Address in Aadhaar is different from currently residing address) (Self Declaration as per Annexure I for migrant applicants)
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5. Aadhaar copy of Applicant and adult family members appearing in document at Sl. 4
6. Bank Account details (Passbook copy/Cancelled cheque)
7. Deprivation Declaration

PMUY Benefits

- **Cash Assistance:** ₹2,050 for a 14.2 kg cylinder connection and ₹1,300 for a 5 kg cylinder connection.

The cash assistance covers:

- **Security Deposit of Cylinder:** ₹1,700 for 14.2 kg cylinder / ₹950 for 5 kg cylinder
- **Pressure Regulator:** ₹150
- **LPG Hose:** ₹100
- **Domestic Gas Consumer Card:** ₹25
- **Inspection / Installation / Demonstration Charges:** ₹75

Additional Benefits

All PMUY beneficiaries will receive:

- **First LPG refill – Free**
- **Stove (Hotplate) – Free**

These are provided by the **Oil Marketing Companies (OMCs)** along with the **deposit-free LPG connection**.

Yes. I checked the **official PMUY website**. It has **34 FAQs**. Below is a clean, copy-paste-ready version, keeping the official Q1–Q34 structure and content closely aligned with the page.

([PMUY](#))

PMUY – Frequently Asked Questions

Q1. Who is the eligible beneficiary under the PMUY scheme?

Ans: An adult woman from a poor household, based on submission of a Deprivation Declaration in the standard format.

The household must not have an existing LPG connection registered in the name of any family member listed in the family composition document.

Q2. What is the criterion to ascertain a Poor Household under PMUY Scheme?

Ans: The Deprivation Declaration submitted by the applicant is the basic criterion for considering the household as an eligible poor household under the scheme.

Q3. What are the benefits in PMUY?

Ans: A PMUY beneficiary receives a security-deposit-free LPG connection with no installation charges, covering:

1. 14.2 kg LPG cylinder / 5 kg LPG cylinder(s)
2. Domestic pressure regulator
3. 1.2 m Suraksha hose pipe
4. DGCC booklet
5. Free first refill(s)
6. Free two-burner stove

The PMUY beneficiary does not need to pay any amount to the distributor for the above benefits.

Q4. How can one apply for LPG connection under the scheme?

Ans: Applicants can apply through the following methods:

1. **Online:** Apply through the application form available on the PMUY website or visit the nearest CSC Centre for assistance. There is no fee for self-submission. A charge of ₹20 is applicable if the application is submitted through a CSC Centre.
2. **Offline:** Submit the application directly at the nearest LPG distributorship of the OMCs.

Q5. Is there any fee at the time of getting a PMUY connection?

Ans: No. The customer does not have to pay anything while taking a new connection.

If any stamp fee is applicable in the state, it has to be paid by the beneficiary.

Q5(b). Can customers avail LPG Stove and First Refill free of cost?

Ans: Yes. Under PMUY, OMCs provide the LPG stove and first refill free of cost. Customers do not need to pay anything while taking the LPG connection under the scheme.

Q6. Which documents are mandatory to be submitted by an applicant for enrolment under PMUY Scheme?

Ans: The applicant must provide:

1. Application/KYC form in the standard format, with recent photograph and signature.
2. Copy of Aadhaar card of the applicant as Proof of Identity (PoI).
3. Copy of Aadhaar cards of all adult family members mentioned in the Ration Card or other family composition document.
4. Proof of Address (POA). Aadhaar can be used as POA if the current address is the same as the Aadhaar address. Otherwise, an approved POA document containing the current address must be submitted.
5. Bank account details of the applicant along with passbook/cancelled cheque for transfer of LPG subsidy through DBTL.
6. Copy of the latest Ration Card. Where the State Government portal contains updated family details, a self-signed copy of the portal printout may be submitted instead.
7. If the Ration Card does not define family composition or is not available, another Central/State Government document certifying the family composition must be submitted.
8. Deprivation Declaration supporting the poor-household status, duly signed by the applicant.
9. For migrant applicants, self-declaration in the standard format for Proof of Address and family composition.

Q7. Can I opt for a 5 Kg connection under the scheme?

Ans: Yes. The applicant can choose between:

- 14.2 kg single-bottle cylinder
- 5 kg single-bottle cylinder
- 5 kg double-bottle cylinder

Q8. What document can be produced as Proof of Identity (POI) and Proof of Address (POA)?

Ans: Please refer to the documents mentioned under Question 6.

Q9. Under PMUY, is it mandatory to collect Aadhaar for all adult family members as per the age in the ration card?

Ans: Yes. Adult family members are determined based on their age on the date of KYC, and Aadhaar details of all adult family members must be collected from the applicant.

Q10. What should I do if my Aadhaar or family members' Aadhaar is not updated, contains errors, or is inactive?

Ans: Aadhaar details must be corrected/updated at the nearest Aadhaar Seva Kendra or through the UIDAI website/mAadhaar app before applying, as correct Aadhaar details are mandatory for PMUY application.

Q11. What type of Ration Card needs to be submitted by the applicant?

Ans: Since the Ration Card is used to identify the family composition, any type of digitized Ration Card/family composition document issued by the respective State Government can be submitted.

Q12. Can PMUY Connection be released to a Poor Household with no female adult members?

Ans: No. PMUY connections can only be released in the name of an adult female member of the poor household.

Q13. Can a male member apply for a connection under PMUY?

Ans: No.

Q14. Can a connection be given to a female who is a minor and claims to be the only female member in the household?

Ans: No.

Q15. Can a connection be given to a male member in the household if there are no female members or the female member is a minor?

Ans: No.

Q16. Can a connection be given to a deceased female member if there are only male members now and her name is still appearing in the Ration Card or family composition document?

Ans: No.

Q17. Is Biometric Aadhaar authentication (eKYC) mandatory for connections enrolled under PMUY? How is it carried out?

Ans: Yes. Biometric Aadhaar authentication is mandatory. It is carried out by the LPG distributor of the OMCs.

Q18. An SC/ST applicant cannot submit her caste certificate. Can she still get a connection under the scheme?

Ans: Yes. The applicant can be given a connection if she fulfils the other eligibility criteria. The KYC provides an option to select SC or ST category without requiring a caste certificate.

Q19. Can earlier submitted applications be considered under the scheme?

Ans: Yes. Earlier applications can be considered if the applicant meets the eligibility criteria and submits the required documents, including the revised Application/KYC form, Deprivation Declaration and other supporting documents, as per the latest guidelines.

Q20. A family member was a minor when the KYC was seeded in 2024 or earlier but has now become a major. Does this member need to be added to the KYC?

Ans: Yes. The member must be declared in the KYC and must submit Aadhaar along with the other required documents.

Q21. The Ration Card number of a beneficiary whose KYC was seeded in 2024 or earlier has changed. How will the consumer be enrolled?

Ans: Aadhaar of all adult family members, as per the revised document provided by the applicant, must be submitted along with the revised KYC/Application form, Deprivation Declaration and other required documents.

Q22. The Bank account or mobile number of a beneficiary has changed. How can it be updated?

Ans: It can be changed. The applicant must provide the revised details along with the required documents, including the revised KYC/Application form and Deprivation Declaration.

Q23. My mother-in-law already has a PMUY connection and has moved with me and my family to the city where we work. Can a new PMUY connection be taken in her name?

Ans: No. Since the mother-in-law already has a connection, another connection cannot be released in her name. However, the existing connection can be transferred to the new city.

Q24. Can I transfer my PMUY connection to another address or city? What is the process?

Ans: Yes. The PMUY customer needs to submit a request letter along with Proof of Identity to the attached distributor.

Q25. I have migrated from one state to another with my entire family. I already have a PMUY connection. What is the process to transfer the connection?

Ans: The PMUY customer needs to submit a request letter along with Proof of Identity to the attached distributor.

Q26. A family holding a PMUY connection has split into two families living at different addresses. Can the new split family get a PMUY connection?

Ans: If Aadhaar of the family members is linked with the previous connection, the applicant must contact the concerned distributor/OMC to delete or inactivate the members who have moved out of the household. A new Ration Card must be submitted.

After this, the applicant can submit all the documents mentioned under Question 6.

Q27. Is Pre-Installation Inspection mandatory?

Ans: Yes. Before releasing a PMUY connection, a pre-installation inspection is carried out at the applicant's premises as per the standard format.

Q28. The State Ration Card does not contain the complete list of family members. How can the family composition be established?

Ans: If the family composition is not defined in the Ration Card, the applicant must submit another Central/State Government document certifying the complete family composition of the applicant.

Q29. Are there categories such as SC/ST/MBC/Forest Dwellers under the current scheme?

Ans: No. However, the KYC/Application form provides an option for the applicant to select General, SC, ST or other caste category.

Q30. If I do not have a Ration Card, what other document can I provide as family composition proof?

Ans: A valid Central/State Government-issued family composition document showing the names and ages of all family members can be submitted.

The Aadhaar number and copy of Aadhaar card of all adult family members mentioned in the family composition document are also required.

Q31. I have a PNG connection. Can I also get an LPG connection under PMUY?

Ans: PNG connection holders are allowed to take only a non-subsidized LPG connection. Therefore, they cannot get a PMUY connection or a non-PMUY subsidized connection.

Q32. I am a PMUY connection holder and am taking a PNG connection. Can I sell or give my PMUY cylinder and stove to my neighbour?

Ans: No. The PMUY cylinder and stove are subsidized assets and cannot be sold or transferred.

The assets must be surrendered to the Oil Marketing Company, and the customer must request termination of the PMUY LPG connection through the distributor.

Q33. I have submitted my PMUY application but haven't received any update. What should I do?

Ans: The connection status can be obtained from the distributor or by contacting the toll-free number:

1800 266 6696

Q34. I received my PMUY connection but am not getting subsidy for LPG refills. What should I do?

Ans: The beneficiary should visit their bank and verify:

- Whether Aadhaar is seeded with the bank account.
- Whether Aadhaar is correctly mapped in the NPCI mapper with the correct and active bank account.

If Aadhaar is not seeded or mapped correctly, the consumer can fill the **Aadhaar Seeding Process** form and submit it at the bank.

Beneficiaries can check Aadhaar mapping status through the NPCI website. The status should show "**Enabled for DBT.**"

If it is not enabled, Aadhaar can be mapped through the NPCI Aadhaar Seeding/Deseeding facility.

Alternatively, the consumer can:

- Contact the LPG distributorship.
- Call **1800 2333 555** or **1800 266 6696**.
- Raise a grievance through the respective OMC website, consumer portal or mobile application. ([PMUY](#))

Important: The official page also has separate **PMUY Eligibility Criteria, Documents Required, Benefits, application links and refill-booking information** below the 34 FAQs. ([PMUY](#))

PRADHAN MANTRI SURAKSHA BIMA YOJANA (PMSBY)

Rules for the Pradhan Mantri Suraksha Bima Yojana

1. Details of the Scheme

PMSBY is an Accident Insurance Scheme offering accidental death and disability cover for death or disability on account of an accident.

It would be a one-year cover, renewable from year to year.

The scheme would be offered/administered through Public Sector General Insurance Companies (PSGICs) and other General Insurance companies willing to offer the product on similar terms with necessary approvals and tie-up with Banks/Post Office for this purpose.

Participating Banks/Post Office will be free to engage any such insurance company for implementing the scheme for their subscribers.

2. Scope of Coverage

All individual Bank/Post Office account holders in the age group of **18 to 70 years** in participating Banks/Post Office will be entitled to join.

In case of multiple Bank/Post Office accounts held by an individual in one or different Banks/Post Office, the person would be eligible to join the scheme through **one Bank/Post Office account only**.

Aadhaar would be the primary KYC for the Bank/Post Office account.

3. Enrolment Modality / Period

The cover shall be for the one-year period stretching from **1st June to 31st May**.

The option to join/pay by auto-debit from the designated Bank/Post Office account on the prescribed forms will be required to be given by **31st May of every year**.

Joining subsequently on payment of the full annual premium would be possible.

However, applicants may give an indefinite/longer option for enrolment/auto-debit, subject to continuation of the scheme with terms as may be revised on the basis of past experience.

Individuals who exit the scheme at any point may re-join the scheme in future years through the above modality.

New entrants into the eligible category from year to year, or currently eligible individuals who did not join earlier, shall be able to join in future years while the scheme is continuing.

4. Benefits

Benefit	Sum Insured
a) Death	₹2 Lakh

b) Total and irrecoverable loss of both eyes, or loss of use of both hands or feet, or loss of sight of one eye and loss of use of one hand or foot	₹2 Lakh
c) Total and irrecoverable loss of sight of one eye, or loss of use of one hand or foot	₹1 Lakh

5. Premium

The premium is **₹20 per annum per member**.

The premium will be deducted from the account holder's Bank/Post Office account through the **auto-debit facility** in one instalment on or before **1st June** of each annual coverage period under the scheme.

However, in cases where auto-debit takes place after 1st June, the cover shall commence from the **date of auto-debit of premium** by the Bank/Post Office.

The premium would be reviewed based on annual claims experience.

6. Eligibility Conditions

Individual Bank/Post Office account holders of participating Banks/Post Office aged between:

- **18 years completed**, and
- **70 years (age nearer birthday)**

who give their consent to join/enable auto-debit, as per the above modality, will be enrolled into the scheme.

7. Master Policy Holder

The participating Bank/Post Office will be the **Master Policy Holder** on behalf of the participating subscribers.

A simple and subscriber-friendly administration and claim settlement process has been finalized by the respective General Insurance Company in consultation with the participating Banks.

8. Termination of Cover

The accident cover for the member shall terminate on any of the following events and no benefit will be payable thereafter:

1. On attaining **70 years of age (age nearest birthday)**.
2. Closure of the account with the Bank/Post Office or insufficiency of balance to keep the insurance in force.
3. In case a member is covered through more than one account and premium is received by the Insurance Company inadvertently, insurance cover will be restricted to **one Bank/Post Office account only** and the premium paid for duplicate insurance(s) shall be liable to be forfeited.

4. If the insurance cover ceases due to technical reasons such as insufficient balance on the due date or due to administrative issues, the same can be reinstated on receipt of the full annual premium, subject to conditions that may be laid down.

During this period, the risk cover will be suspended and reinstatement of risk cover will be at the sole discretion of the Insurance Company.

5. Participating Banks will deduct the premium amount in the same month when the auto-debit option is given, preferably in **May of every year**, and remit the amount due to the Insurance Company in that month itself.

9. Administration

The scheme, subject to the above, will be administered as per the standard procedure stipulated by the Insurance Company.

The data flow process and data proforma will be provided separately.

It will be the responsibility of the participating Bank/Post Office to recover the appropriate annual premium from the account holders within the prescribed period through the **auto-debit process**.

Enrolment form/Auto-debit authorization in the prescribed proforma shall be obtained and retained by the participating Bank/Post Office.

In case of a claim, the Insurance Company may seek submission of the same. The Insurance Company reserves the right to call for these documents at any point of time.

The acknowledgement slip may be made into an **acknowledgement slip-cum-certificate of insurance**.

The scheme is liable to be discontinued prior to commencement of a new future renewal date if circumstances so require.

10. Appropriation of Premium

1. **Insurance Premium payable to Insurance Company:**
₹20/- per annum per member.
2. **Commission payable to Business Correspondents, agents, etc. by the insurer:**
₹1/- per member (*for new enrolments only*).
3. **Administrative expenses payable to participating Bank by insurer:**
₹1/- per annum per member.

Note

The amount of commission payable to Business Correspondents, agents, etc. as specified in item 2, saved in case of voluntary enrolment by an accountholder through electronic means, shall be passed on as a benefit to the subscriber by correspondingly reducing the amount of the Insurance Premium payable specified in item 1.

FAQs on PRADHAN MANTRI SURAKSHA BIMA YOJANA (PMSBY)

Q1. What is the nature of the scheme?

The scheme is a one year cover Personal Accident Insurance Scheme, renewable from year to year, offering protection against death or disability due to accident.

Q2. What would be the benefits under the scheme and premium payable?

The benefits payable under the scheme on death or disability due to accident are as follows:

Benefit	Sum Insured
a. Death	Rs. 2 Lakh
b. Total and irrecoverable loss of both eyes or loss of use of both hands or feet or loss of sight of one eye and loss of use of hand or foot	Rs. 2 Lakh
c. Total and irrecoverable loss of sight of one eye or loss of use of one hand or foot	Rs. 1 Lakh

Premium payable is **Rs.20/- per annum per member**.

Q3. What do you mean by “accident”?

Accident means a sudden, unforeseen and involuntary event caused by external, violent and visible means.

Q4. How will the premium be paid?

The premium will be deducted from the account holder's bank/Post Office account through 'auto debit' facility in one instalment, as per the consent given by the subscriber at the time of enrolment.

Q5. Who will offer / administer the scheme?

The scheme is offered/administered through the Public Sector General Insurance Companies (PSGICs) and other general insurance companies willing to offer the product with necessary approvals on similar terms, in collaboration with participating Banks.

Participating Banks are free to engage any such general insurance company for implementing the scheme for their account holders/subscribers.

Q5. Who will be eligible to subscribe?

All individual (single or joint) account holders of participating Banks/Post Offices, in the age group of **18 to 70 years**, are entitled to join.

In case of multiple accounts held by an individual in one or different Banks/Post Offices, the person is eligible to join the scheme through **one Bank/Post Office account only**.

Q6. What is the enrolment period and modality?

The cover shall be for one-year period stretching from **1st June to 31st May**.

At the time of enrolment, subscriber has to submit his option on the prescribed form, to join/pay by auto-debit from the designated individual Bank/Post Office account, until further instructions, an amount of **Rs.20/- (Rupees Twenty only) per annum**, or any amount as decided from time to time, which may be intimated immediately if and when revised, towards renewal of coverage under the scheme.

Delayed enrolment/renewal subsequent to this date will be possible on payment of annual premium.

Q7. Can eligible individuals who fail to join the scheme in the initial year join in subsequent years?

Yes, new eligible entrants can also join in future years on payment of premium through auto-debit.

However, risk cover would start from the date of auto-debit of premium from the subscriber's account.

Q8. Can individuals who leave the scheme re-join?

Individuals who exit the scheme at any point may re-join the scheme in future years by paying the annual premium, subject to conditions that may be laid down.

However, risk cover would start from the date of auto-debit of premium from the subscriber's account.

Q9. Who would be the Master policy holder for the scheme?

Participating Banks/Post Offices are the Master policy holders for the scheme.

A simple and subscriber-friendly administration & claim settlement process has been finalized by PSGICs/other insurance companies in consultation with the participating Banks/Post Offices.

Q10. When can the accident cover assurance terminate?

The accident cover of the member shall terminate/restricted accordingly on any of the following events:

1. On attaining age **70 years (age nearer birthday)**.
2. Closure of account with the Bank or insufficiency of balance to keep the insurance in force.
3. In case a member is covered through more than one account and premium is received by the insurance company inadvertently, insurance cover will be restricted to one account and the premium shall be liable to be forfeited.

Q11. What will be the role of the insurance company and the Bank?

1. The scheme will be administered by PSGICs or any other general insurance company which is willing to offer such a product in partnership with Banks/Post Offices.
2. It will be the responsibility of the participating Bank/Post Office to recover the appropriate annual premium in one instalment, as per the option, from the account holders on or before the due date through 'auto-debit' process and transfer the amount due to the insurance company.
3. Enrolment form/Auto-debit authorization/Consent cum Declaration form in the prescribed proforma shall be obtained, as required, and retained by the participating Bank/Post Office.

In case of claim, PSGIC/insurance company may seek submission of the same.

PSGIC/Insurance Company also reserve the right to call for these documents at any point of time.

Q12. How would the premium be appropriated?

Appropriation of Premium:

1. Insurance Premium payable to Insurance Company: **Rs. 20/- per annum per member**
2. Commission payable to Business Correspondents, agents, etc. by the insurer: **Re.1/- per member (for new enrolments only)**
3. Administrative expenses payable to participating Bank by insurer: **Re.1/- per annum per member**

Note: The amount of commission payable to Business Correspondents, agents, etc. as specified in item 2, saved in case of voluntary enrolment by an accountholder through electronic means, shall be passed on as a benefit to the subscriber by correspondingly reducing the amount of the Insurance Premium payable specified in item 1.

Q13. Will this cover be in addition to cover under any other insurance scheme the subscriber may be covered under?

Yes.

Q14. Does the PMSBY cover death/disability resulting from natural calamities such as earthquake, flood and other convulsions of nature? What about coverage of suicide/murder?

Natural calamities being in the nature of accidents, any death/disability (as defined under PMSBY) resulting from such natural calamities is also covered under PMSBY.

While death due to suicide is not covered, that from murder is covered.

Q15. Can all holders of a joint bank account join the scheme through the said account?

In case of a joint account, all holders of the said account can join the scheme provided they satisfy its eligibility criteria and pay the premium at the rate of **Rs.20 per person per annum** through auto-debit.

Q16. Which Bank Accounts are eligible for subscribing to PMSBY?

All bank account holders other than institutional account holders are eligible for subscribing to PMSBY scheme.

Q17. Are NRIs eligible for coverage under PMSBY?

Any NRI having an eligible bank account with a bank branch located in India is eligible for purchase of PMSBY cover through this account subject to fulfilment of the terms and conditions relating to the scheme.

However, in case a claim arises, the claim benefit will be paid to the beneficiary/nominee only in **Indian currency**.

Q18. Is there any provision for reimbursement of hospitalisation expenses following accident resulting in death or disablement?

No.

Q19. Who can claim insurance benefit in case of death of the bank account holder who gave the enrolment form?

In case of death of the account holder/subscriber who enrolled in the scheme, claim can be filed by the nominee/appointee as per the enrolment form or by the legal heir/s in case there is no nomination made by the subscriber bank account holder.

Q20. What is the mode of payment of the claim amount?

Disability claim will be credited in the bank account of the insured bank account holder/subscriber.

Death claim will be remitted to the bank account of the nominee/legal heir(s).

Q21. Will the family get insurance benefit if the account holder commits suicide?

No.

Q22. Is it necessary to report accidents to Police and obtain FIR for claiming benefits under the policy?

In case of incidents like road, rail and similar vehicular accidents, drowning, death involving any crime etc., the accident should be reported to police.

In case of incidents like snake bite, fall from tree etc., the cause should be supported by immediate hospital record.

Q23. If the insured is missing and death is not confirmed, will the legal heirs get benefit of insurance?

PMSBY covers deaths due to accident as confirmed by documentary evidence only.

Q24. What benefit will be payable if a person suffers partial disability without irrecoverable loss of sight of one eye or loss of use of one hand or foot?

No benefit will be payable.

Q25. Can an account holder get claim from more than one bank where he has enrolled and premium has been debited?

No. The insured/nominee shall be eligible for **one claim only**.

Q26. Are PMSBY policies being introduced and serviced in association with foreign insurance Companies?

There are no foreign insurance Companies directly operating in India.

As permitted by the Insurance Act and IRDA Regulations, there are some foreign Companies in joint ventures with Indian companies, where the stake of foreign insurers is restricted to **74% only**.

Q27. Will the PMSBY scheme which is being promoted aggressively and sold in large numbers accrue huge profits to the foreign insurance Companies who in joint venture with Indian entities have floated general insurance companies and are operating this insurance cover?

Only Indian Insurance Companies as defined in the Insurance Act can operate in India.

The policy holders' funds of all such insurance companies operating in India including those with foreign partners within the 74% cap are to be invested in India as per regulations and cannot be invested abroad.

The premium charged for PMSBY has been worked out based on actuarial calculations by considering all risk factors, current mortality rates and adverse selection.

Thus, there is no scope for any huge profits accruing from the scheme.

Q28. Why are foreign insurance Companies associated with PMSBY when Public Sector General Insurance Companies (PSGICs) which are government owned companies could have managed this scheme launched by the government?

There are **21 general insurance companies** operating in India, who are licensed by IRDAI to carry on general insurance business.

To promote competition and better pricing and service to customers, all these companies are permitted to participate.

Moreover, they are all Indian insurance companies. Their foreign partners, if any, have only a stake in these companies within the stipulated **74% cap**.

However, Public Sector General Insurance Companies (PSGICs) are still the primary insurers involved in operation of the scheme.

Q29. In case of non-settlement of claims is it possible to proceed legally against the foreign insurers in India?

There are no foreign insurance Companies directly operating in India.

As permitted by the regulations there are Companies operating as joint ventures with Indian companies, where the stake of foreign insurers is restricted to 74% only.

By definition, these are Indian insurance companies.

All these companies are subject to Indian laws and there is no bar against proceeding legally against them.

Q30. Rates of premium may be increased, or the Companies may discontinue the schemes in future?

Insurance is like any other product. While rates can go up in future, with 21 general insurance Companies operating in India, due to competition among them, prices are likely to remain stable.

It is expected that with the design of the PMSBY cover and its pricing, the scheme will be viable, and there is little chance of discontinuing.

In any event, even if a particular company discontinues, banks have several other options to tie up with.

Pradhan Mantri MUDRA Yojana (PMMY)

Pradhan Mantri MUDRA Yojana (PMMY) is a scheme launched by the Hon'ble Prime Minister on April 8, 2015 for providing loans up to 10 lakh (20 lakh for those entrepreneurs who have availed and successfully repaid previous loans under the 'Tarun' category) to the non-corporate, non-farm small/micro enterprises. These loans are classified as MUDRA loans under PMMY. These loans are given by Commercial Banks, RRBs, Small Finance Banks, MFIs and NBFCs. The borrower can approach any of the lending institutions mentioned above or can apply online through this portal www.udyamimitra.in. Under the aegis of PMMY, MUDRA has created four products namely 'Shishu', 'Kishor', 'Tarun' and 'TarunPlus' to signify the stage of growth / development and funding needs of the beneficiary micro unit / entrepreneur and also provide a reference point for the next phase of graduation / growth.

Genesis and Role of MUDRA

The Genesis of MUDRA

The Union Budget presented by the Hon'ble Finance Minister Shri Arun Jaitley, for FY 2015-16, announced the formation of MUDRA Bank.

Accordingly MUDRA was registered as a Company in March 2015 under the Companies Act 2013 and as a Non Banking Finance Institution with the RBI on 07 April 2015.

MUDRA was launched by the Hon'ble Prime Minister Shri Narendra Modi on 08 April 2015 at a function held at Vigyan Bhawan, New Delhi.

Micro Enterprises

Micro enterprises constitute a major economic segment in our country and provides large employment after agriculture.

This segment include micro units engaged in manufacturing, processing, trading and services sector. It provides employment to nearly 10 crore people.

Many of these units are proprietary/single ownership or Own Account enterprises and many a time referred as Non Corporate Small Business sector.

The Non-Corporate Small Business Sector

Non-Corporate Small Business Sector (NCSBS) is the economic foundation of India. It is perhaps one of the largest disaggregated business ecosystems in the world sustaining around 50 crore lives.

The sector comprises of myriad of small manufacturing units, shopkeepers, fruits/vegetable vendors, truck & taxi operators, food-service units, repair shops, machine operators, small industries, artisans, food processors, street vendors and many others.

Formal or institutional architecture has not been able to reach out to them to meet the financial requirements of this sector.

They are largely self financed or rely on personal networks or moneylenders.

Addressing this need will give a big boost to the economy otherwise this segment would remain unfunded and a portion of the productive labour force would remain unemployed.

Small business is big business. According to NSSO Survey (2013), there are 5.77 crore small business units, mostly individual proprietorship.

Most of these 'own account enterprises' (OAE) are owned by people belonging to Scheduled Caste, Scheduled Tribe or Other Backward Classes.

They get very little credit, and that too mostly from non formal lenders, or friends and relatives.

Providing access to institutional finance to such micro/small business units would turn them into strong instruments of GDP growth and also employment.

Broad Composition of Micro Enterprise Sector

Figure: Composition of 5.7 crore Own Account Enterprises

Figure: Composition of 5.7 crore Own Account Enterprises

The Non Corporate Small Business Sector (NCSBS) accounts for a large share of industrial units.

They feed large local and international value chains as well as domestic consumer markets as suppliers, manufacturers, contractors, distributors, retailers and service providers.

The gross value addition of this sector is **6.28 lakh crore annually**.

Mainstreaming these enterprises will not only help in improving the quality of life of these entrepreneurs but will also contribute substantially to job creation in the economy thereby achieving higher GDP growth.

The Micro Constraints

The major constraints faced by the myriad of the micro enterprises along the length and breadth of the country include:

- Access to Finance
- Infrastructure Gaps
- Lack of growth orientation
- Skill Development Gaps
- Policy Advocacy Needs

- Lack of Market Development / Market Making
- Knowledge Gaps
- Information Asymmetry
- Entry Level Technologies

The biggest bottleneck to the growth of entrepreneurship in the NCSBS is lack of financial support to this sector.

The support from the Banks to this sector is meagre, with less than **15% of bank credit** going to Micro, Small and Medium Enterprises (MSMEs).

A vast part of the non-corporate sector operates as unregistered enterprises.

They do not maintain proper Books of Accounts and are not formally covered under taxation areas.

Therefore, the banks find it difficult to lend to them.

Majority of this sector does not access outside sources of finance.

The MUDRA

In the above backdrop the **Micro Units Development & Refinance Agency Ltd (MUDRA)** was set up by the Government of India (GoI).

MUDRA has been initially formed as a wholly owned subsidiary of Small Industries Development Bank of India (SIDBI) with 100% capital being contributed by it.

Presently, the authorized capital of MUDRA is **₹5000 crores** and paid up capital is **₹1675.92 crore**, fully subscribed by SIDBI.

More capital is expected to enhance the functioning of MUDRA.

This Agency would be responsible for developing and refinancing all Micro-enterprises sector by supporting the finance Institutions which are in the business of lending to micro/small business entities engaged in manufacturing, trading and service activities.

MUDRA would partner with Banks, MFIs and other lending institutions at state level/regional level to provide micro finance support to the micro enterprise sector in the country.

Micro Finance is an economic development tool whose objective is to provide income generating opportunities to the people at the bottom of the pyramid.

It covers a range of services which include, in addition to the provision of credit, many other credit plus services, financial literacy and other social support services.

Roles and Responsibilities of MUDRA

MUDRA has been formed with primary objective of developing the micro enterprise sector in the country by extending various support including financial support in the form of refinance, so as to achieve the goal of **“funding the unfunded”**.

The GOI Press release of 2 March 2015 has laid down the roles and responsibilities of MUDRA.

Subsequently GOI has also decided that MUDRA will:

- Provide refinance support
- Monitor the PMMY data by managing the web portal
- Facilitate offering guarantees for loans granted under PMMY
- Take up other activities assigned to it from time to time

Accordingly MUDRA has been carrying out these functions over the last one year.

Monitoring of PMMY

Pradhan Mantri Mudra Yojana (PMMY) was launched along with the launching of MUDRA on **08 April 2015** and the detailed guidelines were issued by Government of India to all banks and MFIs.

MUDRA was given the responsibility of monitoring the programme by collecting the information on regular basis.

Accordingly, MUDRA has put in place a monitoring portal which captures the data on lending under PMMY, in a granular fashion.

Offerings of MUDRA

Micro Units Development and Refinance Agency Ltd. [MUDRA] is an NBFC supporting development of micro enterprise sector in the country.

MUDRA provides refinance support to Banks/MFIs/NBFCs for lending to micro units having loan requirement upto 20 lakh.

MUDRA provides refinance support to micro business under the Scheme of Pradhan Mantri MUDRA Yojana. The other products are for development support to the sector.

The bouquet of offerings of MUDRA is depicted below. The offerings are being targeted across the spectrum of beneficiary segments.

Pradhan Mantri MUDRA Yojana (PMMY)

Under the aegis of Pradhan Mantri Mudra Yojana (PMMY), MUDRA has created products/schemes.

The interventions have been named '**Shishu**', '**Kishore**', '**Tarun**' and '**Tarun Plus**' to signify the stage of growth/development and funding needs of the beneficiary micro unit/entrepreneur and also provide a reference point for the next phase of graduation/growth to look forward to:

- **Shishu:** covering loans upto ₹50,000/-
- **Kishore:** covering loans above ₹50,000/- and upto ₹5 lakh
- **Tarun:** covering loans above ₹5 lakh and upto ₹10 lakh
- **Tarun Plus:** covering loans above ₹10 lakh and upto ₹20 lakh

With an objective to promote entrepreneurship among the new generation aspiring youth, it is ensured that more focus is given to Shishu Category Units and then Kishore and Tarun and Tarun Plus categories.

Within the framework and overall objective of development and growth of micro enterprises sector under Shishu, Kishore, Tarun and Tarun Plus, the products being offered by MUDRA are so designed, to meet requirements of different sectors/business activities as well as business/entrepreneur segments.

The funding support from MUDRA are of two types:

- **Micro Credit Scheme (MCS):** for loans up to ₹1 lakh finance through MFIs.
- **Refinance Scheme:** for Commercial Banks/Regional Rural Banks (RRBs)/Small Finance Banks/Non Banking Financial Companies (NBFCs).

Micro Credit Scheme

Micro Credit Scheme is offered mainly through Micro Finance Institutions (MFIs), who deliver the credit up to ₹1 lakh, for various micro enterprise/small business activities.

Although the model of delivery may be through SHGs/JLGs/Individuals, the loans are given by the MFIs to individual entrepreneurs for specific income generating micro enterprise/small business activities.

Refinance Scheme for Banks/NBFCs/MFIs

Different banks like Commercial Banks, Regional Rural Banks, Small Finance Banks, Urban Co-operative Banks and NBFCs are eligible to avail refinance support from MUDRA for financing micro enterprise activities.

The refinance is available for term loan and working capital loan up to an amount of ₹20 lakh per unit.

The eligible Banks/NBFCs/MFIs, who comply with the requirements as notified, can avail refinance from MUDRA for the loans given by them for eligible MUDRA compliant activities under Shishu, Kishore, Tarun and Tarun Plus categories.

In order to encourage women entrepreneurs, the financing Banks/NBFCs/MFIs may consider extending additional facilities, including interest reduction on their loan.

Purpose of MUDRA Loan

Mudra loan is extended for a variety of purposes which result in income generation and employment creation.

The loans are extended mainly for:

- Business loan for Vendors, Traders, Shopkeepers and other Service Sector activities
- Working capital loan through MUDRA Cards
- Equipment Finance for Micro Units
- Transport Vehicle loans for commercial use only
- Loans for agri-allied non-farm income generating activities, e.g. pisciculture, bee keeping, poultry farming, etc.
- Tractors, tillers as well as two wheelers used for commercial purposes only.

Following is an illustrative list of the activities that can be covered under MUDRA loans:

1. Transport Vehicle

Purchase of transport vehicles for transportation of goods and passengers such as auto rickshaws, small goods transport vehicles, 3 wheelers, e-rickshaws, taxis, etc.

Tractors/Tractor Trolleys/Power Tillers used only for commercial purposes are also eligible for assistance under PMMY.

Two Wheelers used for commercial purposes are also eligible for coverage under PMMY.

2. Community, Social & Personal Service Activities

Salons, beauty parlours, gymnasium, boutiques, tailoring shops, dry cleaning, cycle and motorcycle repair shops, DTP and Photocopying Facilities, Medicine Shops, Courier Agents, etc.

3. Food Products Sector

Activities such as papad making, achar making, jam/jelly making, agricultural produce preservation at rural level, sweet shops, small service food stalls and day to day catering/canteen services, cold chain vehicles, cold storages, ice making units, ice cream making units, biscuit, bread and bun making, etc.

4. Textile Products Sector / Activity

Handloom, powerloom, khadi activity, chikan work, zari and zardozi work, traditional embroidery and hand work, traditional dyeing and printing, apparel design, knitting, cotton ginning, computerized embroidery, stitching and other textile non garment products such as bags, vehicle accessories, furnishing accessories, etc.

5. Business Loans for Traders and Shopkeepers

Financial support for on lending to individuals for running their shops/trading & business activities/service enterprises and non-farm income generating activities with beneficiary loan size of up to ₹10 lakh per enterprise/borrower.

6. Equipment Finance Scheme for Micro Units

Setting up micro enterprises by purchasing necessary machinery/equipments with per beneficiary loan size of upto ₹20 lakh.

7. Activities Allied to Agriculture

'Activities allied to agriculture', e.g. pisciculture, bee keeping, poultry, livestock-rearing, grading, sorting, aggregation agro industries, dairy, fishery, agri-clinics and agribusiness centres, food & agro-processing, etc. (excluding crop loans, land improvement such as canal, irrigation and wells) and services supporting these, which promote livelihood or are income generating shall be eligible for coverage under PMMY in 2016-17.

MUDRA Card

MUDRA Card is a debit card issued against the MUDRA loan account, for working capital portion of the loan.

The borrower can make use of MUDRA Card in multiple drawals and credits, so as to manage the working capital limit in cost-efficient manner and keep the interest burden minimum.

MUDRA Card also helps in digitalization of MUDRA transactions and creating credit history for the borrower.

MUDRA Card can be operated across the country for withdrawal of cash from any ATM/micro ATM and also make payment through any 'Point of Sale' machines.

Creation of Framework for "Small Business Finance Entities"

An enabling framework for support to "Small Business Finance Entities" would be created leading to formalization of the economy which is presently included in the informal sector.

Synergies with Make in India Campaign

Government of India has initiated several steps for encouraging enterprise creation in our country.

The major one is Make in India movement.

Make in India is a major national programme designed to facilitate investment, foster innovation, enhance skill development, protect intellectual property and build best in class manufacturing infrastructure.

This coupled with Start-up India and Stand-up India campaign, has created a conducive environment of enterprise creation in different scales.

MUDRA, being an initiative for promoting micro enterprises, fits well with Make in India initiative for supporting these micro enterprises.

Synergies with National Rural Livelihoods Mission / National Urban Livelihood Mission

The **National Rural Livelihoods Mission [NRLM]** is set up "To reduce poverty by enabling the poor households to access gainful self-employment and skilled wage employment opportunities, resulting in appreciable improvement in their livelihoods on a sustainable basis, through building strong grassroots institutions of the poor."

To achieve the above, **NRLM Mission** inter alia follows a demand driven strategy for continuous capacity building, imparting requisite skills and creating linkages with livelihood opportunities for the poor, including those emerging in the organized sector.

Similarly, the **Deendayal Antodaya Yojana [DAY] National Urban Livelihood Mission** is another programme which is aimed at reducing Urban poverty through creation of micro enterprises, individually and group mode.

MUDRA, being an initiative for promoting micro enterprises, would make all efforts to draw synergies between NRLM, NULM and MUDRA interventions for supporting micro enterprises and creating sustainable livelihood opportunities for the poor.

Synergies with National Skill Development Corporation

NSDC is already engaged in the process of skill development at a National scale.

Synergizing with NSDC will help MUDRA in augmenting the skill sets of the sectoral players.

The MUDRA Pricing

Access to finance is critical and equally critical is the cost of finance to the Non Corporate Small Business Sector/ultimate beneficiary.

The funds mobilized by micro units from the informal sources are at a high cost. There is scope for cost rationalization.

However, the rationalization is intricately linked with the cost of funds for the last mile MFIs.

GOI while announcing the formation of MUDRA, also announced a refinance corpus for MUDRA to be allocated by RBI from the Priority Sector lending shortfall.

Accordingly, RBI has provided the allocation which helps in bringing down the cost of lending at the ultimate borrower level as MUDRA refinance will reduce the average borrowing cost of the lending institutions.

The NBFC-MFIs/MFIs are presently regulated by Reserve Bank of India.

The sector has been constantly trying to reduce its costs and MUDRA would also help NBFC-MFIs/MFIs reduce their cost to bring down the overall cost to the end beneficiaries.

Further, at the time of appraisal, MUDRA would be studying/assessing individual MFIs on this as well as other related parameters and suitably price its assistance based on such assessment.

In the case of Banks, RBI has also put a cap on the interest rate at yield on 10 year G-Sec for lending micro units by Commercial Banks by availing of MUDRA refinance.

Similarly, the RRBs have been given an interest cap of 3.50% over and above MUDRA refinance rate, while lending a PMMY loan by availing of MUDRA refinance.

In case of NBFCs, RBI has also stipulated an interest cap of 8% over and above MUDRA refinance while their lending to MUDRA segment.

All these are expected to have a positive impact on the pricing of MUDRA loans in the country whereby the Micro enterprises will be able to avail credit at an affordable interest rate.

But, the first and foremost objective is to ensure accessibility of credit.

(Guidelines may be applicable as per latest RBI directions)

Development and Promotional Support

Besides the credit constraints, the Non Corporate Small Business (NCSBS) face many non-credit challenges, like:

- Skill Development Gaps
- Knowledge Gaps
- Information Asymmetry
- Financial/Business Literacy
- Lack of growth orientation

To address these constraints, MUDRA plans to adopt a credit-plus approach in future and offer Developmental and Support services to the target audience.

It will act as a market maker and build-up an ecosystem with capacities to deliver value in an efficient and sustainable manner.

Imparting Financial / Business Literacy

Financial/business literacy or financial education can broadly be defined as 'providing familiarity with and understanding of financial market products, especially rewards and risks, in order to make informed choices.'

Financial Inclusion and Financial/business Literacy are twin pillars.

While Financial Inclusion acts from supply side providing the financial market/services that people demand, Financial Literacy stimulates the demand side – making people aware of what they can demand.

Supporting the financial literacy drive will contribute substantially from the demand side to the national agenda of financial inclusion.

To address these constraints, MUDRA will adopt a credit-plus approach and offer Developmental and Support services to the target audience.

It will act as a market maker and build-up an ecosystem with capacities to deliver value in an efficient and sustainable manner.

This apart, the micro enterprise segment also needs business literacy which will help them in acquiring knowledge on running/managing business, keeping accounts, working out ratios, etc.

Promotion and Support of Grass Root Institutions

One of the major focus areas will be to formalize and institutionalize the last mile financiers/grass root institutions so that a new category of financial institutions viz. Small Business Finance Companies can be created and ecosystem developed for their growth.

Rural innovations at micro enterprise/unit level would also be one of the key areas for intervention and support.

Support to Micro units by way of the facility of incubators would be taken up.

This would ensure that at the most grass root levels in the country, there is climate for promotion of innovation as well as incubation of ideas from educated rural youths which would germinate in viable micro enterprises.

Working with Credit Bureaus

With the growth of responsible lending practices, Credit Bureaus (CB) have gained increasing level of acceptability in the micro finance sector.

The CB culture will help in creating credit history over a period of time which will facilitate faster credit dispensation as the system evolves.

Working with Rating Agencies

Accreditation/rating of MFI entities is one of the roles earmarked for MUDRA.

Further, a segment of financial intermediaries for the non-corporate small business sector is envisaged to emerge in the financing architecture.

MUDRA would work in coordination with Rating Agencies so that appropriate rating framework(s) which take into account sector specific features are devised for various sector participants.

In the longer run, availability of rating for sector participants would facilitate formalization and further flow of capital to the sector.

Portfolio Credit Guarantee

Traditional institutional financing in Indian context adopts an Asset Based Lending Approach with emphasis on collateral security.

Micro units, most of the times, are unable to provide the comfort of collateral.

Hence, MUDRA loans, i.e., loans up to ₹20 lakh, have been made collateral free, as per the RBI norms in this regard.

To mitigate the issue of collateral and to provide comfort to the lending institutions, a Credit Guarantee Product is extended by creation of a Fund called **Credit Guarantee Fund for Micro Units [CGFMU]**.

All eligible micro-loans sanctioned since **April 08, 2015** are covered under the above guarantee.

The Scheme is being managed by **National Credit Guarantee Trustee Company Ltd. [NCGTC]**, an agency promoted by the GOI.

The Guarantee product is one of the key interventions made with the objective of bringing down the cost of funds and facilitating ease of access to institutional credit for the end beneficiary to improve his creditworthiness.

MUDRA

Broad Eligibility Criteria for Partner Institutions

Micro Units Development & Refinance Agency Limited (MUDRA) has adopted the eligibility norms in respect of the partner lending institutions for the purpose of availing refinance from MUDRA for on-lending to micro units in manufacturing, trading and service sectors in rural and urban areas.

Every bank should have signed the General Refinance Agreement (GRA) with MUDRA (the GRA format as approved by the Board).

Refinance shall be provided for the following eligible loans upto Rs.20 lakh extended by the Bank:

Loans relating to micro/small business enterprises under income generating activities in respect of manufacturing, services, processing, trading or activities allied to agriculture/other activities (including tractors for commercial use and 2 wheelers for commercial use) identified/to be identified under PMMY scheme from time to time.

1. Urban Co-operative Banks

Eligibility Criteria

Urban Cooperative Bank should have been included in the Second Schedule of RBI Act 1934.

It should not be brought under Supervisory Action Framework of RBI in preceding 2 financial years and no monetary penalty should have been imposed in last three years.

Benchmark for Sanction for UCBs

Sr. No.	Parameters	Indicator	Benchmark Norms	Relaxation Cap
1	Capital	CRAR in last 2 years	11.5%	No
2	Net Worth	Net Worth (Preceding Audited FY)	₹100 crores	No
3	Asset Quality	Gross NPA	<7%	No
		Net NPA	Not more than 3%	No
4	Earning Profitability	Earned net profit in at least 3 out of the last 4 years. In case of a net loss in any of the years, the UCB should have registered an operating profit.	—	No

2. Public Sector Banks / Private Sector / Foreign Banks

Eligible limit shall be exposure limit approved on the basis of exposure framework for Banks.

In addition, SFBs should have been granted final license by Reserve Bank of India (RBI) for carrying on business as Small Finance Bank and have commenced operations as a SFB.

The SFB/previous entity prior to conversion into SFB (taken together) should have earned profits during last 2 financial years.

3. Regional Rural Banks

Parameter	Requirement
Level of NPA	Level of Net NPAs equal to or less than 10%.
Net Profit	Net profit for preceding 2 years.
CRAR	CRAR as stipulated by RBI.

Parameter	Requirement
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Net-worth / NOF	Net worth above ₹50 crore.
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Regional Rural Banks (RRBs), not complying with above conditions, shall be eligible for refinance from MUDRA subject to providing comfort letter from Sponsor Bank who will undertake to meet any liability of RRB that may arise on account of refinance assistance provided by MUDRA.

4. Small Finance Banks

Norms for Financial Assistance by way of Refinance to Small Finance Banks

A. Eligible Institutions

Small Finance Banks [hereinafter referred to as “SFBs” or “Primary Lending Institutions”] meeting the following criteria:

1. Should have been granted final license by Reserve Bank of India (RBI) for carrying on Small Finance Bank business and have commenced operations of the Small Finance Bank.
2. The SFB/previous entity prior to conversion into SFB (taken together) should have earned profits during past 2 years.

Sanctioning committee may consider need based relaxation in respect of SFBs which have reported Net Loss during the previous and/or current FY on merits of each case, provided they have a minimum BBB+ rating of long-term instrument.

B. Benchmarks for Sanction

Eligible limit shall be exposure limit approved on the basis of exposure framework for Banks.

C. Eligible Activities

Refinance shall be provided for the following eligible loans extended by the SFBs:

Loans relating to micro/small business enterprises under income generating activities in respect of manufacturing, services, processing, trading or activities allied to agriculture/other activities identified/to be identified under PMMY scheme from time to time.

D. Extent of Refinance

1. Amount equivalent to the outstanding portfolio of loans and advances (i.e., term loans and working capital advances) for eligible activities, against which no financial support/refinance has been sought/availed from any other Banks/Financial Institutions.
2. For MUDRA Refinance Fund – Allocations – FY XX, SFBs to comply conditions:
 - a. The loans eligible for refinance shall be the outstanding amount of loans disbursed by banks during the previous 12 months as on the date of request for refinance.

b. MUDRA may provide refinance to bank loans where loans disbursed in credit deficient districts by banks, where the final lending rate to the end borrower is up to 450 bps over the '10-year G Sec yield'.

c. MUDRA shall refinance in eligible credit deficient districts as per list issued by Reserve Bank from time to time.

d. All Banks are eligible to avail Refinance for credit disbursed in credit deficient districts.

e. Banks who have achieved PSL target for lending to Micro-enterprises are only allowed to avail refinance from MUDRA in case of credit extended in districts other than credit deficient districts as mentioned above. The list of banks (SCBs/SFBs) which have achieved their PSL target of micro enterprises in FY 2019-20 shall be issued by RBI.

f. The loans eligible for refinance in districts other than credit deficient districts will be those for which the final lending rate to the end borrower is up to 350 bps over the '10-year G Sec yield'.

3. The SFB shall submit a Certificate authenticating the list of borrowers/statement of book debts along with the end-use/purpose of loan, amount outstanding and age-wise break-up of overdues at the time of acceptance of Lol, before seeking disbursement.

E. Period of Refinance

Not exceeding three years from the date of disbursement, with moratorium period of not exceeding 36 months.

The repayment schedule may be fixed on case-to-case basis subject to maximum tenure of three years linked to maturity of the PSS Tranche.

The repayments may be monthly/quarterly/half-yearly/yearly/Bullet.

Interest will be serviced on the first day of every month.

F. Prepayment of Refinance

The SFB shall not prepay the outstanding principal amount of refinance in full or part thereof before the due dates except after obtaining prior approval of MUDRA in writing which may be granted subject to such conditions as MUDRA may deem fit including levy of interest on such prepayment, if required.

G. Rate of Interest

PSS Fund – pricing to be decided based on the availability of tranche at the time of disbursement and as per RBI guidelines.

H. Processing Fee

As per internal guidelines.

I. Security

The SFB shall hold in trust all the securities including fixed assets, proceeds thereof, book debts, receivables, actionable claims, assignments, bills of exchange etc., obtained/to be

obtained as security in respect of financial assistance made available to micro/small business enterprises, as above, by the SFBs for which the refinance support has been extended by MUDRA.

I (ii). Collateral

Scheduled SFBs – Not applicable.

J. Processing Fees and Maximum Default Charges

The SFBs shall charge the processing fees and max default charges as given below to the ultimate beneficiaries:

1. Whose book debts are/will be hypothecated to MUDRA; and
2. Refinance by MUDRA is covered under Priority Sector Shortfall funds.

Type of Fees / Charges

SFBs Maximum

Maximum processing fee % (*) 2%

Upon Default, Maximum charges % (*) 3% p.m. on the overdue amount

* excluding taxes

5. NBFC-MFI / MFI

Sr. No.	Eligibility / Other Parameter	Small (AUM <= ₹100 Cr.)	Medium (AUM >₹100 Cr. and <=₹500 Cr.)	Large (AUM >₹500 Cr.)
a.	Entity type	Registered Legal Entity (NBFC-MFI, Society, Trust etc.)	Registered Legal Entity (NBFC-MFI, Society, Trust etc.)	Registered Legal Entity (NBFC-MFI, Society, Trust etc.)

To meet the parameters stipulated by RBI from time to time for being qualified as NBFC-MFI.

b. 1. Profitable Track Record

In last 5 years, any three years should have profitable track record with cash profit in last 2 financial years.

2. Business Vintage

i. Three completed years in Micro Finance business.

ii. In order to consider proposals from such MFIs, which are promoted by experienced and resourceful professionals and/or are being backed by established PE funds, a pilot, with an exposure of ₹100 crore, shall be implemented, where MFIs, with two completed years in Micro Finance business, can be considered.

The MFI should have operations in aspirational districts/LWE/North east region, with a max single party exposure of ₹5 crore.

c. Takeover of Existing Microfinance

In case of NBFC-MFIs or any other MFI set up by taking over the existing MF operations of another entity, then, track record of the earlier entity can be considered for existence, past ratings etc.

d. NOF

Presently, Minimum Net Owned Funds (NOF) of ₹5 crore.

For NBFC-MFIs registered in North Eastern Region of the country, the minimum NOF requirement shall stand at ₹2 crore, for both categories, as defined by RBI time to time.

NBFCs	Current NOF	By March 31, 2025	By March 31, 2027
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NBFC-MFI ₹5 Cr. (₹2 Cr. in NE region)	₹7 Cr. (₹5 Cr. in NE region)	₹10 Cr.
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e. Number of Existing Borrowers

- Small: Minimum 10,000
- Medium: Minimum 30,000
- Large: Minimum 1,00,000

f. Capacity Assessment Rating

- Small: Minimum Capacity Assessment Grading of mfr5 of CRISIL or equivalent.
- Medium/Large: Minimum Capacity Assessment Grading of mfr4 of CRISIL or equivalent.

g. Internal Rating Norms

- Aggregate score of 45% in the Score Card for MFIs.
- Score of 60% in 7 MFI specific parameters, i.e. Asset quality, Gearing, NIM, RoA, Liability concentration, equity infusion and optimal/diversified mix of resources.

h. Grading for Exposure Above ₹25 Crore

MFI should have undergone at least 3 grading with eligible investment grades as per MUDRA's/SIDBI's guidelines at that time with the latest grade of at least MfR3.

i. Bank Loan Rating

Should have Bank Loan Rating (BLR) with minimum acceptable investment rating in which the proposed lending from MUDRA shall be duly mentioned as part of current borrowings rated under the Rating.

(BLR is applicable only to exposures above ₹5 crore.)

j. Systems and Processes

Should have suitable systems, processes and procedures such as internal accounting, risk management, internal audit, MIS, cash management, etc.

k. CRAR

NBFC-MFIs – As stipulated by RBI from time to time, currently 15%.

Other MFIs – 15%.

l. Compliance to RBI Guidelines

To comply with the guidelines issued by RBI from time to time.

m. Recovery Performance / Collection Efficiency

Average recovery performance/Collection Efficiency not less than **95% for last 6 months**.

n. Portfolio at Risk (PAR) > 90 Days (Net)

Portfolio at Risk > 90 days (net) below **5%**.

PAR is considered for last six months.

o. Member of Credit Bureaus

Should be member of existing credit bureaus as notified by RBI from time to time.

p. Minimum Loan Requirement

₹0.50 Cr.

q. Uploading of Data on MUDRA's Online Portal

Should be uploading the data on Performance and also NPA status on MUDRA's Online Portal/agreed to upload the data at regular intervals.

r. Debt Equity Ratio

- **7:1 for NBFC MFIs**
- **10:1 for non-NBFC MFIs**

6. NBFC

SI No.	Parameters	Asset Size >= ₹500 crore	Asset Size < ₹500 crore
1	Type of NBFC	NBFC-Asset Finance Companies (AFC)/NBFC-Loan Companies (LC) i.e. Investment & Credit Companies as per extant guidelines from RBI.	NBFC-Asset Finance Companies (AFC)/NBFC-Loan Companies (LC) i.e. Investment & Credit Companies as per extant guidelines from RBI.

- Two Tier NBFCs extending loan/resource support to MFIs (both NBFC-MFIs and non-NBFC MFIs complying with RBI norms for NBFC-MFIs or priority sector status) for on lending to ultimate borrowers would also be considered.
- This category of NBFCs are eligible for assistance from Net owned funds only.
- The NBFC should be registered with RBI as Asset Finance Company (AFC) or Loan Company (LC), rechristened as Investment & Credit Company.

2. Track Record

- NBFCs should be in current line of business (including those financing second hand vehicles) for 5 years and should have earned profit in any 3 years out of 5 years with cash profit in last 2 financial years.
- In case of Fintech NBFCs, they should have at least two audited annual reports.

3. Net Owned Funds and Asset Size

For Asset Size $\geq$ ₹500 crore:

- Minimum Net owned fund of ₹20 crore
- Minimum Asset size of ₹500 crore

For Asset Size $<$ ₹500 crore:

- Minimum Net owned funds of ₹15 crore
- Minimum Asset size of ₹25 crore
- The NBFC normally has done lending business of at least ₹20 crore during the immediately preceding financial year.
- Suitable relaxation may be considered by sanctioning Committee for minimum lending business criteria.

4. External Rating Norms

For Asset Size $\geq$ ₹500 crore:

- External long term rating range of BBB+ and above.
- Need based relaxation up to BBB- may be considered by sanctioning Committee for NBFCs with asset size greater than ₹500 crore.

For Asset Size $<$ ₹500 crore:

- External long term rating range of BB- and above.

In case the NBFC does not have the minimum eligible rating and the NBFC is agreeable to furnish a Guarantee of another NBFC/Corporate having an external rating of AA and above, relaxation in such cases may be considered by Sanctioning Committee.

External rating to be monitored on quarterly basis.

5. Internal Rating Norm

- (i) 60% in the Score Card; and
- (ii) 50% in the score card for two tier NBFCs.

6. CRAR

CRAR – Minimum of **15%** or as stipulated by RBI.

7. DER

<= 7:1 (excluding off-balance sheet portfolio)

8. Exposure Norm

As per internal guidelines.

9. NPA Norm

The NPA norms would be taken care of while considering other parameters as below:

- Prudential rating: As applicable
- Internal Scoring: As Applicable
- No go criteria of rating score card: All No-go criteria of score card to be complied with.

No relaxation in above criteria.

For PSS Funds – Additional Eligibility Parameters for BBB (+) & BBB Rated NBFCs

SI No.	Parameters	Particulars
1	Track record	NBFCs should be in current line of business (including those financing second hand vehicles) for 5 years and should have earned profit in last 3 years with net profit in last 2 financial years.
		In case of Fintech NBFCs, they should have at least two audited annual reports.
2	Asset size	Minimum Asset size of ₹500 crore & above.
3	External Rating	Should be external rating of BBB(+) and BBB

PRADHAN MANTRI FASAL BIMA YOJANA (PMFBY)

Crop Insurance is an integrated IT solution and a web-based ecosystem to speed up service delivery, unify fragmented databases, achieve a single view of data, and eliminate manual processes. Crop Insurance provides insurance services to farmers faster than before.

The Government is endeavouring for the integration of all the stakeholders viz. farmers, insurance companies, financial institutions & Government agencies on single IT platform. This will ensure better administration, coordination & transparency for getting real time information and monitoring.

This is a stable, secure and seamlessly integrated ecosystem created with a comprehensive view of data in a secure environment thereby enabling information access to multiple stakeholders viz. Farmers, Govt. Functionaries, Insurance Companies, Intermediaries, Bankers and social & community bodies.

Crop Insurance portal has enabled the digitization of notification of areas, crops, schemes for enabling information access to multiple stakeholders thereby facilitating ease of access to the farmers in availing crop insurance services. This automated solution has opened a window of opportunity to remote and economically-weak farmers to benefit from crop insurance services.

Yes. I'll keep the **PMFBY content exactly as provided**, without summarizing or adding outside information. I'll only clean the OCR formatting, page numbers, repeated website headers/footers, and arrange the headings/tables properly.

PRADHAN MANTRI FASAL BIMA YOJANA (PMFBY)

Pradhan Mantri Fasal Bima Yojana (PMFBY) was launched from Kharif 2016 with aim to support production in agriculture by providing an affordable crop insurance product to ensure comprehensive risk cover for crops of farmers against all non-preventable natural risks from pre-sowing to post-harvest stage.

The Scheme has completed 16 crop seasons and is being implemented across States/Union Territories (UTs).

After the commencement of the Scheme, The Ministry of Agriculture and Farmers Welfare (MoA&FW), Government of India (GoI) has endeavored to make the Scheme more effective, transparent and auto-administration driven with the intention to minimize manual interventions and eliminate usage of variable methodologies for implementation and execution on the ground.

This was facilitated by a detailed set of Operational Guidelines (OGs) and by leveraging efficient and cutting-edge technological solutions.

Based on the past experiences of implementing the scheme (between 2016-2020), study reports of various research institutions and feedback received from stakeholders, the scheme

was reviewed, and the revised OGs were brought into effect from 01st October 2018 addressing major challenges.

Also, the Revamped Operational Guidelines effective from Kharif 2020, addressed the issues related to long-term tendering, optional coverage to all farmers, increase in the scope of risk cover and the addition of add-on covers.

During the implementation of the scheme between 2020 & 2022, many representations have come from State Governments/UT Administrations for flexibility in terms of implementation of the scheme as per State/UT specific cropping practices and options for alternate risk management models to manage the risk protection to farmers within given budgetary provisions.

Accordingly, Department of Agriculture & Farmers Welfare (DA&FW), Gol initiated multiple stakeholder consultations with State Governments/UT Administrations, Farmers Organizations, Insurance Companies (ICs), Re-Insurance Companies, Financial Institutions, Research and Technical Organizations and the Ministries & Departments of the Gol and also constituted working groups for gap analysis and identification of alternate models for Risk Management and Infusion of Technology to address the demands of the State/UTs and also to address key challenges associated with implementation of the scheme.

In this new iteration of the Operational Guidelines of PMFBY, an effort has been made to provide more flexibility to the State/UTs in terms of implementation of the scheme, to inculcate financial discipline amongst the stakeholders and to infuse technological interventions within the scheme framework, so as to bring transparency, objectivity and minimize the potential hazards & disputes.

These operational Guidelines shall be effective from Kharif 2023 onwards and shall be overriding any provisions or clauses of Tender Document or Contract or Notification of the State Govts./UTs or conditions or processes which are not in conformity to these guidelines.

Any dispute or grievance of any stakeholder related to implementation of the scheme shall be addressed as per the provisions of these guidelines only.

Accordingly, the Operational Guidelines 2023 have been updated and approved for ready reference and adoption by all the stakeholders for effective implementation of the PMFBY.

All the powers of Gol shall be exercised by the Department/Ministry designated to execute/implement crop insurance schemes in the country, which in this case shall be the Department of Agriculture and Farmers Welfare (DA&FW), Ministry of Agriculture and Farmers Welfare (MoA&FW), Government of India (Gol) and hereafter, the same shall be referred to as 'Gol' in this document.

1. Objective of the Scheme

PMFBY aims at supporting sustainable production in agriculture sector by way of:

- Providing financial support to farmers suffering crop loss/damage arising out of unforeseen events.
 - Stabilizing the income of farmers to ensure their continuance in farming.
 - Encouraging farmers to adopt innovative and modern agricultural practices.
 - Ensuring credit worthiness of the farmers, crop diversification and enhancing growth and competitiveness of agriculture sector besides protecting the farmers from production risks.
 - Promoting innovation & research of insurance and allied products so as-to offer expanded choice to the farmers and the State Governments/UT Administrations.
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2. Adoption of Technology for Scheme Administration

2.1 Digital Technology

In an endeavor to integrate Technology in implementation and execution of the Scheme, GoI has designed and developed a National Crop Insurance Portal (NCIP) (www.pmfby.gov.in) which has been in use since Kharif 2018.

This has brought in for better administration and coordination amongst stakeholders viz. Farmers, States, Insurers, insurance intermediaries and Banks as well as ensure real-time dissemination of information and transparency in implementation.

Continued & efficient functioning of the Portal successfully calls for responsible participation by different stakeholders who will have the responsibility for census coding and regular updating of revenue/administrative units, AWS code mapping and requisite information/details as per the login credential module.

Implementing State/UTs and Insurance Companies during each crop season are required to digitize and upload basic information like notified areas, crops, sum insured, Government subsidy and premium to be paid by farmers and name of the implementing Insurance Company in the particular insurance unit etc., on the portal well within the prescribed timeline.

This will facilitate farmers and other stakeholders to get the relevant information on the Internet and through SMS for the concerned season.

State/UT Government and concerned Insurance Company will be responsible for any incorrect entry/errors/omissions etc. during digitization.

Digitization of basic information/notification should compulsorily be done before floating tender documents which will be followed by the entry of L1 Premium rates and name of the selected Insurance Company immediately after finalization of bids and issuance of work order.

Since the NCIP has been operationalized for auto administration and seamless flow of data/information/reports on real-time basis, the State/UT Government would not be allowed to create/use a separate Portal/website for Crop Insurance purposes.

State of Karnataka which is already running its own portal will have to integrate with NCIP.

All Stakeholders have defined roles and responsibilities and accessibility to related modules on the Portal for the administration of the Scheme.

Details of the operationalization of modules for each stakeholder are available on the Portal.

Secured credential/login, preferably linked with Aadhaar Number and mobile One Time Password (OTP) based, for all Stakeholders viz. GoI, State Governments/UT Administrations, Banks, empaneled Insurance Companies and their designated field functionaries, Insurance Intermediaries etc. will be provided on the Portal to enable them to enter/upload/download the requisite information.

The Insurance Companies shall not distribute/collect/allow any other proforma/utility/web-Portal etc. for collecting details of insured farmers separately.

However, they may provide all requisite support to facilitate Bank Branches/Primary Agriculture Credit Societies (PACS)/Common Service Centers (CSCs)/Banking Correspondents (BCs) for uploading the farmers' details on the Portal well within the prescribed cut-off dates.

Only those farmers whose data is uploaded on the NCIP, and their share of premium has been remitted to the concerned Insurance Company within the prescribed time limit, shall be eligible for Insurance coverage.

The premium subsidy from the State/UT and the GoI shall be released accordingly as per the timelines and modalities defined in the Operational Guidelines.

All data pertaining to crop-wise, Insurance Unit (IU) wise historical yield data, Notional value of average yield/Scale of Finance (SOF), Sown Area, Coverage and Claims data, Threshold Yield (TY) and Actual Yield (AY) shall be made available/uploaded by the State/UT Government on the NCIP for the purpose of premium rating, claim calculation, etc.

For the calculation of admissible claims for RWBCIS, requisite information like weather data, detailed term sheet with triggers and exit values and notional sum insured etc. will be uploaded on the NCIP by the concerned State/UT Government.

The data uploaded on the NCIP shall be the only single source of truth and mandatorily shall be provided to the Insurance Companies along with Bid Document for Burn Cost calculation and Risk Pricing.

No other source of data shall be used for Risk Pricing for Bidding in the tenders other than the data uploaded and approved by State/UTs on the NCIP.

In case this clause is not adhered to, the Government of India share of subsidy shall not be released for the concerned State/UT.

The Banks/Financial Institutions (FIs)/other intermediaries need to compulsorily transfer the individual farmer's data electronically to the NCIP.

Accordingly, banks/FIs may endeavor to undertake Core Banking Solution (CBS) integration in a time bound manner for real-time transfer of information/data.

The NCIP having details of insured farmers under PMFBY shall be dovetailed with Kisan Rin Portal (KRP), having details of all the farmers availing subsidized short term agriculture loans through Kisan Credit Card under Modified Interest Subvention Scheme (MISS) of the GoI & PM KISAN database having pre-identified farmers receiving benefits under PM Kisan Samman Nidhi scheme of GoI.

The data/information of both the Schemes shall be auto synchronized to enable real-time sharing of information and better program monitoring.

With a view to keep pace with the massive innovations happening for making agriculture financially resilient and to achieve the objective of meeting Sustainable Development Goals, the scheme envisages to foster the innovation and development of effective technology solutions under PMFBY ecosystem to make the scheme more effective and farmers more resilient & protected.

Implementing Insurance Companies may contribute funds in order to promote innovation and research & collaborate with the technical institutions, start-ups/Fin-tech/Insure-tech & Agri-tech entities of the country & across the globe.

The potential technologies solutions shall be first evaluated and recommended by GoI for pilot-rollout.

The pilots shall be carried out by the implementing Insurance Companies collectively and/or individually for strengthening the technology models and solutions for PMFBY.

Further, the GoI shall review and examine the results of such pilots/research for final adoption within scheme ecosystem.

2.2 Remote Sensing & Other Technologies

The Insurance Companies & States/UTs shall compulsorily use innovative technology & mobile applications for monitoring of crop health through CROPIC App, reporting of crop damage through Crop Loss Assessment App and Crop Cutting Experiments (CCEs) through CCE Agri App etc., in coordination with the concerned State/UTs.

State/UTs shall also facilitate Insurance Companies with Satellite Imagery wherever required and facilitate usage of drones as per the SOP issued by the Ministry of Civil Aviation, GoI.

Such data and information may further be sourced and utilized for further analysis under the purview of PMFBY.

Insurance Companies can also use the services of the Government or technical agencies empaneled by the GoI or its authorized agency or committee for conducting relevant studies & validation for better monitoring and ground-truth.

Insurance Companies should play an active role of being partners in facilitating and promotion of use of technology and other innovations in the scheme implementation.

The Department of the State/UT Government responsible for managing the digital land record and its web-portal will facilitate the integration of land record with NCIP and provide Application Programming Interface (API), free of cost, for smooth access to the land records of the concerned farmer for validation on NCIP.

Suitable technology & modalities shall also be explored and adopted for using Smart Sampling Technique (SST) for conducting CCEs required for arriving at proportionate Crop Yield Estimation along with direct yield estimation using different technology models as prescribed in YES-TECH Manual 2023.

Yield Estimation System based on Technology (YES-TECH) for direct estimation of yield at Gram Panchayat (GP) level has been rolled out from Kharif 2023 season onwards as per the provisions of YES-TECH Manual 2023, as amended from time to time.

YES-TECH shall be further augmented through Collection of Real-time Photos and Observations of Crops (CROPIC) initiative, wherein crop health will be monitored by taking periodic photos of standing or peril-affected crop at pre-determined interval of its growth with GPS coordinates, three to five times during the season for assessing the crop condition at different stages of the crop life cycle.

A national level network of Automatic Weather Stations (AWS) & Automatic Rain Gauges (ARG) shall also be established under the Weather Information Network Data System (WINDS) initiative as per the provisions of the WINDS Manual 2023, as amended from time to time, creating a strong and resilient platform for generation of long-term hyper-local weather data information for Crop insurance, agriculture advisory and disaster risk resilience needs of different sectors.

State/UTs shall adopt use of technology, such as satellite imagery, drones, Unmanned Aerial Vehicle (UAV) and remote sensing for various applications such as crop area estimation, yield disputes resolution and promote innovation and use of technology solutions such as remote sensing and other related technology solutions and mobile applications for CCE planning, yield estimation, loss assessment, assessment of prevented sowing and clustering of districts etc.

3. Coverage of Farmers

All farmers including sharecroppers and tenant farmers growing the notified crops in the notified areas are eligible for coverage.

However, farmers should have insurable interest on the insured crops and lands.

Such farmers are required to submit necessary documentary evidence of land records prevailing in the State (Records of Right (RoR), Land Possession Certificate (LPC) etc.) and/or applicable contract/agreement details/other documents notified/permitted by concerned State Governments/UT Administrations pertaining to sharecroppers/tenant farmers and the same should be defined by the respective States/UTs in the notification itself.

Tribal farmers and forest dwellers having cultivation in forest land under FRA are also allowed to be insured under the scheme.

The farmers cultivating community owned land especially as is practiced in NER states are also allowed to be covered under the scheme with certification from village head or revenue authorities.

All such farmers are also required to essentially submit Aadhaar Number and declaration about the crop sown/crops intended to be sown.

Farmers availing the Kisan Credit Card (KCC)/Crop Loan/Loanee Farmers

The scheme is optional for all farmers including farmers who have been sanctioned short-term Seasonal Agricultural Operations (SAO) loans through Kisan Credit Card (KCC) for the notified crops from defined Financial Institutions (hereinafter referred to as Loanee farmers).

Existing Loanee farmers who do not want to get covered under the scheme have the option of opting-out from the Schemes by submitting requisite declaration to loan sanctioning bank branches any time during the year but at least seven days prior to the cut-off date for enrolment of farmers for the respective season.

All those farmers who do not submit the declaration would be essentially covered.

Farmer whose KCC loan has become sub-standard as defined and as per prevailing practices of the concerned Banks and/or Government regulator shall not be considered as a Loanee farmer.

However, bank branches may facilitate such farmers for enrolment as non-loanee farmers.

Merely, sanctioning of crop loan against other collateral securities including fixed deposits, gold/jewel loans, mortgage loans etc. without having insurable interest of the farmer on the insurable land and notified crops shall not be eligible for coverage under the Scheme.

Other Farmers / Non-loanee Farmers

As mentioned in Para 3.1.1.1 above, the Scheme is optional for all farmers including non-loanee farmers/other farmers.

The insurance coverage will strictly be equivalent to the sum insured per hectare, as defined in the Government notification or/and on NCIP multiplied by proposed insured-area for notified crop for enrolment.

Special efforts shall be made to ensure maximum coverage of Scheduled Caste (SC)/Scheduled Tribe (ST)/Women farmers under the Scheme.

Further Panchayat Raj Institutions (PRIs) may be involved in the extension activities and awareness creation among farmers and obtaining feedback from farmers about the implementation of the Scheme.

The implementing Insurance Company selected as lowest rate bidder (L1) will be responsible for taking necessary measures to ensure at least 10% incremental increase in coverage of non-loanee farmers in the allocated district.

However, other empaneled Insurance Companies which have participated in the bidding process and are keen for enrolment of non-loanee farmers in the cluster may also be allowed to enroll non-loanee farmers at L1 premium rate using their respective network of intermediaries and manpower using digital platform of App for Intermediary Enrollment (AIDE) and NCIP.

The interested companies must inform their willingness in writing within 7 days of the finalization of tender/issuance of work order to L1.

It will however be the responsibility of all the Insurance Company engaged in this process to ensure that duplicate enrolment does not happen in the given cluster/district and therefore shall mandatorily use AIDE App for the purpose.

Engaging companies other than L1 for enrolling non-loanee farmers is allowed for all Districts notified and allocated by the State Governments/UT Administrations.

The enrolment of non-loanee farmers shall be as per the conditions laid down in Para 17.7.

These Insurance Companies shall use digital means such as AIDE App for enrollment of farmers and complete the process as per the seasonality discipline detailed in Para 16.4.

The same Insurance Company which has enrolled the farmers shall be liable for the payment of claims to such farmers basis the localized crop damage assessment conducted by the L1 Insurance Company or crop damage report and crop yield data given by the concerned State Govt.

The exchange of information and co-witnessing of CCEs for the district by the Government/NCIP will be limited to L1 Company only and it will be binding on other companies to accept the yield data.

The Nodal Department of State Governments/UT Administrations shall share the yield data with all concerned Insurance Companies for the computation of claims in the relevant IUs where they have enrolled non-loanee farmers.

Requisition for payment of Government subsidy in respect of non-loanee farmers enrolled by the other Insurance Companies shall be submitted directly through NCIP to the Central Nodal Agency designated by GoI for the purpose.

Claim calculation for the applications and IUs shall be done simultaneously on NCIP based on the relevant crop-wise, IU-wise crop damage and yield data, weather data etc. entered/shared by the respective State Governments/UT Administrations.

A detailed SOP/Manual and modalities of the enrollment of non-loanee farmers at L1 premium rate by other unsuccessful bidders shall be notified by the GoI separately.

4. Universal Coverage

The States/UTs shall make all efforts for providing insurance protection to all the farmers including tenant farmers, sharecroppers as well as loanee or non-loanee farmers in their respective State/UT.

To achieve this Universal Coverage under PMFBY, States/UTs may adopt following approaches:

Full Universalization

Complete farmer database would be fetched on the NCIP through the pre-validated, Land Parcel, Crop & Farmers KYC database of the concerned State/UT.

Enrolment through any other channels will not be required under full universal coverage.

The States may consider for opting full universalization in the interest of the farmers with following pre-requisites:

- Digitized Land Records
- Farm level Season-wise Crop Data
- Farm Level KYC validated Farmer's Database
- Data collection as per PMFBY Requirements
- API based Data Exchange with NCIP

Preferential Universalization

The States/UTs can incentivize the enrolment of farmers under the scheme by subsidizing the farmer's premium partially or completely.

State/UT may decide to deduct a token amount from the farmer's account during enrolment.

Farmers will be enrolled through the traditional enrolment channels under the scheme.

Coverage of Crops

I. Food crops (Cereals, Millets and Pulses).

II. Oilseeds.

III. Annual Commercial / Annual Horticultural crops.

IV. In addition, pilots for coverage can be taken up for those perennial horticultural/commercial crops for which standard methodology for yield estimation or correlation between weather condition and yield/output is available.

V. Other crops including plantations crops may also be included in the scope of scheme subject to approval of respective ministries of Govt. of India.

A separate communication shall be issued by the GoI as and when such inclusions are required and approved.

5. Coverage of Risks and Exclusions

5.1 Basic Cover

The basic cover under the scheme covers the risk of yield loss to standing crops (sowing to harvesting).

This comprehensive risk insurance is provided to cover yield losses on an area-based approach basis, against non-preventable risks like:

- Drought
- Dry spells
- Flood
- Inundation
- Wide-spread pest and disease attack
- Landslides
- Natural fire due to lightening
- Storm
- Hailstorm
- Cyclone

5.2 Add-On Coverage

Apart from the mandatory basic cover, the State Governments/UT Administrations, in consultation with the State Level Coordination Committee on Crop Insurance (SLCCCI) may choose any or all of the following add-on covers, based on the need of the specific crop/area in their State/UT to cover the following stages of the crop and risks leading to crop loss.

Prevented Sowing/Planting/Germination Risk

Insured area is prevented from sowing/planting/germination due to deficit rainfall or adverse seasonal/climatic conditions.

Mid-Season Adversity

Loss in case of adverse seasonal conditions during the crop season viz. floods, prolonged dry spells and severe drought etc., wherein expected yield during the season is likely to be less than 50% of the normal yield.

This add-on feature facilitates the provision for immediate relief (On-Account payment) to insured farmers in case of occurrence of such risks.

Post-Harvest Losses

Coverage is available only up to a maximum period of two weeks from harvesting, for those crops which are required to be dried in cut and spread/small, bundled condition depending on requirement of the crops in that area and left in the field after harvesting, against specific perils of hailstorm, cyclone, cyclonic rains and unseasonal rains.

Localized Calamities

Loss/damage to notified insured crops resulting from occurrence of identified localized risks of hailstorm, landslide, inundation, cloud burst and natural fire due to lightening affecting isolated farms in the notified area.

Add-On Coverage for Crop Loss Due to Attack by Wild Animals

The States/UTs may consider providing add-on coverage for crop loss due to the attack by wild animals wherever the risk is perceived to be substantial and is identifiable.

The detailed protocol and procedure for evaluation of the bids has been prepared by the GoI in consultation with the Ministry of Environment, Forest & Climate Change (MOEF&CC) and General Insurance Corporation of India (GIC Re).

The add-on coverage will be optional for the farmers and applicable premium, in full, shall be borne by the farmer, however, the State Governments/UT Administrations may consider providing additional subsidy on this coverage, wherever notified.

The Central Govt. subsidy on premium shall not be available for this add-on cover.

The actuarial premium rates for this add-on cover should be sought in the bid itself from the Insurance Companies, however the add-on actuarial premium rate will be considered separately and shall not form part of evaluation of L1.

Detailed modalities are annexed as Annexure-I for adoption by States/UTs.

States/UTs have to notify crop-wise specific period/duration for coverage of aforesaid add-on risks in their notification as detailed in Para 7.2 of this guideline and the same will also be uploaded on NCIP.

General Exclusions

Losses arising out of war and nuclear risks, malicious damage and other preventable risks shall be excluded.

Loss/damage for localized calamities and post-harvest losses will be assessed at the level of the individual insured farm and hence intimation of loss by the farmer/designated agencies or nodal departments is essential.

For remaining risks i.e. losses due to wide-spread calamities, lodging of intimation for claims by insured farmers/designated agencies or nodal departments for such wide-spread calamities is not essential.

Claims of wide-spread calamity shall be calculated based on the loss assessment report submitted by the District Level Joint Committee (DLJC) and/or actual yield submitted by concerned State Governments/UT Administrations.

Details of indemnification and claims calculation for aforesaid risk covers are provided in Para 21.

Risk Management Mechanisms under the Scheme

The Scheme shall operate mainly on complete ‘risk transfer’ approach wherein complete risk is transferred to implementing Insurance Companies.

This will involve bearing of the entire claim liability by the insurance company for the discovered premium.

However, if the State Governments/UT Administrations strongly believe that they need to partake in some of the elements of the risk, they may explore opting for ‘risk participation’ approach.

This shall entail adoption of alternate models by the States wherein the claims as well as premium surplus is shared between the Government and the implementing insurance company as per the pre-agreed formula.

The States may choose to implement any of the following models:

1. Profit & loss sharing model.
2. Cup & Cap model (60:130)
3. Cup & Cap model (80:110)

Any pilot for a model other than those listed above can be taken up in one State at a time with the approval of Union Agriculture Minister and Union Finance Minister.

“Profit & Loss” Sharing Mechanism

Risk Sharing

- Insurance Company – up to loss ratios of 100%
- Insurance Company & Government (GoI and State Govt.) – Risk sharing beyond 100% as per proposed structure

Surplus Sharing

Loss ratio between 0%-100%, Insurance Company & Government (GoI and State Govt.) get surplus as per the sharing structure given below.

Layers of Profit/Loss % Retention by Insurer Return to States Sharing

0% - 50%	15%	85%	Profit (Ploughed back)
50% - 65%	60%	40%	Profit (Ploughed back)
65% - 100%	95%	5%	Profit (Ploughed back)
100% - 130%	95%	5%	Loss (Shared)
130% - 220%	60%	40%	Loss (Shared)

Layers of Profit/Loss % Retention by Insurer Return to States Sharing

220% - 350%	15%	85%	Loss (Shared)
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Conditions

I. Liabilities

- a. Gol subsidy sharing will be based on L1 quoted Actuarial Premium Rates (APR).
- b. Gol will participate equally with State/UT Government in any claim liability as per the structure (as above).
- c. Sharing of claim liabilities between Insurance Company and Government (Gol and State/UT) will be done at cluster & season level or at the level of determination of L1 bidder & season level.

II. Surplus Sharing

- a. Gol will share surplus (if any) equally with State Governments/UT Administrations as per the structure (as above).
- b. Surplus sharing between Insurance Company and Government (Gol and State/UT) will be done at cluster & season level or at the level of determination of L1 bidder & season level.
- c. Any surplus will be shared equally between the Gol and State Governments/UT Administrations. Further it shall be deposited back into consolidated fund of Gol or State/UT respectively.

Profit Sharing @ Loss Ratio of 0%

Profit = 100% - LR = 100%

Insurer Profit = (layer (0% - 50%) = 50%) (15% share of Profit) + layer (65% - 50% = 15%) * (60% share of Profit) + Layer (100% - 65% = 35%) (95% share of Profit)

= 7.5% + 9% + 33.25% = 49.75% of the Premium

State share of Profit = 100% - 49.75% = 50.25% of the premium

Loss Sharing @ Loss Ratio of 350%

Loss = 100% - LR = -250%

Insurer Loss = (layer (220% - 350%) = -130%) * (15% share of loss (220% - 130%) + layer (130% - 220% = -90%) * (60% share of Loss) + Layer (100% - 130% = 30%) * (95% share of Loss)

= (-19.5%) + (-54%) + (-28.5%) = -102% of the premium

State Share of Loss = -250% - (102%) = -148% of the Loss

“Cup & Cap” Model (60:130)

Risk Sharing

- Insurance Company – up to loss ratios of 130%
- Government (Gol and State Govt. equally) – loss ratio > 130%

Surplus Sharing

Loss ratio between 0%-60% - Insurance Company retains 40% & Government (Gol and State Govt. equally) get remaining (60% LR).

Conditions

I. Liabilities

- a. Gol subsidy sharing will be based on L1 quoted Actuarial Premium Rates (APR).
- b. Gol will participate equally with State/UT Government in any claim liability arising due to claim ratio exceeding 130%.
- c. Sharing of claim liabilities between Insurance Company and Government (Gol and State/UT) will be done at cluster & season level or at the level of determination of L1 bidder & season level.

II. Surplus Sharing

- a. Gol will share surplus (if any) equally with State/UT Government if the claim ratio are less than 60%.
- b. Surplus sharing between Insurance Company and Government (Gol and State/UT) will be done at cluster & season level or at the level of determination of L1 bidder & season level.
- c. Any surplus will be shared equally between Gol and State/UT Government. Further it shall be deposited back into consolidated fund of Gol or State/UT respectively.

“Cup & Cap” Model (80:110)

Risk Sharing

- Insurance Company – up to loss ratios of 110%
- State Govt. – loss ratio > 110%

Surplus Sharing

Loss ratio between 0%-80% - Insurance Company retains 20% & State Govt. get remaining (80% - Actual LR)

Conditions

I. Liabilities

a. Gol subsidy sharing will be restricted to cluster level burn cost calculated for the current year + 15% of burn cost (towards administrative and other expenses) or L1 quoted actuarial premium rates, whichever is lower.

Other provisions of the Operational Guidelines of PMFBY will be applicable as envisaged.

The level of calculation shall be cluster and season level or at the level of determination of L1 bidder & season level.

b. Gol will not participate with State/UT Government in any claim liability.

c. Sharing of claim liabilities between Insurance Company and State Governments/UT Administrations will be done at cluster level or at the level of determination of L1 bidder & season level.

II. Surplus Sharing

a. Gol will not share surplus (if any) with State/UT Government if the claim ratio is less than 80%.

b. Surplus sharing between Insurance Company and State/UT Government will be done at cluster & season level or at the level of determination of L1 bidder & season level.

c. Any surplus shall be deposited back to State/UT treasury.

Claim Settlement under “Cup & Cap” Models

a) Claim settlement under “Cup & Cap” Models at Cluster level for any given season upto the given threshold will be the responsibility of the implementing Insurance Company.

The claim exceeding the given threshold limit as per risk-sharing pattern, shall be met fully by the State Govt. under “Cup-& Cap (80-110) and by Gol and State/UT government under “Cup-& Cap (60-130) in equal proportion.

The State Govt./Gol as the case may be; shall remit their share of claim liability to the concerned Insurance Company for onward remittance to the beneficiary farmer through DigiClaim module of NCIP.

b) The implementing Insurance Company shall be liable to release the claim at cluster level & season level for any given season up to the extent of threshold limit as per the Risk Participation Model adopted by the State Govt./UT without waiting for States/UTs to contribute the balance claim liabilities.

For delay in claim payment of liabilities of the Insurance Companies caused while waiting for pending claim liabilities to be released by States/UTs, Insurance Companies shall be liable to pay penal interest as per Para 16.14 of these guidelines.

Calculation of Burn Cost under “Cup & Cap (80-110)” Model

Burn Cost (BC) for notified crop(s) under the Cup & Cap 80-110 ARTM model for the given cluster and season and comparison with the L1 quoted APR shall be done by the CPMU of Gol in order to calculate the applicable liability of Gol towards premium subsidy.

The burn cost shall also be provided on NCIP itself based on the available historical yield data uploaded by the State/UTs on NCIP and the actual season's insured acreage.

The States/UTs shall be liable to pay the additional premium subsidy to concerned insurance companies due to underlying restriction of Gol liability as per adopted Risk Participation model.

5.8 Sandbox for Agricultural & Rural Security, Technology & Insurance Platform (SARTHI) & Product Innovation

With a view to enhance the access to agriculture & allied insurance products for farmers and to increase penetration of insurance adoption in the Agri ecosystem, Gol intends to create an ecosystem for varied insurance products (for the agro industry) wherein the different stakeholders of the insurance industry like Insurance companies, Reinsurance companies, Insurance Intermediaries and innovators, like AgriTech and Fintech, startups can come together and work towards extending customized risk protection solutions to farming community in addition to current crop insurance products under PMFBY & RWBCIS.

Other insurance products such as parameterized insurance products for non-notified PMFBY crops, parametric disaster risk insurance products, available product offerings (or components) under earlier run Unified Package Insurance Scheme (UPIS) such as Personal accident, Livestock, Fire (contents & buildings), Life insurance offerings and non-subsidized add-on covers of PMFBY & RWBCIS, among others can be offered to the farming & rural community which will help in bringing financial resilience and risk mitigation in their lives and livelihoods.

Gol for this purpose would explore potential collaborations between different stakeholders to facilitate the development of a comprehensive and secure digital SARTHI platform and dovetail it with NCIP, wherein all insurance product offerings relevant to farming and rural communities around the country such as mentioned above along with current crop insurance products are offered within a single ecosystem of PMFBY through a single window to the target communities, catering to their specific needs.

This ecosystem will be capitalized by different actors of the insurance industry resulting in proliferation of all insurance products which can be offered to the agriculture and allied sectors while ensuring end-to-end traceability and transparency of transactions in a secured digital environment.

A unified Agri insurance ecosystem will have the following features:

- Digitization of the Agri & other Insurance product offerings ecosystem in a stable, secure environment.
- Greater degree of information sharing and collaboration between the agriculture and allied sectors and the insurance industry stakeholders.
- Customization of all possible products & their availability for farmers relevant for their demography and profile.

- Cost Reduction in overall premium for farmers leading to increased coverage & earning potential while achieving risk mitigation.
- Higher penetration & accessibility to insurance products for farming & rural communities in different demographics.
- In the long term it'll also provide specific data to the Gol on the insurance needs of the farmers and other rural stakeholders, which can then be rolled out as schemes for their benefit.

To facilitate a comprehensive risk protection environment for Agriculture and Rural sector, Gol will build an open-source digital platform which will provide seamless integration of different insurance products approved by IRDAI & offered by Insurance Companies and allow for digital distribution of the products via various distribution channels directly to the farmers through a farmer facing application.

This digital platform will help offer the bouquet of products curated by the insurance companies for the agriculture & rural communities and will offer custom-made insurance products tailored as per the specific needs and the risks faced by the farmers in different regions across complete agriculture value chain.

Govt. of India through a consultative committee comprising of insurance industry experts, regulators, academia, Insurtech/agri-tech startups and experts from multilateral national/international agencies and technical agencies/institutions shall oversee and foster the adoption and promotion of SARTHI for rural & agricultural risk protection and resilience development through Insurance mechanism.

IRDAI has also been leveraging digital technology to achieve the vision of “Insurance for All” by 2047 where every citizen has an appropriate life, health and property insurance cover and every enterprise is supported by appropriate insurance solutions.

Therefore, IRDAI in addition to various administrative and strategic initiatives is also developing various technology platforms and distribution channels for the purpose of increasing financial risk protection through insurance and thereby enabling a comprehensive risk resilience in Indian communities and economy at large.

Accordingly, few digital platforms like Bima Sugam (digital portal for all insurance transactions), Bima Vahak (women centric rural insurance distribution channel), Bima Vistaar (all-in-one affordable insurance product covering risks against life, health, and property) & Bima Bharosa (a platform for complaint registration and grievance redressal) are being developed.

SARTHI Platform shall therefore be integrated with all these platforms for seamless information sharing and leveraging mutual capabilities.

A detailed SOP/Manual and modalities of the SARTHI Platform and Product Innovation including the product designing and validation protocols shall be notified by the Gol separately.

6. Preconditions for Implementation of the Scheme

6.1 State/UTs

Issuance of Notification by the State Governments/UT Administrations for the implementation of the Scheme shall imply their acceptance of all the provisions, modalities and Operational Guidelines of the Scheme.

The main conditions relating to the scheme which are binding on the States/UTs are as follows:

- Digitization of IU-wise administrative/revenue hierarchy along with Scheme; crops; level of IUs notified, crop-wise sum insured, crop-wise indemnity level, crop-wise Threshold Yield (TY) at Insurance Unit (IU) level for notified crops, opted risk coverage, details of Automatic Weather Stations (AWS), Automatic Rain Gauges (ARG), which shall be stationed as per the standards defined in the WINDS Manual 2023 and integration of digitized land records with NCIP.
- Adoption of innovative technology especially YES-TECH for direct yield estimation at Gram Panchayat (GP) level as per the standards and specifications given in the YES-TECH Manual 2023.
- CROPIC for conducting crop health monitoring during the crop life cycle.
- WINDS for setting up AWSs and ARGs as per standards and specifications mentioned in the WINDS Manual 2023.
- 100% usage of different applications and tools viz. CCE-Agri App for capturing the conduct of CCEs, AIDE App for enrollment of Farmers, Crop damage assessment through Crop Loss Survey App and the use of NCIP platform to enable seamless flow of data & information and auto administration of the scheme.

Making an additional provision of a separate budget allocation of 3% of the total budget of the Scheme for administrative expenses from Financial Year (FY) 2023-24 for meeting the day-to-day expenses for monitoring, Information Education & Communication (IEC) and evaluation activities and other administrative work related to the implementation of the Scheme such as recruitment and deployment of manpower in state PMUs, infrastructure development, etc.

6.1.4

Adopt Smart Sampling Technology for conducting requisite number of CCEs at the level of notified IU area and approve the actual yield data as recorded in the CCE Agri App.

6.1.5

To finalize CCE and YES-TECH based final yield estimation data on the NCIP to enable auto-calculation of claims.

In case the Nodal Department does not provide/upload actual yield data within 2 months of the notified CCE completion date, technology derived solutions will be used for the computation of Yield Data for claim settlement.

6.1.6

In order to ensure timely release of subsidy and to maintain strict financial discipline in the scheme implementation, the release of subsidy shall be guided by the following provisions:

- I. The release of subsidy shall follow a seasonal chronology.
- II. Notwithstanding any legal order specifically restricting the release of subsidy the subsidy component of previous season shall be settled first from any future contributions.
- III. All the financial transactions (subsidy and claims) including farmers premium being paid by State/UTs adopting Full or Preferential Universalization shall be routed through National Crop Insurance Portal only.
- IV. The States/UTs are required to commit their liabilities in advance as per modalities mentioned hereunder.

6.1.7

State/UT shall release an amount equivalent to 50% previous season's total State/UT Government liability on approved application data as the advance upfront premium subsidy, and the same shall be deposited in the 'Escrow Account' by the State/UT Government before the start of enrolment for the season.

- I. In case of State/UTs adopting Full or Preferential Universalization, wherein the part of farmer share is also subsidized by the State/UT Government, 50% State share of advance upfront premium subsidy shall be equal to the 50% of the actual State Share plus the farmer share after adjusting token farmer share of current season/year.
- II. Interest income accrued on the deposited amount in the Escrow Account shall be subsumed in the subsidy component of the concerned State/UT.

The CNA shall release from the Escrow Account, an amount equivalent to maximum 50% of the previous season's total State/UT's liability on approved application data as the advance upfront premium subsidy, upon release of work order by State/UT or before the start of enrolment for the season, as the case may be, subject to submission of demand for the same by the concerned Insurance Companies.

Similarly, the GoI will release an amount equivalent to maximum 50% of previous season's total GoI liability on approved application data as the advance upfront premium subsidy, on receipt of intimation regarding allocation of work order or before the start of enrolment for the season, as the case may be, subject to submission of demand for the same by the concerned Insurance Companies.

In case the demand for subsidy premium is raised by Insurance Companies after start of enrolment, respective share of State/UT and GoI equivalent to 50% of the total respective liability as per the current season's paid application data would be remitted.

The farmers share will be subsequently deducted during the enrolment window.

The principle of 'Farmer pays Last' shall be followed.

The Escrow Account shall be jointly administered by the State/UT Government and Gol and maintained in any Scheduled Commercial Bank to be chosen by the State/UT Government.

Detailed guidelines on Escrow Account shall be notified by the Gol.

NCIP would only be opened for enrolment upon remittance of the above mentioned advance upfront premium by the concerned State/UT Government to the Escrow Account and upon receipt of electronic confirmation of the same from the CNA to the Gol.

This mechanism shall be mandatorily applicable from Rabi 2024 onwards.

Subsequent tranches of the premium subsidy would be released, as per seasonality discipline, on reconciliation of data and submission of demand by the respective Insurance Companies.

The payment of subsequent tranches will be based on current season's approved applications only.

In case of excess premium being released by the Governments (Gol or State/UT) due to pending calculation of final Gol liability on account of delay on season's closure or due to reduction of insured area/applications at later stage, the corresponding excess premium shall be returned by the concerned Insurance Company to concerned Governments (Gol or State/UT) within 7 days from closure of season and finalization of insured acreage.

Such excess premium shall not be allowed to be adjusted against demand for other/following season or against other scheme (PMFBY or RWBCIS).

The release of Gol subsidy shall not be dependent on release of the State/UT subsidy for all seasons covered under the scheme including past seasons.

The insurance companies shall raise separate simultaneous demands for State/UT and Gol subsidy share for the season.

Accordingly, payable claims shall also be released by the concerned insurance companies on pro-rata basis to the farmers in accordance with the already received Gol and State/UT Government subsidy.

The Insurance Company can at the maximum hold claims equivalent to the outstanding premium amount at any given point of time.

6.1.8

To carry out pilot studies for improved yield estimations using technology.

Adoption of protocol/Standard Operating Procedure (SOP) for smart sampling technique (SST) and direct yield estimation procedure as issued and modified by the Gol from time to time.

6.1.9

The present composition of the State level Coordination Committee on Crop Insurance (SLCCCI) includes the representation of concerned Departments of the State Governments/UT Administrations, Reserve Bank of India (RBI), National Bank for Agriculture Rural Development (NABARD), empaneled Insurance Companies and the State Level Bankers Committee (SLBCs) which may be strengthened by including representatives from the State Horticulture Department, State Remote Sensing Application Centre (SRSAC), India Meteorological Department (IMD), experts from Indian Council of Agricultural Research (ICAR)/State Agriculture Universities (SAU), Mentor Institute for Technology Rollout (MITRs), Quality Assurance Partners (QAPs) and Farmers' Representatives including women farmers for implementing PMFBY.

Chairman of the State Level Coordination Committee on Crop Insurance (SLCCCI) may co-opt representatives from other departments/agencies, if considered necessary.

6.1.10

Adequate preparedness for ensuring availability of all crop loss and yield data on National Crop Insurance Portal (NCIP) as computation of claims including those related to add-on cover will be done mandatorily on the basis of data uploaded on NCIP.

6.1.11

Grievance redressal and resolution of complaints and queries of farmers raised through any of the mode including Krishi Rakshak Portal & Helpline within timelines outlined in the SOP/Manual of Grievance Redressal, which shall be issued by the GoI separately.

6.2 Insurance Companies (ICs)

Empanelment of Insurance Companies and their participation for the implementation of the Scheme shall imply their acceptance of all provisions, modalities and guidelines of the Schemes.

The empaneled Insurance Companies must deploy requisite infrastructure and resources for the implementation of PMFBY particularly for the following identified major activities:

- To carry out pilot studies and research for leveraging new technology for the effective implementation of Scheme in a transparent & efficient manner.
- Deployment of requisite infrastructure to widen the outreach of the Scheme and enabling access to related services to the rural farmers at their doorstep, with a commitment for at least 10% incremental increase in non-loanee coverage for a season at District level.

- Deployment of sufficient manpower to co-observe CCEs and allied activities and compulsory use of CCE Agri App, CROPIC App, Crop Loss Assessment App, their digital web portals and other digital Apps and platforms rolled out by GoI from time to time.
- Allocation of requisite resources for IEC activities including awareness generation and capacity building of stakeholders about the Scheme.
- The detailed planning for the same should be submitted to the Centre and State/UT Government in advance i.e., before the start of each season as prescribed in these Operational Guidelines.
- Creation of a grievance redressal mechanism at the ground level covering the Sub-district, District, State and National level, putting in place a robust and effective method for grievance registration, handling, resolution, disposal and reporting etc., as referred in Para 30 of these Operational Guidelines.
- Settlement of claims to the eligible farmers under the Basic Cover and all insured add-on covers as per the prescribed timelines as defined in the seasonality discipline and State/UT Notification.
- Timely payment of service charge to Banks (4% of farmer's premium) and requisite service charges to Common Service Centre - Special Purpose Vehicle (CSC-SPV) & other Insurance Intermediaries through NCIP.
- An SOP/Manual for carrying out different activities of awareness generation and capacity building shall be as shared by the GoI separately.
- Grievance redressal and resolution of complaints and queries of farmers raised through any of the mode including Krishi Rakshak Portal & Helpline within timelines outlined in the SOP/Manual of Grievance Redressal which shall be issued by the GoI separately.

6.3 Banks and Other Enrolment Channels

Participation in implementation of the Scheme (PMFBY) will imply their acceptance of all provisions, modalities and the Operational Guidelines of the Scheme.

The participating Banks, other channels like CSC, Insurance Intermediaries and Insurance Companies must deploy requisite infrastructure and resources for implementation of PMFBY particularly for following identified major activities:

6.3.1

Creation of digital credentials for each user at PACS, Branch, Regional/Zonal Office and Head Office level and compulsory data entry of farmers' details on NCIP either through fully automated mode using APIs or through manual mode as per the prescribed enrolment module within the stipulated timelines as defined in the Seasonality discipline.

Specific SOP and manual for fully automated mode of data exchange using APIs shall be released by the GoI separately.

6.3.2

Digitization of correct and updated information of the insured farmers on NCIP after due validation with the records available with the bank/farmers including Aadhaar Number, Mobile Number, validated land records and insured area, name of IUs, Crops and Bank Account details etc.

6.3.3

Uploading copies of the requisite documents e.g. Land Possession/Ownership Certificate, Copy of Bank Passbook/Bank Account details & Crop Sowing certificate as per the requirements of the State Governments/UT Administrations, by all channels except for the enrolments done through banks for loanee farmers.

6.3.4

Timely remittance of farmer's premium through payment gateway linked with NCIP strictly as per timelines to implementing Insurance Companies.

6.3.5

Grievance redressal and resolution of complaints and queries of farmers raised through any of the mode including Krishi Rakshak Portal & Helpline within timelines outlined in the SOP/Manual of Grievance Redressal which shall be issued by the GoI separately.

Note: I have preserved the source wording and details rather than converting this into a short scheme summary.

PMFBY – 25 Frequently Asked Questions

1. What is Pradhan Mantri Fasal Bima Yojana (PMFBY)?

PMFBY is a crop insurance scheme launched from Kharif 2016 to provide affordable crop insurance and comprehensive risk cover against non-preventable natural risks from pre-sowing to post-harvest.

2. What is the main objective of PMFBY?

The scheme aims to provide financial support to farmers suffering crop loss, stabilize their income, encourage modern agricultural practices, improve creditworthiness and promote crop diversification.

3. Who can be covered under PMFBY?

All farmers, including sharecroppers and tenant farmers growing notified crops in notified areas, are eligible, provided they have an insurable interest in the insured crops and land.

4. Are tenant farmers and sharecroppers eligible?

Yes. Tenant farmers and sharecroppers can be covered if they have the required insurable interest and submit the land records, agreements or other documents permitted by the concerned State/UT.

5. Can tribal farmers and forest dwellers get PMFBY coverage?

Yes. Tribal farmers and forest dwellers cultivating forest land under the Forest Rights Act (FRA) can be insured under the scheme.

6. Can farmers cultivating community-owned land be covered?

Yes. Farmers cultivating community-owned land, particularly in North Eastern Region states, can be covered with certification from the village head or revenue authorities.

7. Is PMFBY compulsory for Kisan Credit Card (KCC) farmers?

No. PMFBY is optional for all farmers, including farmers who have received short-term agricultural loans through KCC.

8. Can a KCC farmer opt out of PMFBY?

Yes. A loanee farmer can submit an opt-out declaration to the loan-sanctioning bank at least seven days before the cut-off date for enrolment for that season.

9. What happens if a KCC farmer does not submit an opt-out declaration?

The farmer will be covered under the scheme.

10. Is a farmer with a sub-standard KCC considered a loanee farmer?

No. A farmer whose KCC loan has become sub-standard according to the applicable banking or regulatory practices is not considered a loanee farmer. However, the bank may facilitate enrolment as a non-loanee farmer.

11. What crops are covered under PMFBY?

The scheme covers:

- Food crops such as cereals, millets and pulses
- Oilseeds
- Annual commercial crops
- Annual horticultural crops
- Certain perennial horticultural/commercial crops through pilots
- Other crops, including plantation crops, subject to approval.

12. What risks are covered under the basic PMFBY cover?

The basic cover protects standing crops from sowing to harvesting against non-preventable risks such as drought, dry spells, flood, inundation, widespread pest and disease attacks, landslides, natural fire due to lightning, storms, hailstorms and cyclones.

13. What is Prevented Sowing/Planting/Germination coverage?

It provides coverage when the insured area cannot be sown, planted or germinated because of deficient rainfall or adverse seasonal or climatic conditions.

14. What is Mid-Season Adversity coverage?

It provides relief when adverse seasonal conditions such as floods, prolonged dry spells or severe drought are expected to reduce the crop yield to less than 50% of the normal yield.

15. What is post-harvest loss coverage?

Coverage is available for a maximum of two weeks after harvesting for eligible crops that are left in the field for drying, against specified perils such as hailstorm, cyclone, cyclonic rains and unseasonal rains.

16. What are localized calamities under PMFBY?

Localized calamities are identified risks such as hailstorm, landslide, inundation, cloudburst and natural fire due to lightning that affect isolated insured farms in a notified area.

17. Is crop loss due to wild animals covered?

States/UTs may provide optional add-on coverage for crop losses caused by wild animals where the risk is substantial and identifiable. The applicable premium is fully borne by the farmer, although the State/UT may provide additional subsidy.

18. What losses are excluded from PMFBY?

Losses arising from war, nuclear risks, malicious damage and other preventable risks are excluded.

19. Is loss intimation required for every type of crop loss?

For localized calamities and post-harvest losses, the farmer, designated agency or nodal department must intimate the loss. For widespread calamities, such intimation is not essential because claims are calculated using the District Level Joint Committee report and/or actual yield data.

20. What is the National Crop Insurance Portal (NCIP)?

NCIP is the Government's digital platform for PMFBY. It integrates farmers, States/UTs, insurers, banks and other stakeholders and provides real-time information, coordination and transparency.

21. Can a State/UT create a separate crop insurance portal?

No. Since NCIP is used for automated administration and seamless data flow, States/UTs are not allowed to create or use a separate crop insurance portal. Karnataka's existing portal has to be integrated with NCIP.

22. When is a farmer eligible for insurance coverage?

Only farmers whose details are uploaded on NCIP and whose share of the premium has been remitted to the concerned insurance company within the prescribed time are eligible for insurance coverage.

23. What technologies are used under PMFBY?

PMFBY uses technologies such as CROPIC, Crop Loss Assessment App, CCE Agri App, satellite imagery, drones, remote sensing, Smart Sampling Technology (SST), YES-TECH and WINDS.

24. What is full universalization under PMFBY?

Under full universalization, the complete farmer database is obtained through the State/UT's pre-validated land parcel, crop and farmer KYC database through NCIP. Traditional enrolment through other channels is not required.

25. What are the responsibilities of insurance companies under PMFBY?

Insurance companies must provide infrastructure and manpower, promote technology, increase non-loanee farmer coverage, conduct awareness activities, operate grievance mechanisms, settle eligible claims within prescribed timelines and pay required service charges to banks and other intermediaries.

Sukanya Samriddhi Yojana (SSY)

For more than 150 years, the Department of Posts (DoP) has been the backbone of the country's communication and has played a crucial role in the country's social economic development. It touches the lives of Indian citizens in many ways: delivering mails, accepting deposits under Small Savings Schemes, providing life insurance cover under Postal Life Insurance (PLI) and Rural Postal Life Insurance (RPLI) and providing retail services like bill collection, sale of forms, etc. The DoP also acts as an agent for Government of India in discharging other services for citizens such as Mahatma Gandhi National Rural Employment Guarantee Scheme (MGNREGS) wage disbursement and old age pension payments. With more than 1,55,000 post offices, the DoP has the most widely distributed postal network in the world.

Yes. I've cleaned the content, removed unnecessary website/navigation/advertisement material and tables, corrected the points that were outdated or inaccurate, and included **25 FAQs** at the end.

The main scheme rules are aligned with the official Sukanya Samriddhi Account Rules/India Post information. The current official India Post page lists the interest rate as **8.2% per annum**, calculated yearly and compounded yearly. ([India Post](#))

SUKANYA SAMRIDDHI YOJANA (SSY)

1. Introduction

Sukanya Samriddhi Yojana (SSY), also known as Sukanya Samriddhi Account (SSA), is a Government of India-backed small savings scheme designed for the benefit of a girl child.

The scheme is intended to help parents and guardians build savings for the education and future needs of their girl child.

The account can be opened in the name of a girl child who has not attained the age of 10 years on the date of opening of the account.

The account can be opened through eligible post offices and designated banks.

The account matures after **21 years from the date of opening**, subject to the applicable rules.

2. Sukanya Samriddhi Yojana – Key Features

- **Interest Rate:** 8.2% per annum, as currently listed by India Post.
- **Minimum annual deposit:** ₹250.
- **Maximum annual deposit:** ₹1,50,000.
- **Deposit period:** Deposits can be made for 15 years from the date of opening.
- **Maturity:** 21 years from the date of opening.
- **Eligible girl child:** A girl child below 10 years of age on the date of account opening.
- **Account holder:** The account is opened in the name of the girl child.

- **Account opening:** By a natural or legal guardian.
 - **Tax benefit:** Eligible contributions qualify for deduction under Section 80C, subject to applicable income-tax rules.
 - **Withdrawal:** Partial withdrawal is permitted for higher education subject to the prescribed conditions.
 - **Transfer:** The account can be transferred between eligible post offices and banks across India according to the applicable rules.
 - **Government-backed:** The scheme is administered under Government of India small-savings rules. ([India Post](#))
-

3. What is Sukanya Samriddhi Yojana?

Sukanya Samriddhi Yojana is a savings scheme designed especially for securing the financial future of a girl child.

It aims to help parents and guardians build a fund for the education and future requirements of their girl child.

The scheme also promotes savings for girl children as part of the broader objectives associated with **Beti Bachao, Beti Padhao**.

4. Interest Rate

The Sukanya Samriddhi Account currently carries an interest rate of **8.2% per annum**.

The interest rate on small savings schemes is notified by the Government from time to time and may change for different quarters.

India Post currently lists the Sukanya Samriddhi Account interest rate as **8.2% per annum**, calculated on a yearly basis and compounded yearly. ([India Post](#))

Therefore, the interest rate should not be treated as permanently fixed for the entire 21-year period.

5. Deposit Rules

Minimum Deposit

A minimum of **₹250** must be deposited in the account in a financial year.

Maximum Deposit

A maximum of **₹1,50,000** can be deposited in an account during a financial year.

Multiple Deposits

Deposits can be made in multiples of ₹50.

There is no restriction on the number of deposits that can be made during a month or financial year, provided the annual limit is not exceeded.

Deposit Period

Deposits are required only for the first **15 years from the date of opening the account**.

After completion of 15 years, no further deposits are required, but the account continues to earn applicable interest until maturity. ([India Post](#))

6. Default Account

If the minimum annual deposit of ₹250 is not made during a financial year, the account is treated as an account under default.

The account can be regularised before completion of 15 years from the date of opening.

To regularise the account, the depositor has to pay:

- Minimum annual deposit of ₹250 for each defaulted year.
- Penalty of ₹50 for each year of default.

The official scheme rules provide for regularisation of the defaulted account during the specified period. ([India Post](#))

7. Age Limit

The account can be opened in the name of a girl child who has **not attained the age of 10 years** on the date of opening.

Only one SSY account can be opened in the name of an individual girl child. ([India Post](#))

8. Number of Accounts

Normally, a family can open SSY accounts for a maximum of **two girl children**.

More than two accounts may be permitted in specified cases involving twins or triplets, subject to the conditions prescribed under the scheme rules and submission of the required supporting documents.

The official rules contain specific provisions concerning multiple girl children born in the first or second order of birth. ([India Post](#))

9. Who Can Open the Account?

A natural or legal guardian can open the Sukanya Samriddhi Account in the name of an eligible girl child.

The application must be accompanied by the girl's birth certificate and the required documents of the guardian. ([India Post](#))

10. Documents Required

The documents generally required include:

- Birth certificate of the girl child.
- Identity and address proof of the parent or legal guardian.
- Aadhaar and PAN/KYC documents as applicable.
- SSY account opening form.
- Required initial deposit.

The exact KYC documents accepted may depend on the applicable Post Office/bank rules.

India Post lists Aadhaar, PAN/KYC documents and the birth certificate among the documents used for account opening. ([India Post](#))

11. Aadhaar and PAN

Aadhaar and PAN/KYC requirements apply according to the prevailing small-savings/KYC rules.

Where Aadhaar has not yet been assigned, the applicable Aadhaar enrolment proof/identification requirements may be followed as prescribed by the account-opening authority.

If required KYC information is not furnished within the prescribed period, the account may become inoperative until the required information is submitted.

Therefore, the exact KYC requirements should be followed as applicable at the time of account opening.

12. How to Open an SSY Account

The account can be opened through:

- India Post offices offering the scheme.
- Designated participating banks.

The guardian has to:

1. Obtain the SSY account opening form.

2. Fill in the girl's details.
3. Provide guardian details.
4. Submit the girl's birth certificate.
5. Submit required KYC documents.
6. Make the required initial deposit.
7. Submit the application and documents to the post office/bank.

India Post confirms that Sukanya Samriddhi Accounts are available through post offices and provides the applicable account-opening/KYC requirements. ([India Post](#))

13. Details Required in the Application Form

The application generally contains details such as:

- Name of the girl child.
- Date of birth of the girl child.
- Birth certificate details.
- Name of parent/guardian.
- Relationship with the girl child.
- Address.
- Identity/KYC details.
- PAN and Aadhaar details where applicable.
- Initial deposit details.
- Bank/post-office account information where applicable.
- Signature of the guardian.

After completing the form, the guardian submits it along with the required documents to the post office or designated bank.

14. Operation of the Account

The account is initially operated by the guardian.

The girl child can operate the account after attaining the prescribed age under the scheme rules.

The official rules provide for operation of the account by the beneficiary after attaining 18 years, with provisions allowing operation after attaining 10 years subject to the applicable rules. ([Drug Enforcement Administration](#))

15. Maturity of the Account

The Sukanya Samriddhi Account matures after **21 years from the date of opening**.

Deposits are required only for the first 15 years.

After the 15-year deposit period, the account continues to earn interest until maturity.

At maturity, the balance along with applicable interest can be paid to the girl child subject to submission of the required documents. ([India Post](#))

16. Partial Withdrawal for Education

Partial withdrawal is permitted for the higher education of the girl child subject to the conditions prescribed under the scheme.

The withdrawal can be up to **50% of the eligible balance**, subject to the applicable rules.

The withdrawal is allowed after the girl child attains **18 years of age or passes the 10th standard**, whichever is applicable under the scheme rules.

The withdrawal can be made as permitted under the rules, including in instalments, subject to the prescribed limits and documentation.

India Post also lists withdrawal up to 50% after the girl child attains 18 years or passes 10th standard. ([India Post](#))

17. Premature Closure

Premature closure is not freely available at any time.

Under the applicable rules, premature closure may be permitted in specified circumstances, including:

- Death of the account holder.
- Marriage of the girl child after attaining 18 years, subject to the prescribed conditions.
- Specified compassionate circumstances such as life-threatening illness or death of the guardian, subject to the applicable conditions and approval.
- Other circumstances specifically permitted under the scheme rules.

The applicable rules should be followed for each type of premature closure. ([Drug Enforcement Administration](#))

18. Closure on Marriage

The account holder may close the account for marriage after attaining the age of **18 years**, subject to the prescribed conditions.

The request for closure is subject to the applicable time restrictions relating to the marriage.

19. Closure on Death of the Girl Child

If the girl child/account holder dies, the account can be closed.

The guardian/nominee/legal claimant has to provide the required death certificate and other prescribed documents.

The balance and applicable interest are paid according to the scheme rules. ([Drug Enforcement Administration](#))

20. Change of Citizenship or Residency

If the account holder becomes a non-citizen or non-resident of India, the applicable rules require the change in status to be intimated to the post office or bank.

The SSY rules contain provisions for closure and cessation of interest following such change of status. ([Drug Enforcement Administration](#))

21. Transfer of SSY Account

The SSY account can be transferred from one eligible location to another in India.

It can be transferred:

- From one post office to another.
- From one bank branch to another.
- From a post office to a bank.
- From a bank to a post office.

The applicable transfer procedure and charges, if any, depend on whether the required proof of shifting of residence is provided.

The official rules specifically provide for transfer anywhere in India between post offices and banks. ([Drug Enforcement Administration](#))

22. Tax Benefits

SSY provides tax benefits subject to the prevailing income-tax provisions.

Eligible contributions can qualify for deduction under **Section 80C**, subject to the applicable annual limit and tax regime.

The principal, interest and eligible maturity proceeds are generally treated under the tax rules applicable to the scheme.

Tax treatment should be considered according to the income-tax provisions applicable to the taxpayer at the time.

23. Loan Against SSY

There is **no general loan facility against the balance of a Sukanya Samriddhi Account** under the scheme.

Therefore, the SSY balance cannot normally be used as security for obtaining a loan.

24. Excess Deposit

The maximum permitted deposit is ₹1,50,000 in a financial year.

Any amount deposited above this limit due to an accounting error does not earn interest and is required to be returned according to the applicable rules. ([India Post](#))

25. Interest After Maturity

The account matures after 21 years from the date of opening.

Once the account has matured, it does not continue indefinitely as an SSY account earning SSY interest.

Therefore, the maturity amount should be claimed according to the applicable closure procedure.

26. Interest Calculation

Interest is calculated according to the rules applicable to Sukanya Samriddhi Accounts.

The account provides the benefit of compounding over the long investment period.

The actual maturity amount depends on:

- Amount deposited.
- Timing of deposits.
- Applicable interest rates.

- Number of years the money remains in the account.

The interest rate is subject to Government notification and may change over time.

27. Example of Investment

For example, if a depositor contributes ₹1,00,000 every year for 15 years, the total principal contribution would be ₹15,00,000.

The final maturity value would depend on the interest rates applicable during the relevant period.

Therefore, older calculator examples based on a fixed historical rate such as **7.6%** should not be treated as the current maturity calculation.

28. Historical Interest Rates

The source contains historical SSY rates such as:

- April–June 2025: 8.2%
- January–March 2025: 8.2%
- October–December 2024: 8.2%
- July–September 2024: 8.2%
- April–June 2024: 8.2%
- January–March 2024: 8.2%
- October–December 2023: 8.0%
- July–September 2023: 8.0%
- April–June 2023: 8.0%
- January–March 2023: 7.6%
- October–December 2022: 7.6%
- July–September 2022: 7.6%
- April–June 2022: 7.6%
- January–March 2022: 7.6%
- October–December 2021: 7.6%
- July–September 2021: 7.6%
- April–June 2021: 7.6%
- January–March 2021: 7.6%

- October–December 2020: 7.6%
- July–September 2020: 7.6%
- April–June 2020: 7.6%
- January–March 2020: 8.4%
- October–December 2019: 8.4%
- July–September 2019: 8.4%
- April–June 2019: 8.5%
- January–March 2019: 8.5%
- October–December 2018: 8.5%
- July–September 2018: 8.1%
- April–June 2018: 8.1%
- January–March 2018: 8.1%
- October–December 2017: 8.3%
- July–September 2017: 8.3%
- April–June 2017: 8.4%

These are historical rates and should not be used as the current rate.

29. Banks and Post Offices

Sukanya Samriddhi Accounts can be opened at eligible India Post offices and designated participating banks.

The participating bank list can change, so the current list should be checked with the bank or India Post before opening an account.

30. Benefits of Sukanya Samriddhi Yojana

The major benefits include:

- Government-backed savings scheme.
- Designed specifically for girl children.
- Long-term savings for education and future needs.
- Minimum annual contribution of only ₹250.
- Maximum annual contribution of ₹1.5 lakh.

- Interest is compounded according to the scheme rules.
 - Deposits are required only for 15 years.
 - Account matures after 21 years.
 - Partial withdrawal is available for higher education subject to conditions.
 - Tax benefits are available under applicable income-tax provisions.
 - Account can be transferred across India.
-

31. 25 Frequently Asked Questions

Q1. What is Sukanya Samriddhi Yojana?

Answer: Sukanya Samriddhi Yojana is a Government-backed small savings scheme designed for the financial benefit of a girl child. It helps parents or guardians save for the girl's future education and other eligible needs. ([India Post](#))

Q2. Who can open a Sukanya Samriddhi Account?

Answer: A natural or legal guardian can open the account in the name of a girl child who has not attained 10 years of age on the date of account opening. ([India Post](#))

Q3. What is the current interest rate on SSY?

Answer: The current interest rate listed by India Post is **8.2% per annum**. The Government may revise small-savings interest rates from time to time. ([India Post](#))

Q4. What is the minimum amount required to open an SSY account?

Answer: The minimum deposit required is **₹250**.

Q5. What is the maximum amount that can be deposited in SSY?

Answer: A maximum of **₹1,50,000** can be deposited in an account in a financial year. ([India Post](#))

Q6. How long do I have to make deposits?

Answer: Deposits can be made for **15 years from the date of opening the account**. After that, no further deposits are required, but the account continues to earn applicable interest until maturity. ([India Post](#))

Q7. When does the SSY account mature?

Answer: The account normally matures **21 years from the date of opening**. ([India Post](#))

Q8. Can I open more than one SSY account for the same girl child?

Answer: No. Only **one SSY account can be opened in the name of a particular girl child**. ([India Post](#))

Q9. How many SSY accounts can a family normally open?

Answer: Normally, a family can open accounts for up to **two girl children**. Additional accounts may be permitted in specified twin/triplet cases according to the scheme rules. ([India Post](#))

Q10. What happens if I do not deposit ₹250 in a financial year?

Answer: The account is treated as a default account. It can be regularised by paying the required minimum deposit for the defaulted year along with a **₹50 penalty for each defaulted year**, within the prescribed period. ([India Post](#))

Q11. Can I deposit money every month?

Answer: Yes. Deposits can be made in multiple instalments. There is no requirement to make a fixed monthly deposit, provided the minimum annual deposit is maintained and the annual maximum limit is not exceeded. ([India Post](#))

Q12. Can I withdraw money before maturity?

Answer: Yes, partial withdrawal is permitted for eligible higher-education purposes subject to the conditions and limits prescribed under the scheme.

Q13. How much can be withdrawn for education?

Answer: Withdrawal can be up to **50% of the eligible balance**, subject to the applicable rules. The withdrawal is permitted after the girl child attains 18 years or passes the 10th standard, as prescribed. ([India Post](#))

Q14. Can the SSY account be closed before maturity?

Answer: Yes, but only in specified circumstances such as death of the account holder, marriage after attaining 18 years, or certain permitted compassionate circumstances. Premature closure is subject to the applicable rules. ([Drug Enforcement Administration](#))

Q15. Can the SSY account be closed for the girl's marriage?

Answer: Yes. The account holder can close the account for marriage after attaining **18 years**, subject to the prescribed conditions and applicable time restrictions.

Q16. What happens if the girl child dies?

Answer: The account can be closed on submission of the required death certificate and other documents. The balance and applicable interest are paid to the eligible guardian/nominee/legal claimant according to the scheme rules. ([Drug Enforcement Administration](#))

Q17. Can an NRI open an SSY account?

Answer: The SSY scheme is intended for eligible resident Indian girl children. The rules also provide for closure and cessation of interest if the account holder becomes a non-citizen or non-resident. ([Drug Enforcement Administration](#))

Q18. Can an SSY account be transferred from one place to another?

Answer: Yes. The account can be transferred anywhere in India between eligible post offices and banks according to the applicable transfer rules. ([Drug Enforcement Administration](#))

Q19. Is a loan available against the SSY balance?

Answer: No. There is no general loan facility against the balance of a Sukanya Samriddhi Account.

Q20. Is the interest earned on SSY taxable?

Answer: SSY receives tax benefits under the applicable income-tax provisions. Eligible contributions can qualify for Section 80C deduction, and the interest and eligible maturity proceeds receive the tax treatment prescribed for the scheme.

Q21. What documents are required to open an SSY account?

Answer: The main documents include the girl's birth certificate, guardian's required KYC/identity and address documents, SSY account opening form and the required initial deposit. ([India Post](#))

Q22. Where can I open an SSY account?

Answer: The account can be opened at eligible India Post offices and designated participating banks. ([India Post](#))

Q23. What happens if I deposit more than ₹1.5 lakh in one financial year?

Answer: The amount above the permitted annual limit does not earn interest. If accepted because of an accounting error, the excess amount is required to be returned according to the scheme rules. ([India Post](#))

Q24. Can the girl child operate the account herself?

Answer: Yes. The account can be operated by the girl child after attaining the applicable age under the scheme rules. The rules provide for operation by the beneficiary after attaining 18 years, with provisions relating to operation after age 10. ([Drug Enforcement Administration](#))

Q25. What happens after the SSY account completes 21 years?

Answer: The account reaches maturity after 21 years from the date of opening. The maturity balance, including applicable interest, can be claimed by following the prescribed closure procedure and submitting the required documents. ([India Post](#))

Important correction made: I did **not** retain the source's old "SSY Interest Rate 2025" wording as the current rate, nor its old 7.6% calculation example as a current calculation. The official India Post page currently lists **8.2% p.a.** for SSY. ([India Post](#))

Pradhan Mantri Awaas Yojana – Gramin (PMAY-G)

- **1.**Public housing programme in the country started with the rehabilitation of refugees immediately after independence and since then, it has been a major focus area of the Government as an instrument of poverty alleviation. Rural housing programme, as an independent programme, started with Indira Awaas Yojana (IAY) in January 1996. Although IAY addressed the housing needs in the rural areas, certain gaps were identified during the concurrent evaluations and the performance Audit by Comptroller and Auditor General (CAG) of India in 2014. These gaps, i.e. non-assessment of housing shortage, lack of transparency in selection of beneficiaries, low quality of the house and lack of technical supervision, lack of convergence, loans not availed by beneficiaries and weak mechanism for monitoring was limiting the impact and outcomes of the programme.
- **2.**To address these gaps in the rural housing program and in view of Government's commitment to providing "Housing for All" by the scheme 2024, the IAY has been re-structured into Pradhan Mantri Awaas Yojana –Gramin (PMAY-G) w.e.f. 1st April 2016.
- **3.**PMAY-G aims at providing a pucca house, with basic amenities, to all houseless householder and those households living in kutcha and dilapidated house, by 2024. The immediate objective is to cover 1.00 crore household living in kutcha house/dilapidated house in three years from 2016-17 to 2018-19. The minimum size of the house has been increased to 25 sq.mt (from 20 sq.mt) with a hygienic cooking space. The unit assistance has been increased from Rs. 70,000 to Rs. 1.20 lakh in plain and from Rs. 75,000 to Rs. 1.30 lakh in hilly states, difficult areas and IAP district. The beneficiary is entitled to 90.95 person day of unskilled labour from MGNREGS. The assistance for construction of toilet shall be leveraged through convergence with SBM-G, MGNREGS or any other dedicated source of funding. Convergence for piped drinking water, electricity connection, LPG gas connection etc. different Government programmes are also to be attempted.
- **4.**The cost of unit assistance is to be shared between Central and State Government in the ratio 60:40 in plain areas and 90:10 for North Eastern and the Himalayan States. From the annual budgetary grant for PMAY-G, 90% of funds is to be released to States/UTs for the construction of new house under PMAY-G. This would also include 4% allocation towards Administrative expenses. 5% of the budgetary grant is to be retained at the central level as reserve fund for special Projects. The annual allocation to the states is to be based on the Annual Action Plan (AAP) approved by the Empowered Committee and the fund to States /UTs is to be released in two equal installments.
- **5.**One of the most important features of PMAY-G is the selection of beneficiary. To ensure that assistance is targeted at those who are genuinely deprived and that the

selection is objective and verifiable, PMAY-G instead of selecting a the beneficiary from among the BPL households selects beneficiary using housing deprivation parameters in the Socio Economic and Caste Census (SECC), 2011 date which is to be verified by the Gram Sabhas. The SECC data captures specific deprivation related to housing among households. Using the data households that are houseless and living in 0,1 and 2 kutch wall and kutch roof houses can be segregated and targeted . The Permanent Wait List so generated also ensures that the states have the ready list of the household to be covered under the scheme in the coming years (through Annual Select Lists) leading to better planning of implementation. To address grievances in beneficiary selection an appellate process has also been put in place.

- **6.** Towards better quality of construction, setting up of a National Technical Support Agency (NTSA) at the national level is envisaged. One of the major constraints in quality house construction is the lack of the sufficient number of skilled masons. To address this, a pan-India training and certification programme of Masons has been launched in the States/UTs. This will, in addition, and career progression for rural masons. For timely construction/completion to ensure good quality of house construction, it has also been envisaged to tag a PMAY-G the beneficiary with a field level Government functionary and a Rural Mason.
- **7.** The beneficiary to be assisted by in-house construction with a bouquet of house design typologies inclusive of disaster resilience features that are suitable to their local geo-climatic conditions . These designs are developed through an elaborate public consultative process. This exercise will ensure that the beneficiary does not over-construct in the initial stages of house building which often results in the incomplete house or the beneficiary is forced to borrow money to complete the house.
- **8.** In PMAY-G, programme implementation and monitoring is to be carried out through an end to end e-Governance model- Using AwaasSoft and Awaas App. While AwaasSoft is a work –flow enabled, web-based electronic service delivery platform through which all critical function of PMAY-G, right from identification of beneficiary to providing construction linked assistance (through PFMS), will be carried out; AwaasApp- a the mobile application is to be used to monitor real time, evidence based progress of house construction through date and time stamped and georeferenced photographs of the house. The two IT application help identify the slip ups in the achievement of targets during the course of implementation of the programme. All payments to beneficiary is to be through DBT to beneficiary's Bank/post office accounts registered in Awaas SoftMIS.
- **9.** The States have to come up with their Annual Action Plan of PMAY- That will include a plan for convergence in with other Government programme. The mechanism for convergence in PMAY-G is also to be strengthened through a system to system real-time transfer of information between the programme that are to converge with PMAY-G.
- **10.** A willing beneficiary is to be facilitated to avail institution finance up to Rs.70,000.- which would be monitored through the SLBC, DLBC and DLBC.

- **11.** The programme implementation is to be monitored not only electronically, but also through community participation (Social Audit), Member of Parliament (DISHA Committee), Central and State Government officials, National Level Monitors etc.

Yes. I checked the uploaded PDF carefully.

The file is “**Framework for Implementation of Pradhan Mantri Awaas Yojana–Gramin (PMAY-G) (2022)**”, and it is **158 pages**. It contains the complete implementation framework, chapters, annexures, fund procedures, beneficiary selection, construction process, e-governance, monitoring, greening, etc.

Important point

The PDF **does not contain a separate FAQ section**. I checked for “FAQ”, “Frequently Asked Questions” and “Questions”; none is present. So I can create FAQs **from the information in the PDF**, but I will not claim that they are official FAQs.

I extracted the complete PDF

I created a clean text version containing the **complete textual content of all 158 pages**, while removing only unnecessary standalone page numbers and preserving the actual content.

[Download the complete PMAY-G PDF text](#)

PMAY-G — Full Information

1. Scheme Name

Pradhan Mantri Awaas Yojana – Gramin (PMAY-G)

PMAY-G is the rural housing scheme of the Government of India. It was implemented from **1 April 2016** and was launched on **20 November 2016**.

The 2022 framework aims to provide **pucca houses with basic amenities** to eligible houseless rural households and households living in kutcha/dilapidated houses.

2. Main Objective

The main objective is:

- Provide a **pucca house** to eligible rural households.
- Provide basic amenities along with the house.
- Improve housing quality.
- Give technical support for construction.
- Promote disaster-resilient construction.
- Promote green housing.

- Use trained rural masons.
- Ensure transparent beneficiary selection.
- Provide financial assistance directly to beneficiaries.
- Connect housing with other Government schemes.

The 2022 document originally targeted **2.95 crore houses by March 2024**.

3. Current Correction — Important for Your RAG

The **2022 PDF is now an older framework**.

The Government extended PMAY-G for **FY 2024-25 to FY 2028-29** and approved **2 crore additional rural houses**. The current overall target is **4.95 crore houses by 2029**. ([Press Information Bureau](#))

Current unit assistance remains:

- **₹1.20 lakh** — plain areas
- **₹1.30 lakh** — North-Eastern and Hill States, including J&K and Ladakh

The 2024–29 phase also uses an updated **Awaas+ database and modified exclusion criteria**. ([Press Information Bureau](#))

So for your knowledge base, I recommend:

Keep the 2022 PDF as the historical/official framework document, but add a “Current 2024–29 Update” section so the chatbot does not give outdated 2024 targets.

4. House Size

The minimum house size under the framework is:

25 square metres, including a dedicated hygienic cooking area.

5. Financial Assistance

Unit assistance

Plain areas:

₹1.20 lakh

Hill/NE/difficult areas:

₹1.30 lakh

The cost-sharing pattern in the framework is:

- Plain areas: **60:40** between Centre and State

- North-Eastern Region, Himachal Pradesh, Uttarakhand and J&K: **90:10**
 - Other UTs: **100% Central Government**
-

6. Toilet Assistance

The framework provides for **₹12,000 assistance for toilet construction** through convergence with:

- Swachh Bharat Mission–Gramin
 - MGNREGS
 - Other dedicated funding sources
-

7. MGNREGS Support

A PMAY-G beneficiary is entitled to:

90/95 person-days of unskilled wage labour

through MGNREGS for house construction, in addition to the PMAY-G unit assistance.

8. Other Convergence Benefits

PMAY-G is designed to converge with other Government schemes for:

- Toilet
 - Drinking water
 - Electricity
 - LPG
 - Clean cooking fuel
 - Solid waste management
 - Liquid waste management
 - Other basic amenities
-

9. Beneficiary Selection

Beneficiary identification in the 2022 framework is based on:

- SECC 2011 housing deprivation data
- Awaas+ lists

- Exclusion criteria
- Gram Sabha verification
- Appellate process

Eligible households include:

- Houseless households
- Households living in zero-room kutcha houses
- One-room kutcha houses
- Two-room kutcha houses

subject to the applicable exclusion process.

10. Priority Criteria

The framework gives priority based on housing deprivation.

The major deprivation indicators include:

1. No adult member between 16–59 years
2. Female-headed household with no adult male aged 16–59
3. No literate adult above 25 years
4. Household with a person with disability and no able-bodied adult
5. Landless household mainly dependent on manual casual labour

Higher deprivation scores receive higher priority.

11. Special Priority in Case of Tie

If households have the same deprivation score, priority can be given to:

- Widows
 - Next-of-kin of defence/paramilitary/police personnel killed in action
 - Households with members suffering from leprosy or cancer
 - People living with HIV
 - Single-girl-child households
 - Scheduled Tribes and Other Traditional Forest Dwellers under the Forest Rights Act
 - Transgender persons
-

12. Gram Sabha Role

The Gram Sabha verifies the beneficiary list.

A household can be removed if:

- Incorrect information was used
 - It has constructed a pucca house
 - It has already received a house under another Government scheme
 - It has permanently migrated
 - The beneficiary has died without a successor
-

13. Grievance Redressal

After the list is publicized:

- It is displayed for at least **7 days**.
 - A **15-day complaint window** is provided.
 - Complaints are examined by the Competent Authority.
 - Cases can go to a District-level **three-member Appellate Committee**.
 - The final Permanent Wait List is published.
-

14. Permanent Wait List

The Permanent Wait List contains eligible households in priority order.

The list is maintained in **AwaasSoft**.

Households can later be removed if they become ineligible, for example by:

- Constructing a pucca house themselves
 - Receiving another housing benefit
 - Death
 - Permanent migration
 - Other applicable reasons
-

15. Annual Select List

Each year, targets are distributed to States, Districts and Gram Panchayats.

The Annual Select List starts from the highest-ranked households in the approved Permanent Wait List and is restricted according to the annual target.

16. House Construction

The beneficiary generally constructs the house personally or under their supervision.

The State should **not engage contractors** for construction of PMAY-G houses.

For elderly, infirm or disabled beneficiaries who cannot construct independently, special support can be provided through the rural mason training/support system and local functionaries.

17. Sanction Order

After beneficiary registration and bank-account validation:

- A sanction order is generated.
- A unique **PMAY-G ID** is created.
- A **QR code** is generated.
- Bank details are recorded.
- Nominee details are recorded.
- MGNREGS Job Card details are recorded.
- Field functionary and mason are mapped.

House ownership should generally be:

- In the woman's name, or
- Jointly in the name of husband and wife.

Exceptions apply for widowers, unmarried/separated persons and transgender beneficiaries.

18. First Instalment

The first instalment should be released electronically to the beneficiary's registered:

- Bank account, or
- Post Office account

within **7 working days** from the sanction order.

19. Construction Completion

The framework specifies that the house should normally be completed within:

12 months from the date of sanction.

20. Instalments

The first instalment is mandatory at the time of sanction.

The remaining instalments are linked to construction stages such as:

- Foundation
- Plinth
- Windowsill
- Lintel
- Roof casting
- Completion

The State/UT maps the instalments to these stages in AwaasSoft.

21. Beneficiary Support

PMAY-G provides support through:

- Beneficiary sensitization
- House design options
- Disaster-resilient designs
- Rural mason training
- Mason certification
- Construction material support
- Support for elderly beneficiaries
- Support for persons with disabilities
- Facilitation of institutional loans

The framework mentions facilitation of a loan of up to **₹70,000** for willing beneficiaries.

22. Rural Mason Training

The Government introduced **Rural Mason Training (RMT)** to improve construction quality.

The initiative is supported by the National Skill Development Corporation, and training data is maintained through the Skill India system.

23. House Designs

Beneficiaries are provided with a range of house design options.

The designs consider:

- Local climate
 - Local construction materials
 - Disaster resilience
 - Appropriate technology
 - Construction cost
 - Green housing
-

24. AwaasSoft

AwaasSoft is the PMAY-G web-based MIS/e-governance system.

It handles important activities such as:

- Beneficiary identification
- Target setting
- Fund release
- Sanction orders
- Construction monitoring
- Assistance release
- Scheme transactions

The 2022 document gives **pmayg.nic.in** as the portal URL.

25. AwaasApp

AwaasApp is the mobile application used for monitoring construction.

It supports:

- Geo-tagged photographs
- Date/time-stamped photographs

- Construction progress
 - Quality monitoring
 - Real-time evidence-based monitoring
-

26. PFMS and DBT

Payments are made electronically to beneficiary bank/Post Office accounts.

The framework uses:

AwaasSoft → PFMS → DBT → Beneficiary account

This helps maintain transparency and track fund transfers.

27. Monitoring

PMAY-G uses multiple monitoring mechanisms:

- Government of India monitoring
- State/UT monitoring
- District monitoring
- Block-level inspection
- AwaasApp
- Performance dashboards
- National Level Monitors
- DISHA Committees
- Social Audit
- Community monitoring
- C&AG audit

The framework specifies that Block-level officers should inspect, as far as possible, **10% of houses during construction**, while District-level officers should inspect **2%**.

28. Social Audit

Social Audit is a continuous process involving:

- Public participation
- Public vigilance

- Verification of implementation
- Accountability

It should be conducted in every Gram Panchayat **at least once a year**.

29. Green Housing

The framework has a complete chapter on **Greening PMAY-G**.

It covers:

- Green buildings
- Green construction materials
- Green technologies
- Climate suitability
- Energy efficiency
- Disaster resilience
- Promotion of green housing

States/UTs may create their own incentives for green construction and may construct demonstration houses using green technologies.

30. Major Chapters in the PDF

The complete PDF is organised into:

1. History of Rural Housing Programme in India
2. Key Features of PMAY-G
3. Financial Arrangement and Targets
4. Identification and Selection of Beneficiaries
5. Construction of House
6. Beneficiary Support Services
7. Implementation and Support Mechanism
8. Convergence
9. Reporting and Monitoring Performance
10. Fund Management and Release
11. Special Projects

12. Grievance Redressal
13. e-Governance in PMAY-G
14. Greening PMAY-G
15. Annexures

The PDF also contains detailed annexures covering beneficiary exclusion, instalment checklists, fund proposals, utilisation certificates, death/migration cases, social audit, rural mason training, Awaas+ target fixing and sanction, muster rolls and penalties.

31. FAQs for Your RAG Knowledge Base

These are **generated from the uploaded PDF**, not copied from an official FAQ.

1. What is PMAY-G?

PMAY-G is the Pradhan Mantri Awaas Yojana–Gramin, a rural housing programme that provides assistance for construction of pucca houses with basic amenities to eligible rural households.

2. When was PMAY-G implemented?

PMAY-G was implemented from **1 April 2016** and launched on **20 November 2016**.

3. Who is PMAY-G meant for?

It is meant for eligible rural houseless households and households living in kutchha or dilapidated houses, subject to the applicable eligibility and exclusion criteria.

4. What is the minimum house size?

The minimum house size is **25 square metres**, including a hygienic cooking area.

5. How much financial assistance is provided?

The framework provides ₹1.20 lakh in plain areas and ₹1.30 lakh in specified hill, North-Eastern and difficult areas.

6. Is toilet assistance available?

Yes. ₹12,000 toilet assistance is provided through convergence with SBM-G, MGNREGS or another dedicated funding source.

7. Is MGNREGS support available?

Yes. Beneficiaries are entitled to 90/95 person-days of unskilled labour through MGNREGS.

8. How are beneficiaries selected?

Beneficiaries are identified using housing deprivation information from SECC 2011 and Awaas+ lists, followed by verification and the applicable exclusion process.

9. Does the Gram Sabha verify beneficiaries?

Yes. The Gram Sabha verifies the facts used to identify eligible households.

10. Can a person who already has a pucca house receive PMAY-G?

A household that has constructed a pucca house or otherwise becomes ineligible under the applicable exclusion criteria should not receive PMAY-G assistance.

11. What happens if a beneficiary permanently migrates?

The beneficiary can be removed from the Permanent Wait List according to the applicable migration procedure.

12. What happens if the beneficiary dies?

PMAY-G has a separate procedure for dealing with death of beneficiaries and determining the appropriate successor/action.

13. Can a beneficiary complain about selection?

Yes. A grievance and appellate mechanism is provided for complaints regarding deletion or ranking.

14. How long is the complaint period?

The framework provides a **15-day window** for complaints after the verified list is publicized for seven days.

15. Who constructs the PMAY-G house?

The beneficiary constructs the house themselves or gets it constructed under their supervision.

16. Can the State appoint a contractor?

The framework says that States should not engage contractors for construction of PMAY-G houses.

17. How quickly should the house be completed?

The framework specifies completion within **12 months from sanction**.

18. When is the first instalment released?

The first instalment should be released electronically within **7 working days** of the sanction order.

19. What construction stages are used for later instalments?

The framework lists stages such as foundation, plinth, windowsill, lintel, roof casting and completion.

20. What is AwaasSoft?

AwaasSoft is the web-based PMAY-G MIS used for beneficiary, sanction, fund, construction and monitoring activities.

21. What is AwaasApp?

AwaasApp is the mobile application used for construction monitoring, including geo-tagged and time-stamped photographs.

22. How are beneficiaries paid?

Assistance is transferred electronically to the registered bank/Post Office account.

23. Is Aadhaar used?

The framework provides for Aadhaar-linked electronic payments with beneficiary consent.

24. Can beneficiaries get a housing loan?

A willing beneficiary can be facilitated to obtain institutional finance of up to ₹70,000 under the 2022 framework.

25. Is technical assistance provided?

Yes. Beneficiaries receive technical guidance, house-design options, construction-material guidance and support from trained rural masons.

26. What is Rural Mason Training?

It is a programme for training and certifying rural masons so that PMAY-G houses are constructed safely and with better quality.

27. What is convergence under PMAY-G?

Convergence means connecting PMAY-G beneficiaries with other Government schemes for toilets, water, electricity, LPG, waste management, MGNREGS labour and other amenities.

28. Is PMAY-G monitored?

Yes. Monitoring is done through AwaasSoft, AwaasApp, field inspections, Government officers, National Level Monitors, DISHA Committees, audits and Social Audit.

29. What is Social Audit?

Social Audit is a participatory process where the community verifies the implementation and accountability of PMAY-G.

30. Does PMAY-G promote green houses?

Yes. The framework promotes green materials, technologies, disaster-resilient designs and environmentally suitable construction.

Pradhan Mantri Shram Yogi Maandhan Yojana

Pradhan Mantri Shram Yogi Maandhan is a government scheme meant for old age protection and social security of Unorganized workers.

Eligibility

- For Unorganized Workers (UW)
- Entry Age between 18 to 40 years
- Monthly Income up to Rs 15000/-

Features

- Assured Pension of Rs. 3000/- month
- Voluntary and Contributory Pension Scheme
- Matching Contribution by the Government of India

National Pension Scheme for Traders

National Pension Scheme for Traders is a government scheme meant for old age protection and social security of Shopkeeper's, Retail traders and Self Employed persons.

Eligibility

- For self employed shop owners, retail owners and other vyaparis
- Entry Age between 18 to 40 years
- Annual turnover should not exceed Rs 1.5 crore

Features

- Assured Pension of Rs. 3000/- month
- Voluntary and Contributory Pension Scheme
- Matching Contribution by the Government of India

PM-SYM

Pradhan Mantri Shram Yogi Maandhan is a government scheme meant for old age protection and social security of Unorganized Workers (UW).

Unorganized Workers (UW) are mostly engaged as home based workers, street vendors, mid-day meal workers, head loaders, brick kiln workers, cobblers, rag pickers, domestic workers, washer men, rickshaw pullers, landless laborers, own account workers, agricultural workers, construction workers, beedi workers, handloom workers, leather workers, audio-visual workers or workers in similar other occupations. There are approximately 42 crore such Unorganized workers in the country.

It is a voluntary and contributory pension scheme under which the beneficiary would receive a minimum assured pension of Rs 3000/- per month after attaining the age of 60 years and if the beneficiary dies, the spouse of the beneficiary shall be entitled to receive 50% of the pension as family pension. Family pension is applicable only to spouse.

- On the maturity of the scheme, an individual will be entitled to obtain a monthly pension of Rs. 3000/-. The pension amount helps pension holders to aid their financial requirements.
- The scheme is a tribute to the workers in the Unorganized sectors who contribute around 50 per cent of the nation's Gross Domestic Product (GDP).
- The applicants between the age group of 18 to 40 years will have to make monthly contributions ranging between Rs 55 to Rs 200 per month till they attain the age of 60.
- Once the applicant attains the age of 60, he/ she can claim the pension amount. Every month a fixed pension amount gets deposited in the pension account of the respective individual.

Eligibility Criteria

- For Unorganized Worker (UW)
- Entry age between 18 to 40 years
- Monthly Income Rs 15000 or below

Should not be

- Engaged in Organized Sector (member of EPFO/NPS/ESIC)
- An income tax payer

He/ She should possess

- Aadhaar card
- Savings Bank Account / Jan Dhan account number with IFSC

FAQs of PM-SYM

Q1 What is Pradhan Mantri Shram Yogi Maandhan Yojana?

Pradhan Mantri Shram Yogi Maandhan is a voluntary and contributory Pension Scheme for Unorganized Workers for entry age of 18 to 40 years with monthly income of Rs.15000 or less.

Q2 Who can subscribe this Scheme?

Any unorganized worker in the age group of 18-40 years, whose job is casual in nature, such as home based workers, street vendors, head loaders, brick kiln, cobblers, rag pickers, domestic workers, washer-men, Rickshaw Pullers, Rural landless labourers, own account workers,

agricultural workers, construction workers, beedi workers, handloom workers, leather workers, etc. with monthly income less than Rs 15,000/-. The worker should not be covered under any statutory social security schemes such as National Pension Scheme (NPS), Employees' State Insurance Corporation scheme, Employees' Provident Fund Organization Scheme and is not an income tax payee.

Q3 What is the benefit of this Scheme?

If any Unorganized worker subscribes the scheme and has paid regular contribution up to the age of 60 years, he will get a minimum monthly pension of Rs. 3000/-. After his/her death, spouse will receive a monthly family pension which is 50 % of the pension.

Q4 How many years the beneficiary will contribute?

Once the beneficiary joins the scheme at the entry age between 18-40 years, he has to contribute till he attains the age 60 years.

Q5 How much pension would be received under the Scheme? At what age?

Under the Scheme, minimum pension is of Rs. 3000/- per month shall be paid. This pension will start on attaining the age of 60 years of the Beneficiary.

Q6 Who are not entitled to join this Scheme?

Under the scheme any worker who is covered under any statutory Social Security Scheme such as NPS, ESIC, EPFO and an income tax payee is not entitled to join the scheme.

Q7 Whether I have to give proof of my date of birth and income?

No separate proof of age or the income has to be given. Self Certification and providing of the Aadhaar number will be the basis for enrollment. However in case of any false declaration, may attract appropriate penalty.

Q8 What is the mode of contribution?

Primarily, the mode of contribution is on monthly basis by auto-debit. However, it will also have provisions of quarterly, half yearly and yearly contribution. First contribution is to be paid in cash at Common Service Centre.

Q9 Will there be any administrative cost?

There will be no administrative cost to the beneficiary as it is a purely Social Security Scheme of Government of India.

Q10 Whether nomination facility is there?

Yes, under the scheme, nomination facility is available. Beneficiary can nominate any one as nominee under the scheme.

Q11 What happens in case of death before the start of pension?

In such an event, if a beneficiary has given regular contribution and died due to any cause, his/her spouse will be entitled to join and continue the scheme subsequently by payment of

regular contribution for the remaining period. On completion of the contribution period, the spouse will receive a monthly pension of Rs. 3000/-. Alternatively, if the spouse so desires, the amount of the member's contribution will be returned back to his/her nominee with an interest equivalent to saving bank rates interest.

Q12 Are there any educational qualifications prescribed for becoming a Member of Pradhan Mantri Shram Yogi Maandhan?

No. There are no minimum educational qualifications necessary for joining the Scheme.

Q13 Whether any nomination facility (other than spouse) is available after the death of the beneficiary?

Spouse, if living, will automatically be the beneficiary of family pension on information of death and production of death certificate.

Q14 What are the documents that are to be submitted at the enrollment Centre?

The beneficiary has to provide Aadhar card, savings bank passbook and a Self-Certified form along with consent form for auto-debit facility.

Q15 Is the beneficiary required to pay the monthly contribution till the age of 60 years?

Yes. After joining the Scheme, the beneficiary has to pay the prescribed monthly contribution till the age of 60 years.

Q16 What happens if the worker joins this Scheme as an Unorganized worker and he joins the organized sector, gets enrolled under EPFO and again comes back to the Unorganized sector, what would be the modalities for the same?

In case the worker moves from the unorganized sector to the organized sector, in such an event, the beneficiary can continue with scheme however the Govt. contribution will stop and the member will have to pay additional amount equal to the Govt. Share. Alternatively, he may withdraw his contribution with interest.

BOCW – Building and Other Construction Workers

About BOCW

The **Building and Other Construction Workers (BOCW)** framework is intended to protect the safety, health, welfare and social security of workers employed in the construction sector.

The Government of India originally enacted:

- **The Building and Other Construction Workers (Regulation of Employment and Conditions of Service) Act, 1996**
- **The Building and Other Construction Workers Welfare Cess Act, 1996**

These laws provided the framework for regulating employment conditions, safety, health and welfare of construction workers. ([Apps Labour](#))

The BOCW framework is implemented mainly through **State/UT Building and Other Construction Workers Welfare Boards**. These Boards register eligible workers and provide welfare benefits from the welfare fund. ([Labour](#))

BOCW MIS Portal

The Ministry of Labour & Employment operates the **BOCW MIS Portal**.

The portal is a web-based application used to store and manage BOCW-related information and forms from States/UTs. The Ministry's Apps portal describes BOCW as a web-based application for storing information about BOCW form-related data from all States/UTs. ([Apps Labour](#))

Official BOCW MIS Portal:

[BOCW MIS Portal](#)

The portal provides links for:

- BOCW Login
- ISMW Login
- Welfare Commissioner Login

It also provides technical support through the Ministry's BOCW helpdesk. ([Apps Labour](#))

Ministry

The BOCW framework is associated with the:

Ministry of Labour & Employment Government of India

The Ministry is responsible for the central policy and legislative framework, while State/UT authorities and Welfare Boards implement worker registration and welfare schemes. ([Labour](#))

What is a Building and Other Construction Worker?

A building worker is a person employed to perform manual, technical, skilled, semi-skilled or unskilled work connected with building or other construction work.

Construction work covers activities such as:

- Buildings
- Roads
- Bridges
- Railways
- Tunnels
- Dams
- Canals
- Irrigation works
- Drainage works
- Water works
- Power generation, transmission and distribution
- Pipelines
- Towers
- Communication infrastructure
- Other notified construction activities

The current OSH Code contains the updated definition of building or other construction work and building worker. ([Labour](#))

Major Construction Activities Covered

The BOCW framework covers workers involved in activities such as:

- Construction of buildings
- Alteration and repair
- Maintenance
- Demolition
- Roads and highways

- Bridges and flyovers
- Railways
- Airports
- Irrigation projects
- Drainage
- Flood-control works
- Dams
- Canals
- Reservoirs
- Water works
- Power infrastructure
- Oil and gas installations
- Electrical lines
- Communication infrastructure
- Tunnels
- Pipelines
- Towers

The exact scope is defined in the applicable legislation. ([India Code](#))

Main Objectives

The BOCW framework aims to:

1. Protect construction workers from unsafe working conditions.
2. Improve occupational safety and health.
3. Provide welfare and social security benefits.
4. Support workers and their families.
5. Provide financial assistance during difficult situations.
6. Support education of workers' children.
7. Provide medical and maternity-related support.
8. Provide pension and old-age support.
9. Provide assistance in case of accident or death.

10. Support skill development.
11. Provide housing-related assistance.
12. Improve working conditions in the construction sector.

The Ministry specifically lists life and disability cover, health and maternity cover, education assistance, transit housing, skill development, awareness programmes and pension among the welfare areas. ([Labour](#))

BOCW Welfare Boards

State/UT Governments establish **Building and Other Construction Workers Welfare Boards**.

The Boards are responsible for:

- Registration of eligible construction workers
- Renewal of registration as applicable
- Maintaining beneficiary records
- Managing the welfare fund
- Implementing welfare schemes
- Providing eligible benefits
- Monitoring beneficiary welfare
- Supporting social-security measures

The Central framework gives the Boards responsibility for administering welfare schemes for registered workers. ([India Code](#))

Who Can Register?

Under the original BOCW Act framework, a worker was eligible when the worker:

- Had completed **18 years of age**
- Had not completed **60 years of age**
- Had worked in building or construction work for at least **90 days during the preceding 12 months**

The application was made to the officer authorised by the Welfare Board. ([India Code](#))

Important: The exact registration procedure, documents, contribution, renewal and benefit conditions can vary according to the applicable State/UT rules and current framework.

Worker Registration

Under the earlier BOCW framework, the worker submits an application to the authorised registering officer.

After verification, the worker is registered as a beneficiary.

The original framework also provided for an identity card containing the worker's photograph and details of construction work. ([India Code](#))

The Ministry has also promoted simplified registration mechanisms such as:

- Self-certification
- Facilitation centres
- Registration camps
- Local-level registration
- Unique identification numbers
- Easier renewal
- Updating worker records

([Labour](#))

Welfare Benefits

BOCW Welfare Boards may provide different welfare schemes to registered construction workers.

Depending on the applicable State/UT scheme, benefits can include:

1. Life and Disability Assistance

Financial support may be provided in cases of:

- Accidental death
- Disability
- Other qualifying circumstances

2. Medical Assistance

Support may be available for:

- Medical treatment
- Healthcare
- Hospital-related expenses
- Serious illnesses

3. Maternity Assistance

Eligible women workers may receive maternity-related benefits according to the State scheme.

4. Education Assistance

Financial assistance may be provided for the education of children of registered construction workers.

5. Pension

Welfare Boards may provide pension/old-age assistance according to applicable State rules.

6. Housing Assistance

Schemes may provide:

- Housing assistance
- Housing loans
- Housing-related financial support

7. Skill Development

Workers may receive support for:

- Skill training
- Skill development
- Awareness programmes
- Employment-related training

8. Transit Housing

Support may be provided for temporary/transit accommodation where applicable.

9. Accident Assistance

Financial assistance can be provided to registered workers or their families in qualifying accident cases.

The Ministry has specifically identified these welfare areas in its BOCW information. ([Labour](#))

BOCW Welfare Fund

The welfare benefits are financed through the **Building and Other Construction Workers Welfare Fund**.

Under the earlier framework, the fund was supported mainly through construction cess.

The current **Code on Social Security, 2020** contains a dedicated chapter on:

Social Security and Cess in respect of Building and Other Construction Workers

It includes:

- Section 100 – Levy and collection of cess
- Section 101 – Interest for delayed payment
- Section 102 – Power to exempt from cess
- Section 103 – Self-assessment
- Section 104 – Penalty for non-payment
- Section 105 – Appeal
- Section 106 – Registration of building workers
- Section 107 – Cessation as beneficiary
- Section 108 – Building and Other Construction Workers' Welfare Fund and its application

([Labour](#))

BOCW Cess

The BOCW cess is collected on the cost of construction to generate resources for construction-worker welfare.

The Ministry has stated that the Government has notified the cess at **1% of the cost of construction**. ([Labour](#))

The money collected is used for welfare and social-security measures for registered construction workers and their families.

Safety and Health

Safety and health are major parts of the BOCW framework.

The current **Occupational Safety, Health and Working Conditions Code, 2020** contains a dedicated Part for:

Building or Other Construction Workers

The Code covers matters including:

- Occupational safety
- Health
- Working conditions
- Welfare facilities

- Safety standards
- Inspection
- Employer responsibilities
- Protection against unsafe work
- Special provisions for construction work

The Code came into force on **21 November 2025**. ([India Code](#))

Current Legal Position — Important

For your chatbot, **do not present the 1996 BOCW Act as the current standalone law without qualification.**

The current structure is:

BOCW employment, safety and working conditions → Occupational Safety, Health and Working Conditions Code, 2020

BOCW welfare/cess/social security → Code on Social Security, 2020

The Ministry has explicitly stated that the 1996 BOCW Act and BOCW Welfare Cess Act were subsumed into these two Labour Codes. ([Labour](#))

State-Level Benefits

This is very important for your RAG.

BOCW is not one single fixed-benefit scheme across India.

The Central framework provides the legal structure, but actual welfare schemes, amounts, eligibility conditions, application process and documents can differ between States/UTs.

For example, a State Welfare Board may have separate schemes for:

- Marriage assistance
- Education scholarships
- Medical assistance
- Pension
- Accident assistance
- Death assistance
- Maternity benefits
- Housing

- Tool/equipment assistance
- Skill training

Therefore, your chatbot should ask:

“Which State/UT are you asking about?”

before giving a specific benefit amount or State-specific application procedure.

Central Government Support

The Government has also directed States/UTs to use BOCW welfare funds effectively for social-security benefits.

The Ministry has cited convergence with schemes such as:

- **PM-JAY / Ayushman Bharat** — health insurance
- **PMJJBY** — life insurance
- **PMSBY** — accident insurance
- **PM-SYM** — pension
- Other Central/State welfare schemes

([Labour](#))

BOCW and Migrant Workers

Construction workers can include migrant workers.

The broader labour framework also contains provisions relating to inter-State migrant workers.

The **OSH Code, 2020** has a separate Part for inter-State migrant workers and includes provisions relating to:

- Journey allowance
- PDS benefits
- Helpline
- Registration
- Worker information
- Protection and welfare

([India Code](#))

BOCW MIS Portal Services

The official BOCW MIS portal provides access to:

- BOCW MIS
- BOCW Login
- ISMW Login
- Welfare Commissioner Login
- Technical support
- Feedback/complaint support

([Apps Labour](#))

Technical support email:

helpdesk-bocw[dot]ismw[at]gov[dot]in ([Apps Labour](#))

BOCW — 20 FAQs

Q1. What is BOCW?

BOCW means **Building and Other Construction Workers**. It is the Government framework for protecting the safety, health, working conditions and welfare of construction workers.

Q2. What is the main purpose of BOCW?

The main purpose is to provide construction workers with safer working conditions and access to welfare and social-security benefits such as medical, education, accident, disability, maternity, pension and housing support.

Q3. Which Ministry is responsible for BOCW?

The **Ministry of Labour & Employment, Government of India** is responsible for the central BOCW legislative and policy framework.

Q4. Who implements BOCW welfare schemes?

State and Union Territory **Building and Other Construction Workers Welfare Boards** implement registration and welfare schemes for eligible construction workers.

Q5. Who can register as a BOCW beneficiary?

Under the original BOCW Act framework, a worker aged **18 to below 60 years** who worked in construction for at least **90 days during the preceding 12 months** could register, subject to the applicable rules. ([India Code](#))

Q6. What types of workers are covered?

Workers involved in building and construction activities such as construction, repair, maintenance, demolition, roads, bridges, railways, dams, canals, tunnels, pipelines, power infrastructure and other covered construction work may fall within the framework.

Q7. What benefits can a registered BOCW worker receive?

Depending on the State/UT scheme, benefits may include accident assistance, life/disability support, medical assistance, maternity benefits, education assistance, pension, housing support, skill development and other welfare benefits.

Q8. Is education assistance available?

Yes. Welfare Boards can provide financial assistance for the education of children of registered construction workers, subject to the applicable State/UT scheme.

Q9. Is medical assistance available?

Yes. Medical and health-related welfare benefits can be provided to eligible registered construction workers according to the applicable Welfare Board scheme.

Q10. Is pension available?

Yes. Pension/old-age assistance is among the welfare measures that Welfare Boards may provide, subject to the applicable rules and eligibility conditions.

Q11. Is maternity assistance available?

Yes. Maternity-related welfare support is included among the welfare measures available under the BOCW framework, subject to State/UT rules.

Q12. What happens if a registered worker dies in an accident?

The worker's family may receive financial assistance or other applicable benefits from the Welfare Board, subject to the State/UT scheme and required conditions.

Q13. What is BOCW cess?

BOCW cess is a levy collected on the cost of construction to generate funds for the welfare of construction workers. The Government has notified the cess at **1% of construction cost**. ([Labour](#))

Q14. Who manages the BOCW welfare fund?

The State/UT BOCW Welfare Board manages the welfare fund and uses it for eligible welfare and social-security schemes.

Q15. What is the BOCW MIS Portal?

The BOCW MIS Portal is a Government web-based system used to manage and store BOCW-related information and form-related data from States/UTs. ([Apps Labour](#))

Q16. Can a construction worker receive Central Government welfare benefits?

Yes. BOCW workers may also be connected with eligible Central and State welfare schemes. The Ministry has specifically referred to schemes such as PM-JAY, PMJJBY, PMSBY and PM-SYM. ([Labour](#))

Q17. Is BOCW still governed by the 1996 Act?

The 1996 BOCW Act is now part of the historical legal framework. The BOCW employment, safety and working-condition provisions have been subsumed into the **OSH Code, 2020**, which came into force on **21 November 2025**. ([India Code](#))

Q18. Which law currently covers BOCW welfare and cess?

The **Code on Social Security, 2020** contains the current provisions relating to BOCW cess, beneficiary registration and the BOCW Welfare Fund. ([India Code](#))

Q19. Are BOCW benefits the same in every State?

No. Welfare schemes, benefit amounts, documents, renewal requirements and application procedures can vary between State/UT Welfare Boards.

Q20. Where can I get official BOCW information?

You can use the Ministry of Labour & Employment's official BOCW MIS Portal:

[Official BOCW MIS Portal](#)

For the current central legal framework, use:

[India Code — Occupational Safety, Health and Working Conditions Code, 2020](#)

and:

[India Code — Code on Social Security, 2020](#)

BOCW (Building and Other Construction Workers) is a Government framework for the welfare, safety, health and social security of construction workers. State/UT Building and Other Construction Workers Welfare Boards register eligible construction workers and provide welfare benefits such as medical assistance, education support, accident and disability assistance, maternity benefits, pension, housing support and skill development, subject to State/UT rules. The BOCW framework was originally established through the BOCW Acts of 1996. Since 21 November 2025, the employment, safety and working-condition provisions are covered under the Occupational Safety, Health and Working Conditions Code, 2020, while BOCW welfare and cess provisions are covered under the Code on Social Security, 2020. ([Labour](#))

National Social Assistance Programme

About NSAP

National Social Assistance Programme

The National Social Assistance Programme (NSAP) is a welfare programme administered by the Ministry of Rural Development, Government of India. It is implemented across rural and urban areas to provide social assistance to eligible beneficiaries.

Launched on 15 August 1995, the programme is aligned with the Directive Principles of State Policy under the Constitution of India, particularly Article 41, which directs the State to provide public assistance in cases of old age, sickness, disability, and other conditions of need.

NSAP aims to ensure minimum national standards of social assistance, while allowing flexibility to States and Union Territories.

Vision

- Provide dignity and financial security to elderly, widows, and disabled persons
- Ensure social assistance for poor and vulnerable sections of society

Mission

- Deliver regular and reliable pension support to eligible beneficiaries
- Implement schemes efficiently through states with transparency and accountability

Objectives

- Provide financial assistance to BPL elderly, widows, and persons with disabilities.
- Ensure timely disbursement of pensions through Direct Benefit Transfer (DBT).
- Improve access and coverage of social security schemes across the country.
- Strengthen monitoring and ensure transparency using technology.

Scheme-wise Eligibility & Benefits

NSAP comprises key schemes that provide financial and food assistance to eligible beneficiaries.

National Old Age Pension Scheme (IGNOAPS)

Eligibility: : Persons aged 60 years and above

- ₹200 per month (60–79 years)
- o ₹500 per month (80 years and above)

National Widow Pension Scheme (IGNWPS)

Eligibility: Widows aged 40 years and above

- ₹300 per month (40–79 years)
- ₹500 per month (80 years and above)

National Disability Pension Scheme (IGNDPS)

Eligibility: : Persons with severe or multiple disabilities aged 18 years and above

- ₹300 per month (18–79 years)
- ₹500 per month (80 years and above)

National Family Benefit Scheme (NFBS)

Eligibility: On death of the primary breadwinner aged 18–59 years

- One-time financial assistance of ₹20,000

Digital Systems & Service Delivery

Direct Benefit Transfer (DBT)

NSAP delivers financial assistance through the Direct Benefit Transfer (DBT) mechanism.

- Funds are credited directly into beneficiary accounts
- Ensures timely and transparent payments
- Reduces dependency on intermediaries

Digital Life Certificate (DLC)

NSAP facilitates submission of Digital Life Certificates (DLC) for beneficiary verification.

- Enables online life certificate submission
- Reduces need for physical visits
- Supports annual verification

NSAP Management Information System (NSAP-MIS)

A centralized digital system supports:

- Beneficiary data management
- Tracking of processes from identification to disbursement
- Monitoring of implementation across States

Governance & Monitoring

The programme is monitored through periodic reporting, social audits, and review mechanisms to ensure transparency and effective implementation

Yes. The previous version was too short. Since your goal is a **proper NSAP knowledge-base/RAG document**, below is a much more complete version based on the uploaded **25-page NSAP Social Audit Guidelines**, including the detailed SOP, verification fields, records, checklist, reporting, issue categories, and **20 FAQs**.

Source: *National Social Assistance Programme (NSAP) – Social Audit Guidelines*, Ministry of Rural Development. The document has three chapters: NSAP, Social Audit, and Standard Operating Procedure for conducting Social Audit in NSAP.

NATIONAL SOCIAL ASSISTANCE PROGRAMME (NSAP)

Social Audit Guidelines

1. Overview of NSAP

The **National Social Assistance Programme (NSAP)** came into effect on **15 August 1995**.

It was introduced as an important step towards fulfilling the Directive Principles contained in **Article 41 of the Constitution of India**.

NSAP introduced a national policy of social assistance for deprived people belonging to the **Below Poverty Line (BPL)** category.

The programme aims to provide a regular flow of social assistance in addition to benefits already provided by State Governments or benefits that States may provide in the future.

NSAP covers people who require support because of situations such as:

- Old age
- Widowhood
- Disability
- Death of the breadwinner
- Other conditions resulting in lack of basic support

The guidelines cover five major components:

1. Indira Gandhi National Old Age Pension Scheme (IGNOAPS)
 2. Indira Gandhi National Widow Pension Scheme (IGNWPS)
 3. Indira Gandhi National Disability Pension Scheme (IGNDPS)
 4. National Family Benefit Scheme (NFBS)
 5. Annapurna Scheme
-

2. Constitutional Basis

Article 41 of the Constitution of India states that the State shall, within the limits of its economic capacity and development, make effective provision for:

- Right to work
- Right to education
- Public assistance in cases of unemployment
- Old age
- Sickness
- Disablement
- Other cases of undeserved want

The constitutional provision encourages the State to undertake welfare measures, particularly for people who are poor and vulnerable.

It specifically recognises the need to provide assistance to people such as:

- Elderly persons
- Persons with disabilities
- Widows
- Other persons with special needs

Based on this constitutional principle, NSAP was launched as a **Centrally Sponsored Scheme** to provide a basic level of financial support.

3. Components of NSAP

3.1 Indira Gandhi National Old Age Pension Scheme (IGNOAPS)

IGNOAPS provides pension assistance to eligible elderly persons.

According to the uploaded guideline:

- Eligible age starts from **60 years**.
- Persons aged **60 to below 80 years** receive **₹200 per month**.
- Persons aged **80 years and above** receive **₹500 per month**.

The assistance is subject to the applicable BPL and other eligibility conditions.

3.2 Indira Gandhi National Widow Pension Scheme (IGNWPS)

IGNWPS provides pension assistance to eligible widows.

According to the guideline:

- Eligible age starts from **40 years**.
 - Pension is **₹300 per month**.
 - After the beneficiary reaches **80 years**, the pension becomes **₹500 per month**.
-

3.3 Indira Gandhi National Disability Pension Scheme (IGNDPS)

IGNDPS provides pension assistance to eligible persons with disabilities.

According to the guideline:

- Eligible age starts from **18 years**.
 - Pension is **₹300 per month**.
 - After attaining **80 years**, the beneficiary receives **₹500 per month**.
-

4. National Family Benefit Scheme (NFBS)

The **National Family Benefit Scheme (NFBS)** provides one-time financial assistance to a bereaved household following the death of the breadwinner.

According to the guideline:

- Assistance is **₹20,000**.
- The death of the breadwinner should occur when he/she is **more than 18 years and less than 60 years of age**.
- A woman who is a homemaker may also be considered a breadwinner for the purpose of the scheme.
- The benefit is provided to the surviving member of the household who is found, after local enquiry, to be the head of the household.

For the purpose of the scheme, the household may include:

- Spouse
- Minor children
- Unmarried daughters
- Dependent parents

In the case of an unmarried adult who dies, the household may include:

- Minor brothers
- Minor sisters

- Dependent parents
-

5. Annapurna Scheme

The **Annapurna Scheme** aims to provide food security to eligible elderly people who remain uncovered under IGNOAPS.

The guideline provides:

- **10 kg of food grains per beneficiary per month**
 - Food grains may be **wheat or rice**
 - The food grains are provided to meet the food-security requirement of eligible uncovered elderly persons.
-

6. Eligibility Under NSAP

According to the uploaded Social Audit Guidelines, assistance under the NSAP sub-schemes is applicable to persons belonging to the **BPL category**.

Different components have additional eligibility requirements.

These requirements relate to:

- Age
- Widow status
- Disability
- Household status
- Death of breadwinner
- Existing pension coverage
- Income/BPL conditions

The Social Audit process specifically checks whether beneficiaries satisfy the relevant eligibility criteria.

7. Central Assistance to States and UTs

Central assistance under NSAP is determined using the BPL population of the State/UT.

The guideline states that the numerical ceiling for each State/UT was determined by considering:

- Census 2001 population figures

- Poverty ratio determined by the Planning Commission

The estimated number of beneficiaries for each year is determined using reports from the previous year submitted by the State Government.

If the number of deserving beneficiaries is higher than the number determined for central assistance, the State Government may provide assistance to additional beneficiaries using its **own resources**.

8. What is Social Audit?

A **Social Audit** is an audit conducted by the people, especially people who are affected by or are intended beneficiaries of a government scheme.

It is facilitated by the Government but involves active participation of the community.

Social Audit involves comparing:

Official records + Actual ground reality + Community verification

It checks:

- Whether the scheme was properly implemented
- Whether the intended beneficiaries received the benefits
- Whether money was spent properly
- Whether the programme made a difference to people's lives
- Whether there are irregularities
- Whether beneficiaries face problems
- Whether grievances are being addressed

The findings are presented publicly so that the community can examine and question them.

9. Social Audit in NSAP

The NSAP guidelines highlighted Social Audit as a mechanism for promoting:

- Transparency
- Accountability
- People's participation

The Social Audit Guidelines formalise the process and provide a framework for conducting NSAP Social Audits.

10. Objectives of NSAP Social Audit

The major objectives are:

1. Awareness generation

People should understand the provisions of NSAP and their entitlements.

2. Proactive disclosure

Information related to NSAP should be made available to the public.

3. Beneficiary verification

The actual beneficiaries should be verified against official records.

4. Identification of ineligible beneficiaries

The Social Audit should identify people who are receiving benefits even though they do not satisfy eligibility criteria.

5. Identification of eligible beneficiaries

People who satisfy NSAP/State eligibility criteria but are not receiving assistance should be identified.

6. Grievance recording

Social Audit should provide a platform for people to submit complaints and grievances.

7. Identification of implementation problems

Problems faced by beneficiaries in receiving NSAP benefits should be identified and reported.

11. Administrative Structure

11.1 Social Audit Facilitation Unit

States are expected to have an independent **Social Audit Unit (SAU)**.

The existing MGNREGS Social Audit Unit is adopted for conducting Social Audit of NSAP.

The SAU facilitates the complete Social Audit process.

11.2 Governing Body

Each SAU has a Governing Body.

The Governing Body oversees:

- Functioning of the SAU
- Performance of Social Audits
- Social Audit-related activities

11.3 Staffing

Existing SAU resources are used to make the process cost-effective.

If there is a shortage of human resources, additional people may be engaged within available funds.

Trained **Self Help Group (SHG) women** may also be selected as resource persons.

11.4 Payment to Resource Persons

The State Social Audit Unit is authorised to make payments directly into the bank accounts of resource persons deployed for NSAP Social Audit.

11.5 Training and Capacity Building

NIRD&PR is responsible for organising training programmes for SAU resource persons involved in NSAP Social Audit.

12. Funds for Social Audit

According to the guidelines, funds for Social Audit are released from the provision for **3% administrative expenses**.

To ensure uniform funding, at least **0.5% of the total State allocation** is earmarked exclusively for NSAP Social Audits.

This is equivalent to **one-sixth of the administrative allocation**.

If the requirement is higher, the State should provide additional funds from its administrative budget.

Release of funds

The annual allocation is released in **two instalments**.

- First instalment = **50% of annual allocation**
- SAU must submit a Utilisation Certificate for at least **60% of funds released in the previous instalment** to claim the subsequent instalment.
- Subsequent release requires production of an **audited annual statement of accounts**.

The Utilisation Certificate submitted by States to the Ministry of Rural Development should include details of transfers made to the SAU.

13. Social Audit of State Contributions

The guidelines suggest that State Governments provide additional financial support to Social Audit Units.

This enables Social Audit of:

- State contribution to existing NSAP beneficiaries
- Other State social assistance schemes

This can be carried out along with the Social Audit of NSAP.

14. Social Audit Calendar

The Social Audit Unit should integrate NSAP Social Audits into the annual calendar prepared for MGNREGA.

The calendar should:

- Be prepared at the beginning of the year
 - Be communicated to District Magistrates/Collectors in advance
 - Be proactively disclosed in the public domain
 - Be approved by the Governing Body before implementation
-

15. Frequency of Social Audit

Social Audit under NSAP should be conducted by the:

- Gram Sabha
- Ward Committee

The guidelines state that Social Audit should be conducted **at least once every six months**.

Where resources are insufficient, the Director of the SAU should undertake risk assessment and select Gram Panchayats appropriately.

However, the guidelines aim to ensure that **every Gram Panchayat is covered at least once a year**.

16. Special Audits and Pilot Audits

The Ministry of Rural Development may commission a Social Audit in specific areas where:

- Specific complaints are received
- Specific information indicates a problem
- Social Audit findings need validation

Such audits may be conducted by **independent agencies**.

17. Provision of Records

The relevant implementing authority must provide information to the Social Audit Unit **at least 15 days before the Social Audit.**

Authorities may include:

- Gram Panchayat
- Ward
- Municipality
- Block
- District Officer

Information should include:

- Beneficiary names
- Addresses
- Mode of pension disbursement
- Amount of pension disbursed
- Other relevant beneficiary information

18. 100% Beneficiary Verification

Resource persons deployed by the Social Audit Unit should conduct **100% verification** of entries relating to NSAP beneficiaries in the Gram Panchayat.

This means the audit should not simply sample a few beneficiaries.

The aim is to verify every beneficiary listed in the records.

19. Group Discussions

Resource persons should conduct:

- Village meetings
- Community meetings
- Mohalla meetings
- Group discussions

These meetings are used to:

- Disclose scheme information
- Explain beneficiary rights

- Discuss scheme implementation
 - Collect complaints
 - Collect grievances
 - Identify ineligible beneficiaries
 - Identify vulnerable people who need assistance but are not receiving it
-

20. Grievance Registration

Every grievance or complaint received during Social Audit should be:

1. Recorded in writing.
2. Given a dated receipt to the person submitting it.
3. Forwarded to the implementing agency.

This creates a record that the grievance was formally submitted.

21. Gram Sabha / Ward Sabha

A **Gram Sabha/Ward Sabha** must be convened to discuss Social Audit findings.

The meeting should review:

- Transparency
- Accountability
- Beneficiary rights
- Beneficiary entitlements
- Proper utilisation of funds
- Social Audit findings
- Complaints
- Irregularities
- Action taken on previous findings

The Social Audit team publicly reads out its findings.

Implementing staff from the Gram Panchayat, Block, Ward or Municipality should also be present.

Participants should have the opportunity to:

- Ask questions

- Obtain information
- Examine records
- Verify information

The **Action Taken Report from the previous Social Audit** should be read at the beginning of each Social Audit meeting.

Minutes of the meeting should be recorded by an educated person who is not associated with scheme implementation.

The minutes should be:

- Signed by participants
- Sent to the District Magistrate/Collector

22. Social Audit Reports

Social Audit reports should:

- Be prepared in the local language.
- Be available for public viewing at the Gram Panchayat.
- Be uploaded in the public domain by the SAU preferably within **48 hours**.
- In any case, be uploaded no later than **one week after completion of the Social Audit**.

After approval by the Gram Sabha/Ward Sabha, the report should be submitted to:

- District Administration
- State Social Audit Unit

This should be done within **7 days**.

Social Audit findings should also be entered into the **Social Audit MIS** for tracking findings and action taken.

23. Action Taken Report (ATR)

The State Government is responsible for taking follow-up action on Social Audit findings in a **time-bound manner**.

Within **one month of the Gram Sabha/Ward Sabha**, the District Administration should submit the **Action Taken Report (ATR)** to State authorities.

A copy should also be provided to the Social Audit Unit.

Action taken details should be entered into the Social Audit MIS.

24. Verification of Previous ATR

During the next Social Audit, resource persons should verify whether the actions promised in the previous ATR were actually taken.

At the beginning of the next Gram Sabha/Ward Sabha:

1. Previous ATR is presented.
2. Findings from field verification are presented.
3. Current Social Audit findings are then presented.

This creates a continuous follow-up cycle.

25. Periodic Review

Nodal officers responsible for NSAP implementation at different levels should conduct a **quarterly review**.

The review should examine:

- Social Audit findings
 - Status of action taken
 - Progress in resolving issues
 - Actions by implementing agencies
-

26. Reporting Structure

Social Audit findings and ATRs should be shared with:

State level

Social Audit Unit Governing Body

Ministry level

Ministry of Rural Development

National level

National Social Assistance Advisory Committee

The State Government should submit a consolidated statement of Social Audit findings and ATRs to the Ministry of Rural Development **quarterly**.

The National Social Assistance Advisory Committee periodically discusses Social Audit reports and ATRs and can issue appropriate directions.

27. Scope of NSAP Social Audit

The SOP identifies **11 major areas** to be examined.

27.1 Processes

Check whether the processes specified in NSAP guidelines were followed.

27.2 Awareness

Check whether people know:

- Their rights
- Scheme benefits
- Application procedures
- Grievance mechanisms

27.3 Participation

Check whether people participate in public meetings and whether their opinions were considered during beneficiary selection.

27.4 Beneficiary Selection

Check:

- Whether selection was based on BPL criteria
- Whether other considerations influenced selection
- Whether an ordered waiting list exists
- Whether eligible people are being covered through State schemes

27.5 Payments

Check:

- Whether payment is made on time
- Whether beneficiaries face difficulties receiving money
- Whether arrears exist

27.6 Inclusion Errors

Identify:

- Eligible people who are included incorrectly
- Multiple beneficiaries
- Duplicate beneficiaries

27.7 Exclusion Errors

Check whether eligible people have been left out of the scheme.

27.8 Transparency

Check whether people know:

- How beneficiaries are selected
- Who the current beneficiaries are
- How payments are made
- Whether pension books are maintained

27.9 Accountability

Check:

- Corruption
- Bribes
- Unauthorised commissions
- Measures to prevent malpractice
- Grievances and complaints
- Applications
- Action taken
- Functioning of grievance redressal mechanisms

27.10 Grievances

Collect:

- Complaints
- Grievances
- New applications

27.11 Proactive Disclosure

Information should be disclosed regarding:

- Entitlements
- Application process
- Service norms
- Grievance redressal
- Funds received

- Expenses
- Beneficiary lists

The information can be displayed through:

- Wall paintings
 - Public notices
 - Other public disclosure mechanisms
-

28. Social Audit Resource Persons

The Social Audit team consists of:

- Resource persons from the Social Audit Unit
- Village Resource Persons (VRPs)

Village Resource Persons may be identified from:

- Beneficiaries
- Beneficiary family members

Preference should be given to **SHG women**.

Resource persons should not preferably be representatives of the local Panchayat or Ward being audited.

The Social Audit team should have representation from:

- Women
 - Scheduled Castes
 - Scheduled Tribes
 - Minorities
-

29. Training of Village Resource Persons

VRPs should receive training before participating in Social Audit.

Training should cover:

1. Eligibility criteria of NSAP and State schemes
2. Beneficiary selection
3. Documents, registers and ledgers
4. Social assistance disbursement

5. Grievance redressal
 6. Social Audit process
 7. Social Audit verification formats
 8. Mobilisation skills
 9. Group discussion skills
-

30. Records Required Before Social Audit

The following records should be made available **at least 15 days before the Social Audit**.

Beneficiary List

The sanctioned pensioner list should include:

- Name
- Father's/Husband's name
- Age
- Address
- Mobile number
- Pension type
- Sanction date
- Sanction ID

Other Records

The audit team should also receive:

- Sanction orders
- Payment list for the previous 12 months
- Date of payment
- Amount paid
- Pending applications
- Waiting list
- Other documents required under State guidelines

Beneficiary passbooks, money orders or pay slips are to be accessed during household verification from the beneficiary.

31. Social Audit Workflow

The complete process includes:

Step 1 — Select Village Resource Persons

Identify suitable VRPs for the audit.

Step 2 — Train Resource Persons

Train all resource persons involved in the Social Audit.

Step 3 — Meet Officials

Meet:

- NSAP implementation officials
- Elected representatives
- Community-based organisations
- Implementation staff
- Banking staff
- Postal staff

Collect documents and understand the implementation status.

Step 4 — Verify Records and Beneficiaries

Conduct:

- Document verification
- Door-to-door verification
- 100% beneficiary verification
- Focus group discussions
- Grievance collection
- New application collection

Step 5 — Consolidate Information

Convert the findings into simple formats that people can easily understand.

Step 6 — Public Hearing

Conduct the Social Audit Public Hearing and present findings.

Officials and members of the public can respond to the findings.

Step 7 — Follow-up

Follow up with implementing officials on action taken.

32. Beneficiary Verification

For every beneficiary, the Social Audit team records the verification status.

Possible statuses include:

1. Met beneficiary
2. Met beneficiary's relative
3. Door locked
4. Temporary migration
5. Permanent migration
6. Beneficiary migrated into the area and pension stopped because of migration
7. Untraceable
8. Did not have time to visit
9. Beneficiary is not alive

The team also records:

- Whether the beneficiary is eligible
- Reason for ineligibility
- Whether the beneficiary received the amount paid during the previous year
- Whether any payment is overdue
- Other grievance or suggestion

33. Payment Verification

The audit checks whether the beneficiary received the expected payments.

The overdue-payment options include:

- Last payment not received
- Last two payments not received
- Last three payments not received
- More than three payments not received
- Recent pension received but older arrears are still pending

The resource person should obtain the signature of the beneficiary or relative as evidence that the household visit was conducted.

34. Community Cross-Verification

Social Audit resource persons should visit different hamlets and conduct group discussions.

This helps:

- Cross-check beneficiary information
- Find eligible people who are not receiving assistance
- Identify people who may need assistance
- Check whether people are receiving assistance from Central or State schemes

35. Social Audit Process Checklist

The checklist examines the following areas.

Awareness

Check whether villagers know about social assistance schemes.

Also check awareness among:

- SHGs
- ASHA workers
- Anganwadi workers
- Panchayati Raj representatives

Beneficiary Selection

Check:

- Whether SHGs participate in beneficiary identification
- Whether Gram Panchayat actively participates in identifying beneficiaries

Grievance Redressal

Check:

- Whether applicants receive a receipt when submitting an application
- Whether applicants receive a written reply

Transparency

Check:

- Whether beneficiary lists are available on a public website
- Whether beneficiary lists are displayed publicly in the Gram Panchayat

- Whether applicants have bank/post-office passbooks
- Whether passbooks are maintained regularly

Payment

Check:

- Whether payments happen in a public place
- Whether beneficiaries receive SMS notifications
- Whether beneficiaries receive payments monthly
- Whether Banking Correspondents/Community Service Providers provide withdrawal receipts
- Whether beneficiaries are required to pay commission/service fees
- Whether manual override was used for payments

36. Social Audit MIS

A Management Information System should track:

- Social Audit findings
- Action taken
- Beneficiary verification
- Inclusion errors
- Exclusion errors
- Grievances
- Misappropriation
- Recovery
- Pending issues
- Closed issues

Until the MIS is operational, Social Audit findings and ATRs are to be submitted to the Ministry of Rural Development using the prescribed formats.

37. Social Audit Basic Information

The Social Audit reporting format records:

- Social Audit process start date

- Social Audit process end date
- Social Audit period
- BRP name/code
- DRP name/code
- Names of VRPs
- Total pension beneficiaries
- Total beneficiaries/relatives met
- Amount to be recovered
- Gram Sabha date
- Observer name
- Observer designation
- Number of people attending Gram Sabha
- Photographs of the Social Audit

38. Ineligible Beneficiary Issues

The Social Audit format identifies several types of ineligible-beneficiary cases:

- Person is not alive
- Person is not traceable
- Person is not a widow
- Person is not disabled
- Person is already receiving a pension
- Person is receiving more than one pension
- Person should be excluded based on age criteria
- Person does not belong to BPL category
- Person should be excluded based on income criteria

39. Corruption and Misappropriation Issues

The Social Audit can record cases such as:

- Bribe paid to obtain sanction order
- Bribe demanded/paid to receive pension

- Money withdrawn from the beneficiary's account by another person
- Beneficiary received less money than the amount withdrawn from the account

These issues are recorded individually so that the implementing agency can respond to each case.

40. New Applications Identified During Social Audit

The audit can record new applications for:

- IGNOAPS
- IGNWPS
- IGNDPS
- NFBS
- Annapurna

It can also record applications for **change of area for receiving pension because of migration**.

41. Grievances Identified During Social Audit

Examples include:

- No action on a previously submitted application
- Application was improperly rejected
- Payment does not happen every month
- Last payment has not been received
- Last two payments have not been received
- Last three payments have not been received
- More than three payments have not been received
- Beneficiary's payment was incorrectly removed from the beneficiary list
- Beneficiary was removed from the list
- Beneficiary does not know when/how much pension is paid

The Social Audit team enters **one row for each irregularity, grievance or application**, allowing the implementing agency to respond separately to each issue.

42. Response by Implementing Agency

The implementing agency must provide a response to the issues raised through Social Audit.

Information should be publicly available.

Reports should be available at different levels such as:

- State
- District
- Block
- Panchayat

The reports should show:

- Issues filed
- Issues open
- Issues pending
- Issues closed satisfactorily

This allows citizens to monitor Social Audit findings and the action taken on them.

20 FAQs — NSAP Social Audit Guidelines

1. What is the National Social Assistance Programme?

NSAP is a Government social assistance programme launched on 15 August 1995 to provide basic social assistance to deprived and vulnerable people, particularly those belonging to the BPL category.

2. Why was NSAP introduced?

NSAP was introduced to provide a basic level of financial and food assistance to vulnerable people and to support the constitutional objective under Article 41 relating to public assistance for old age, disability and other cases of undeserved want.

3. What are the five components of NSAP?

The five components covered by the guidelines are:

- IGNOAPS
- IGNWPS
- IGNDPS
- NFBS
- Annapurna Scheme

4. What is IGNOAPS?

IGNOAPS is the Indira Gandhi National Old Age Pension Scheme. According to the guideline, eligible persons aged 60 to below 80 years receive ₹200 per month, while persons aged 80 years and above receive ₹500 per month.

5. What is IGNWPS?

IGNWPS is the Indira Gandhi National Widow Pension Scheme. According to the guideline, eligible widows receive ₹300 per month, and after attaining 80 years the pension becomes ₹500 per month.

6. What is IGNDPS?

IGNDPS is the Indira Gandhi National Disability Pension Scheme. According to the guideline, eligible persons aged 18 years and above receive ₹300 per month, increasing to ₹500 per month after attaining 80 years.

7. What assistance is provided under NFBS?

NFBS provides **₹20,000 as one-time assistance** to an eligible bereaved household following the death of the breadwinner, subject to the scheme's eligibility conditions.

8. What is the Annapurna Scheme?

Annapurna provides **10 kg of wheat or rice per month per beneficiary** to eligible elderly persons who remain uncovered under IGNOAPS.

9. What is Social Audit?

Social Audit is a community-based process that compares official records with actual ground conditions. It allows beneficiaries and citizens to verify scheme implementation, payments, eligibility, transparency and grievances.

10. What are the main objectives of NSAP Social Audit?

The objectives are awareness generation, proactive disclosure, beneficiary verification, identification of ineligible beneficiaries, identification of eligible beneficiaries, grievance recording and identification of implementation problems.

11. Who conducts the NSAP Social Audit?

The Social Audit is facilitated by the State Social Audit Unit through resource persons and Village Resource Persons. SHG women may also be selected as resource persons.

12. How often should NSAP Social Audit be conducted?

The guideline states that Social Audit should be conducted **at least once every six months**. Where resources are limited, risk-based selection may be used, while ensuring that all Gram Panchayats are covered at least once a year.

13. How many beneficiaries should be verified?

The Social Audit team should aim for **100% verification of all NSAP beneficiaries** in the Gram Panchayat.

14. What records must be provided for Social Audit?

Records should be provided at least **15 days before the audit**. They include the sanctioned beneficiary list, sanction orders, previous 12 months' payment information, pending applications/waiting list and other relevant records.

15. What happens during beneficiary verification?

The auditor visits beneficiaries, verifies their identity and eligibility, checks whether payments were received, checks overdue payments and records any grievance or suggestion.

16. What happens if an eligible person is not receiving NSAP assistance?

The Social Audit team can identify such a person as an eligible beneficiary and record a new application or inclusion issue for action by the implementing authority.

17. What happens if an ineligible beneficiary is found?

The case is recorded as an **inclusion error/ineligible beneficiary issue**. Examples include deceased persons, duplicate pensioners, persons receiving multiple pensions, or persons who do not satisfy the required criteria.

18. Can corruption or unauthorised withdrawals be reported?

Yes. Social Audit can record cases such as bribes, unauthorised withdrawal from a beneficiary's account, or situations where the beneficiary receives less money than the amount withdrawn.

19. What is the role of the Gram Sabha/Ward Sabha?

The Gram Sabha/Ward Sabha publicly discusses Social Audit findings, reviews transparency and accountability, checks beneficiary rights and entitlements, allows people to question officials and reviews action taken on previous findings.

20. What happens after a Social Audit is completed?

The Social Audit report is prepared and made publicly available. Findings are entered into the Social Audit MIS. The District Administration prepares an **Action Taken Report within one month** of the Gram Sabha/Ward Sabha. The ATR is reviewed during the next Social Audit, and Social Audit findings are also reviewed periodically at State and national levels.

Key numbers from this document

For your RAG database, these are useful structured facts:

- **NSAP launched:** 15 August 1995
- **IGNOAPS:** ₹200/month for 60–79; ₹500/month for 80+
- **IGNWPS:** ₹300/month; ₹500/month after 80
- **IGNDPS:** ₹300/month; ₹500/month after 80
- **NFBS:** ₹20,000 one-time assistance

- **Annapurna:** 10 kg food grains/month
- **Records before Social Audit:** at least 15 days
- **Beneficiary verification:** 100%
- **Social Audit frequency:** at least once every 6 months
- **Minimum Panchayat coverage:** every Gram Panchayat at least once a year
- **Social Audit funding:** at least 0.5% of total State allocation
- **First fund instalment:** 50% of annual allocation
- **UC required for subsequent instalment:** minimum 60% utilisation of previous release
- **Social Audit report:** preferably public within 48 hours, maximum one week
- **Submission after Gram Sabha approval:** within 7 days
- **ATR:** within one month
- **Review of Social Audit:** quarterly
- **State reporting to MoRD:** quarterly

Important: These amounts and administrative rules are reproduced from the **uploaded NSAP Social Audit Guidelines**. They should be kept as the document's historical/source-version information in your RAG rather than silently replacing them with newer NSAP rules.

Ayushman Bharat PM-JAY Mukhmantri Sehat Bima Yojana (AB PM-JAY MMSBY)

Details

Ayushman Bharat PM-JAY Mukhmantri Sehat Bima Yojana (AB PM-JAY MMSBY), was launched on 20 August 2019 this is a flagship State Health Insurance Scheme for the beneficiaries of State of Punjab. AB PM-JAY MMSBY will provide financial protection to 65% population of state of Punjab. It is entitlement based cashless Health Insurance cover. Under this scheme cashless and paperless treatment is available at Government and empaneled Private hospitals.

Benefits

- A cashless health insurance cover of ₹5,00,000/- rupees per family per year for secondary and tertiary care hospitalization (in-patient services) for treatment of listed diseases and medical conditions.

Eligibility

1. Residents of Punjab.
2. Applicants should be from the following categories
 - SECC 2011 data families,
 - Smart Ration Card holder families,
 - J-Form holder farmers,
 - Small traders registered with Excise & Taxation Department,
 - Small & Marginal Farmers,
 - Accredited & Yellow Card Journalist and Construction workers registered with Punjab Building & Other Construction Workers Welfare Board.

Application Process

Online

REGISTRATION PROCESS FOR E-CARD GENERATION

- Now generate e-card from home without visiting anywhere: Download 'Ayushman App' on mobile or visit <https://beneficiary.nha.gov.in/> to self-register.
- Please visit any empaneled private or public hospital, lists available under '[Hospitals](#)' on SHA website for getting e-card generation.

Documents Required

1. Aadhaar Card.
2. Ration Card.
3. Family Declaration. (If no Ration Card).
4. Income Certificate.
5. Construction Worker Card. (If belong to that Category

What is this scheme ?

"AYUSHMAN BHARAT PM-JAY MUKH MANTRI SEHAT BIMA YOJNA" is a flagship State Health Insurance Program of the Government of Punjab.

What is the maximum limit of provided health insurance ?

Health insurance cover of 5 lakh rupees per family per year.

What health services are available under AB PM-JAY MMSBY?

The Scheme covers 1579 treatment packages that include hospitalization expenses, daycare surgeries, 3 days pre and 15 days post-hospitalization expenses and treatment of newborn child

Who can get the benefits?

All the eligible resident of Punjab.

How to apply for the scheme?

This is an entitlement-based scheme and no enrolment process for the families who are identified by the Government of India

What documents are required for this ?

1. Aadhaar Card. 2. Ration Card. 3. Family Declaration. (If no Ration Card). 4. Income Certificate. 5. Construction Worker Card. (If belong to that Category

How to check e-cards of AB PM-JAY MMSBY

Follow the below URL and enter the e-card & captcha details.

Can those families whose names are not on the list avail the benefits under AB PM-JAY MMSBY?

In this phase, no additional new families can be added under AB PM-JAY MMSBY. However, names of additional family members can be added only in case of families of J-Form holder farmers, families of registered Small traders and families of registered construction workers based on the family identification document produced by the Beneficiary at the point of contact. The family is defined as under: “Beneficiary Family Unit of Department Families will comprise of the Head of the Family/Main Member and any of his or her following relatives, irrespective of whether or not they are dependent or residing with the Main Member

Will e-card be given to the beneficiary?

Now generate e-card from home without visiting anywhere: Download 'Ayushman App' on mobile or visit beneficiary.nha.gov.in to self-register. Please visit any empaneled private or public hospital, lists available under 'Hospitals' on SHA website for getting e-card generation